

Subros (SUBROS)

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Q3 FY 2023

MANAGEMENT : MR. P
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M R. H
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LIMITED
M R. S
PRESIDENT

MODERATOR : MR. H
SECURITIES

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"Subros Limited
FY 2023 Earnings Conference Call
January 25, 2023

PARMOD KUMAR DUGGAL – CHIEF
FFICER – SUBROS LIMITED
HEMANT KUMAR AGARWAL – CHIEF
FFICER AND VICE PRESIDENT -FINANCE
IMITED
SUKHBINDER SINGH GILL – ASSISTANT
RESIDENT -FINANCE – SUBROS LIMITED
HARSH GEMAVAT – BATLIVALA & K
ECURITIES INDIA PRIVATE LIMITED
Call"

HIEF EXECUTIVE
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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Subros Limited, hosted by Batlivala & Karani Securities India P
all participant lines will be in the listen
ask questions after the presentation concludes. Should you need assistance during the
conference

Please note that this conference

I now hand the conference over to Mr. Harsh Gemavat from Batlivala & Karani Securities
India Private

Harsh Gemavat: Thank you, M

Conference Call for Subros Limited. So today, we have from the management, Mr. Parmod
Kumar Duggal, CEO; Mr. Hemant Kumar Agarwal, CFO and VP Finance; and Mr.
Sukhbinder Singh Gill, AVP Finance. So
management about the performance and outlook. And going ahead, we'll start with the
question-and

Parmod Kumar Duggal: Thanks, Harsh. Good evening, ladies and gentlemen. A warm welcome to all of you for
Subros' investor call for

with the hopes for the sustainable growth momentum in '23 and further invest in clean
technology amid dissipating speed breakers for rising interest rates and cost increa
emission and safety norms having witnessed a strong comeback from COVID
this year.

Passenger vehicle industry is set to record highest very encouraging. The market is showing the sharp r grown by almost 36% on production basis because that is relevant for us '23.

And commercial vehicle truck industry has also registered a growth of 12% during the quarter. I think there is much by the current trends.

India, which are electrified. This opportunity ahead is much larger. Indian players can home for innovation with domestically and in similar markets abroad, supplying complete product range aggregate and component worldwide.

There's a significant success in securing new business from our customer for alternative fuel, which is related t

very focused way on these opportunities. And in the short targeting 20% of our revenue of thermal products should be realized through such vehicle application by alternative technologies. This is a short we will align ourselves along with the industry trends, however by 2030, total electri will be shaping up.

Profitability pressures are still ongoing. Th new model launches are shelved at the bottom line. The company is making effort in

Page 2 of 14 Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of Subros Limited, hosted by Batlivala & Karani Securities India P rivate

all participant lines will be in the listen -only mode a nd there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. Please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harsh Gemavat from Batlivala & Karani Securities rivate Limited. Thank you, and over to you, sir.

Thank you, M elisa. Hello, everyone. Welcome to the Quarter three Conference Call for Subros Limited. So today, we have from the management, Mr. Parmod Kumar Duggal, CEO; Mr. Hemant Kumar Agarwal, CFO and VP Finance; and Mr. Sukhbinder Singh Gill, AVP Finance. So , we'll start with a brief opening remarks management about the performance and outlook. And going ahead, we'll start with the and-answer session. So over to you, sir.

Thanks, Harsh. Good evening, ladies and gentlemen. A warm welcome to all of you for investor call for Q3 FY '23. The Indian automobile industry setting out on a journey with the hopes for the sustainable growth momentum in '23 and further invest in clean technology amid dissipating speed breakers for rising interest rates and cost increa emission and safety norms having witnessed a strong comeback from COVID

Passenger vehicle industry is set to record highest -ever sale in FY '23, so far very encouraging. The market is showing the sharp r ecovery. Passenger vehicle industry has grown by almost 36% on production bas

is because that is relevant for us

And commercial vehicle truck industry has also registered a growth of 12% during the quarter. I think there is much more positive sentiment for growth of auto industry in India now going by the current trends. Today, a very few percent of the new vehicles sold globally as well as in India, which are electrified. This opportunity ahead is much larger. Indian players can home for innovation with domestically and in similar markets abroad, supplying complete product range aggregate and component worldwide.

There's a significant success in securing new business from our customer for alternative fuel, which is related t o hybrid technologies, CNG or electric vehicle. The company is focusing very focused way on these opportunities. And in the short -term and long targeting 20% of our revenue of thermal products should be realized through such vehicle application by alternative technologies. This is a short -term view, but for the long we will align ourselves along with the industry trends, however by 2030, total electri will be shaping up.

Profitability pressures are still ongoing. Th e input cost escalation and high price pressures of new model launches are shelved at the bottom line. The company is making effort in Subros Limited January 25, 2023

Ladies and gentlemen, good day, and welcome to the Q3 FY '23 Earnings Conference Call of e. Limited. As a reminder,

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I now hand the conference over to Mr. Harsh Gemavat from Batlivala & Karani Securities

Quarter three FY '23 Earnings

Conference Call for Subros Limited. So today, we have from the management, Mr. Parmod Kumar Duggal, CEO; Mr. Hemant Kumar Agarwal, CFO and VP Finance; and Mr. we'll start with a brief opening remarks from the management about the performance and outlook. And going ahead, we'll start with the Thanks, Harsh. Good evening, ladies and gentlemen. A warm welcome to all of you for FY '23. The Indian automobile industry setting out on a journey with the hopes for the sustainable growth momentum in '23 and further invest in clean technology amid dissipating speed breakers for rising interest rates and cost increase due to emission and safety norms having witnessed a strong comeback from COVID-led downturn ever sale in FY '23, so far nine months, it is recovery. Passenger vehicle industry has grown by almost 36% on production basis because that is relevant for us in quarter three of FY. And commercial vehicle truck industry has also registered a growth of 12% during the quarter. more positive sentiment for growth of auto industry in India now going Today, a very few percent of the new vehicles sold globally as well as in India, which are electrified. This opportunity ahead is much larger. Indian players can come home for innovation with domestically and in similar markets abroad, supplying complete There's a significant success in securing new business from our customer for alternative fuel, The company is focusing -- term and long-term target, we are targeting 20% of our revenue of thermal products should be realized through such vehicle term view, but for the long-term view, we will align ourselves along with the industry trends, however by 2030, total electrification input cost escalation and high price pressures of new model launches are shelved at the bottom line. The company is making effort in

identifying short that we'll overcome this si results for quarter summarizing them for your ease.

First, I'll update about the industry and the relevant part of our business passenger vehicle industry has shown a growth of 36%, as I mentioned before, on production basis in comparison with the corresponding quarter of last year. Whereas Subros PV, passenger vehicle segment

thermal product has grown by 2 in comparison with corresponding quarter of last year. Commercial vehicle bus is also improving as tourism and school segment has opened up now. AC fitment ratio has also improved and industry has shown a growth of 118% basis in bus segment in comparison with the corresponding quarter, and we also registered a growth of 186% as compared to the corresponding quarter.

Further on, commercial vehicle truck segment, N a blower option, there is upside trend. After quarter three

Growth is mainly because of more AC fitment ratio, consumers preferring trucks as compared to the normal trucks.

Revenue from operation has been recorded at INR 547 crores in the corresponding quarter. There is a growth of 20% during the quarter. Year date, April

2,058 crores as against INR

So let me summarize the overall contribution for each segment. In this quarter, car and non segment with

Engine Cooling Module product has contributed 15% of the total revenue and remaining 7% is for non-car products. Maruti and Suzuki Motor Gujarat has contributed total 86% of the total revenue during the quarter. The share of business in passenger vehicle air conditioning market is maintained at 40% in this quarter. And SOB bus segment, it is 20%.

Now, I'll talk about the operational performance about the supply chain disruptions, which are not still normalized. Commodity prices are fluctuating. There are steep prices in foreign exchange, especially in USD and very high logistics and fuel prices, which operation.

Few of these cost escalations are part of customer price adjustment, but with a period lag

somewhere it is quarter, somewhere it is half yearly or annual and few are our first time request to the OEM for compensation for which there's still negotiations are in progress.

Page 3 of 14 identifying short-term and long-term opportunities of cost optimization. And we are confident that we'll overcome this situation between next four to six quarters in a comfortable way. results for quarter three FY '23 has been shared with the stock exchange, and I'm just summarizing them for your ease.

First, I'll update about the industry and the relevant part of our business. passenger vehicle industry has shown a growth of 36%, as I mentioned before, on production basis in comparison with the corresponding quarter of last year. Whereas Subros PV, passenger vehicle segment thermal product has grown by 23% on sales basis in comparison with corresponding quarter of last year.

Commercial vehicle bus is also improving as tourism and school segment has opened up now. AC fitment ratio has also improved and industry has shown a growth of 118% basis in bus segment in comparison with the corresponding quarter, and we also registered a growth of 186% as compared to the corresponding quarter.

Further on, commercial vehicle truck segment, N-2, N-3 category, which is relevant for AC a blower option, there is upside trend. After two years, the industry has grown by 12% in three, and Subros has also grown by almost 12% in this segment for the same period. Growth is mainly because of more AC fitment ratio, consumers preferring trucks as compared to the normal trucks.

Revenue from operation has been recorded at INR 654.60 crores in this quarter as against INR 547 crores in the corresponding quarter. There is a growth of 20% during the quarter. Year date, April to December, there's a growth of 32%, and we are closing 2,058 crores as against INR 1,500-odd crores in previous nine months.

So let me summarize the overall contribution for each segment. In this quarter, car and non segment with respect to AC products, the contribution is 78% versus 22%, ECM product Engine Cooling Module product has contributed 15% of the total revenue and remaining 7% is car products. Maruti and Suzuki Motor Gujarat has contributed total 86% of the total revenue during the quarter. The share of business in passenger vehicle air conditioning market is maintained at 40% in this quarter. And SOB, Share Of Business in truck segment is 45% and bus segment, it is 20%.

I'll talk about the operational performance. We have been continuously updating you about the supply chain disruptions, which are not still normalized. Commodity prices are fluctuating. There are steep prices in foreign exchange, especially in USD and very high logistics and fuel prices, which are leaving impact on high input costs on the business operation.

Few of these cost escalations are part of customer price adjustment, but with a period lag somewhere it is quarter, somewhere it is half yearly or annual and few are our first time to the OEM for compensation for which there's still negotiations are in progress. Subros Limited January 25, 2023

term opportunities of cost optimization. And we are confident quarters in a comfortable way. The

FY '23 has been shared with the stock exchange, and I'm just

First, I'll update about the industry and the relevant part of our business. In this quarter, passenger vehicle industry has shown a growth of 36%, as I mentioned before, on production basis in comparison with the corresponding quarter of last year. Whereas Subros PV, 3% on sales basis -- our sales basis

Commercial vehicle bus is also improving as tourism and school segment has opened up now. AC fitment ratio has also improved and industry has shown a growth of 118% on a production basis in bus segment in comparison with the corresponding quarter, and we also registered a 3 category, which is relevant for AC or years, the industry has grown by 12% in

, and Subros has also grown by almost 12% in this segment for the same period.

Growth is mainly because of more AC fitment ratio, consumers preferring to shift from AC 654.60 crores in this quarter as against INR

547 crores in the corresponding quarter. There is a growth of 20% during the quarter. Year-to-date to December, there's a growth of 32%, and we are closing nine months at INR

s. So let me summarize the overall contribution for each segment. In this quarter, car and non-car respect to AC products, the contribution is 78% versus 22%, ECM product Engine Cooling Module product has contributed 15% of the total revenue and remaining 7% is car products. Maruti and Suzuki Motor Gujarat has contributed total 86% of the total revenue during the quarter. The share of business in passenger vehicle air conditioning market Share Of Business in truck segment is 45% and

mance. We have been continuously updating you about the supply chain disruptions, which are not still normalized. Commodity prices are fluctuating. There are steep prices in foreign exchange, especially in USD and very high are leaving impact on high input costs on the business. Few of these cost escalations are part of customer price adjustment, but with a period lag somewhere it is quarter, somewhere it is half yearly or annual and few are our first time to the OEM for compensation for which there's still negotiations are in progress.

Significant increase in the lead time of import shipments and subsequent fluctuation of schedule by the OEM due to semiconductor shortage and availability of end has impacted our inventory level, which has also now risen to INR315 crores approximately, which is blocking our cash flow by 10% to 15%. In addition to this, there are extraordinary costs incurred on the airfreight on some of our input materials to meet customer delivery commitments, such cost impact will continue in quarter. To mitigate the impact of future, alternative local source has been developed requesting Company has realized EBITDA of INR EBITDA of INR to improve EBITDA as compared to the corresponding period by 5%. Profitability before tax in quarter three corresponding quarter of the last year, it has improved by 6%. Profit after tax is INR 12 crores, which is 1.25% of the net sales. This has also improved by 10% during the quarter. We are continuously working on minimizing the

the impact of such market aggressive localization and cost on project EBITDA as well as the profitability. So overall, if I have to summarize, INR revenue in INR 12 crores with 6% growth a summary of the operating performance. Now a few business updates. As I mentioned that April to December, we have grown by 32%. So we are hopeful that we'll be able to meet our plan of this year by end of the year. Significant to mention that this year we have a new SOP during this quarter, which is a new EECO version of Maruti, which has been a significant success in acquisition of new business as from Maruti for their future model, which are coming in '25 to '27.

Thank you very much, and now we are ready to take the questions.

Moderator: We have the first question from the line of Abhishek from Dolat

Abhishek: Sir, from last many quarters basis, jumping fabrication costs, which are impacting your gross margin. So, what sort of the discussion is going with your clients to pass it on?

Parmod Kumar Duggal: Can you be a little bit clearer in communication?

Abhishek: Sir, there is a jump in the fabrication cost from last many quarters, and which is impacting your gross margin. So, what sort of discussion is going on with your clients to pass it on?

Parmod Kumar Duggal: For fabrication costs, you are referring to?

Abhishek: Yes.

Page 4 of 14 Significant increase in the lead time of import shipments and subsequent fluctuation of schedule by the OEM due to semiconductor shortage and availability of end has impacted our inventory level, which has also now risen to INR315 crores approximately, which is blocking our cash flow by 10% to 15%. In addition to this, there are extraordinary costs incurred on the airfreight on some of our input materials due to capacity and supply issues at our overseas suppliers. The cost was necessary to meet customer delivery commitments, such cost impact will continue in quarter. To mitigate the impact of future, alternative local source has been developed requesting customers to expedite the approvals to mitigate this for the long term. Company has realized EBITDA of INR 42 crores in quarter three EBITDA of INR 40 crores in the corresponding quarter. Despite all odds, to improve EBITDA as compared to the corresponding period by 5%. Profitability before tax quarter three is INR 12 crores, which is 1.87% of the net sales, and PBT margin of the corresponding quarter of the last year, it has improved by 6%. Profit after tax is INR 12 crores, which is 1.25% of the net sales. This has also improved by 10% during the quarter. We are continuously working on minimizing the impact of such market aggressive localization and cost on projects are identified for long

EBITDA as well as the profitability. So overall, if I have to summarize, INR revenue in quarter three with 20% growth, EBITDA of INR 42 crores with 5% growth, PBT of 12 crores with 6% growth and PAT of INR 8.19 crores with 10% growth is the broad summary of the operating performance.

Now a few business updates. As I mentioned that April to December, we have grown by 32%. So we are hopeful that we'll be able to meet our plan of this year by end of the year. It is significant to mention that this year we have a new SOP during this quarter, which is a new EECO version of Maruti, which has been -- started production in November '22, and also there is a significant success in acquisition of new business in the EV space from Mahindra as well as from Maruti for their future model, which are coming in '25 to '27.

Thank you very much, and now we are ready to take the questions.

We have the first question from the line of Abhishek from Dolat Capital.

Sir, from last many quarters basis, jumping fabrication costs, which are impacting your gross margin. So, what sort of the discussion is going with your clients to pass it on?

Can you be a little bit clearer in communication. I think your voice is very heavy.

Sir, there is a jump in the fabrication cost from last many quarters, and which

is impacting

your gross margin. So, what sort of discussion is going on with your clients to pass it on?

For fabrication costs, you are referring to? Subros Limited

January 25, 2023

Significant increase in the lead time of import shipments and subsequent fluctuation of schedule by the OEM due to semiconductor shortage and availability of child part at vendor has impacted our inventory level, which has also now risen to INR 315 crores

In addition to this, there are extraordinary costs incurred on the airfreight on some of our input due to capacity and supply issues at our overseas suppliers. The cost was necessary to meet customer delivery commitments, such cost impact will continue in quarter four as well.

To mitigate the impact of future, alternative local source has been developed now, and we are customers to expedite the approvals to mitigate this for the long term.

quarter three of FY '23 as against

in the corresponding quarter. Despite all odds, the company is able

to improve EBITDA as compared to the corresponding period by 5%. Profitability before tax

, which is 1.87% of the net sales, and PBT margin of the

year 6%. Profit after tax is INR 8.19

crores, which is 1.25% of the net sales. This has also improved by 10% during the quarter.

We are continuously working on minimizing the impact of such market-driven indices, so

as are identified for long-term improvement of

EBITDA as well as the profitability. So overall, if I have to summarize, INR 655 crores of

42 crores with 5% growth, PBT of

8.19 crores with 10% growth is the broad

Now a few business updates. As I mentioned that April to December, we have grown by 32%.

So we are hopeful that we'll be able to meet our plan of this year by end of March '23. It is

significant to mention that this year we have a new SOP during this quarter, which is a new

started production in November '22, and also there

business in the EV space from Mahindra as well

Capital.

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your gross margin. So, what sort of discussion is going on with your clients to pass it on?

Parmod Kumar Duggal: Okay, so right now in our imports, especially for the raw material, there are two issues. First is raw material and second is the fabrication. So as far as our contract with

material compensation indexation based on the LME fluctuation is compensable, and for fabrication cost increase, since this is a global phenomenon, we have already submitted our

claims to the customer, all the OEMs, and we are at a very early stage.

Conclusion. So, I think it will take another

escalations.

Abhishek: So can we get compensation from first quarter FY '24?

Parmod Kumar Duggal: I cannot say with a firm thing

It would be either a full settlement or a partial settlement, depends upon each negotiation trend.

But yes, it would be either for quarter

Abhishek: So how much impact of the increase in the fabrication cost in overall gross margin?

Parmod Kumar Duggal: So I will say that it is a roughly 0.25% to 0.4%.

Abhishek: I'm not talking about the quarter

three years, because the gross margin has gone up

Parmod Kumar Duggal: So fabrication cost when I'm referring to this data is as compared to COVID.

Abhishek: But the impact on the gross margin is quite high. If you see that, there is a significant erosion of gross margin of around 500 bps to 600 bps. And as a matter, prices are going down, you should get benefit of it

then gross margin should be at a higher side

Parmod Kumar Duggal: No, then we need to understand this in a complete perspective. The impact of 2% to 3% in the material sales ratio,

2% to 3%. This differential is not only because of the fabrication cost, this differential is because

of

a period lag.

Our second point is about the logistic cost, which has gone up because of the container availability, so that also is contributing roughly 0.5% to 0.75%. There are certain cost escalation because of suppliers price increase on certain

So, if we accumulate everything, there is overall impact of 3% to 4%, that is what I've said that the commodity fluctuations are compensable, but other things we are negotiating for compensation. So, if we go ahead next year or so

then in fact reduction on the material cost would be in the tune of maybe 1.5% to 2%.

Abhishek: But if we study from last many quarters' numbers, so in first quarter FY '21, you were making a gross margin of 31%,

Page 5 of 14 Okay, so right now in our imports, especially for the raw material, there are two elements. One is raw material and second is the fabrication. So as far as our contract with the customer, raw material compensation indexation based on the LME fluctuation is compensable, and for fabrication cost increase, since this is a global phenomena, we have already submitted our claims to the customer, all the OEMs, and we are at a very advanced stage of discussion to conclude that. So, I think it will take another two to three months' time to conclude these escalations.

So can we get compensation from first quarter FY '24?

I cannot say with a firm thing that when it would be, but, of course, there would be settlement.

It would be either full settlement or a partial settlement, depends upon each negotiation trend.

But yes, it would be either for quarter four or next quarter, there will be some impact coming

So how much impact of the increase in the fabrication cost in overall gross margin?

So I will say that it is a roughly 0.25% to 0.4%.

I'm not talking about the quarter-on-quarter perspective. I'm talking about from last three years, because the gross margin has gone up -- gone down significantly.

So fabrication cost when I'm referring to this data is as compared to pre-COVID

But the impact on the gross margin is quite high. If you see that, there is a significant erosion of gross margin of around 500 bps to 600 bps. And as a matter, prices are going down, you should get benefit of it, but that is not happening. If the fabrication cost impacted only 0.5%, then gross margin should be at a higher side?

No, then we need to understand this in a complete perspective. The impact of 2% to 3% in the material sales ratio, which -- if you compare last year versus current year, the gap is between 2% to 3%. This differential is not only because of the fabrication cost, this differential is because of three, four elements. One is LME impact, which is compensable in a quarter lag, a period lag.

Our second point is about the logistic cost, which has gone up because of the container availability, so that also is contributing roughly 0.5% to 0.75%. There are certain cost escalation because of suppliers price increase on certain proprietary parts as well.

So, if we accumulate everything, there is overall impact of 3% to 4%, that is what I've said that the commodity fluctuations are compensable, but other things we are negotiating for compensation. So, if we go ahead next year or so, even though we get partial compensation, then in fact reduction on the material cost would be in the tune of maybe 1.5% to 2%.

But if we study from last many quarters' numbers, so in first quarter FY '21, you were making a gross margin of 31%, now your gross margin is around 23.8%, so you have lost around 700 Subros Limited

January 25, 2023
Okay, so right now in our imports, especially for the raw material, there are two elements. One is raw material and second is the fabrication. So as far as our contract with the customer, raw material compensation indexation based on the LME fluctuation is compensable, and for fabrication cost increase, since this is a global phenomena, we have already submitted our claims to the customer, all the OEMs, and we are at a very advanced stage of discussion to

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But if we study from last many quarters' numbers, so in first quarter FY '21, you were making
now your gross margin is around 23.8%, so you have lost around 700

bps to 800 bps kind of the gross margin, and as you said that material cost is passed on, on a
quarter late, but we don't see all these things in the gross margin front, sir.

Parmod Kumar Duggal: I agree. That's why I'm saying that our relevance is not directly gross margin, our relevance as
of now is to come back to the material cost, which was there before COVID and now. And if
you follow the results, last year, complete year, we were at
ratio. This year we are at 76.61

impacted. So that's where I'm saying that the compensation impact or the improvement impact
in the short
here.

Abhishek: And how much impact of the logistic cost in your margin? Is it on the other expenses?

Parmod Kumar Duggal: No, logistic cost is part of the material cost, because the part of the landed c
1% plus, 1.2% or so overall on the cost escalation.

Abhishek: So, as you mentioned that in this quarter also there is some impact on the logistic cost. But if
we see the number, freight cost that has gone down significantly and we are
benefit in this quarter. But what is the reason of the, again...

Parmod Kumar Duggal: You are referring to freight costs, which is the outward freight. The inward freight is part of
the material cost.

Abhishek: Sorry, sir.

Parmod Kumar Duggal: The inward freight or logistic cost is a part of material cost. What you're referring to a freight
cost reduction is the outward freight.

Abhishek: Sir, and from last quarter, production was impacted due to the chip shortage issues. And so
how is the s
be the fourth quarter volume?

Parmod Kumar Duggal: So, it is not only because of the chip shortage, but also the impact of the periodic shutdown,
which customer has initiated from

one impact of that. So chip shortage is variably impacting the fluctuations

So wherever the lots are available, that model is

there are shortage,

three, but, of course, we need to wait and watch, because till February, the volumes forecast is
quite reasonably okay.

Abhishek: And sir, in the home AC segment, do you have a
segment, because you have bought

crores from that plant, but now you are doing around INR150 crores, INR140 crores kind of
the numbers, and you are not c
throw some more light on it, what is your long

s you said that material cost is passed on, on a quarter late, but we don't see all these things in the gross margin front, sir.
I agree. That's why I'm saying that our relevance is not directly gross margin, our relevance as of now is to come back to the material cost, which was there before COVID and now. And if you follow the results, last year, complete year, we were at 74.32% in the material cost to sales ratio. This year we are at 76.61 % in nine month s. So that is 2.3% is the delta, which has impacted. So that's where I'm saying that the compensation impact or the improvement impact in the short -term and long-term view would be between 1.5% to 1.75%. That is my relevance And how much impact of the logistic cost in your margin? Is it on the other expenses?

No, logistic cost is part of the material cost, because the part of the landed c 1% plus, 1.2% or so overall on the cost escalation.

So, as you mentioned that in this quarter also there is some impact on the logistic cost. But if we see the number, freight cost that has gone down significantly and we are benefit in this quarter. But what is the reason of the, again...

You are referring to freight costs, which is the outward freight. The inward freight is part of the material cost.

Sorry, sir.

The inward freight or logistic cost is a part of material cost. What you're referring to a freight cost reduction is the outward freight.

Sir, and from last quarter, production was impacted due to the chip shortage issues. And so how is the s emiconductor supply situation now in the passenger vehicle segment? How would be the fourth quarter volume?

So, it is not only because of the chip shortage, but also the impact of the periodic shutdown, which customer has initiated fro m 25th to 31st. In fact, they started on second, so that also has one impact of that. So chip shortage is variably impacting the fluctuations

So wherever the lots are available, that model is -- volume forecast is increasing, wherever there are shortage, they are reducing. So overall -- of course, it would be better than the , but, of course, we need to wait and watch, because till February, the volumes forecast is quite reasonably okay.

And sir, in the home AC segment, do you have a ny concrete plan to achieve scale in home AC segment, because you have bought one plant and you had a target to complete around INR crores from that plant, but now you are doing around INR150 crores, INR140 crores kind of the numbers, and you are not c oming up with any capex plan in this segment. So, if you can throw some more light on it, what is your long -term plan on -- in this segment? Subros Limited January 25, 2023

bps to 800 bps kind of the gross margin, and as you said that material cost is passed on, on a quarter late, but we don't see all these things in the gross margin front, sir.

I agree. That's why I'm saying that our relevance is not directly gross margin, our relevance as of now is to come back to the material cost, which was there before COVID and now. And if in the material cost to sales

s. So that is 2.3% is the delta, which has impacted. So that's where I'm saying that the compensation impact or the improvement impact would be between 1.5% to 1.75%. That is my relevance

And how much impact of the logistic cost in your margin? Is it on the other expenses?

No, logistic cost is part of the material cost, because the part of the landed c ost, so it is almost

So, as you mentioned that in this quarter also there is some impact on the logistic cost. But if we see the number, freight cost that has gone down significantly and we are expecting some

You are referring to freight costs, which is the outward freight. The inward freight is part of

The inward freight or logistic cost is a part of material cost. What you're referring to a freight

Sir, and from last quarter, production was impacted due to the chip shortage issues. And so emiconductor supply situation now

in the passenger vehicle segment? How would

So, it is not only because of the chip shortage, but also the impact of the periodic shutdown, m 25th to 31st. In fact, they started on second, so that also has

one impact of that. So chip shortage is variably impacting the fluctuations .

volume forecast is increasing, wherever

of course, it would be better than the quarter

, but, of course, we need to wait and watch, because till February, the volumes forecast is

ny concrete plan to achieve scale in home AC

plant and you had a target to complete around INR 250

crores from that plant, but now you are doing around INR150 crores, INR140 crores kind of

plan in this segment. So, if you can

in this segment?

Parmod Kumar Duggal: So I will first elaborate the short becoming very volatile now, because this whole commodity logistics was an all import, foreign exchange impact is not directly getting compensated from the contracts, which we have with our OEMs. So we are going slow right now till the market has stabilized We are not pushing the order booking at a very harsh pricing, which will impact finally the bottom line EBITDA margin and PBT margins. So we are going slow on that as of now. We'll watch for this market, when we get fully compensated on the cost escalati aggressively pursue this market again. So right now, we are slightly slow on that.

Abhishek: And my last question is on this and truck segments

Parmod Kumar Duggal: You want the

Abhishek: Yes, sir.

Parmod Kumar Duggal: So last quarter we clocked around INR INR 98 crores from ECM. And rest is roughly

Abhishek: And sir, in

Parmod Kumar Duggal: Nine months vehicle car segment. And around INR

Abhishek: And truck and bus s

Parmod Kumar Duggal: Truck segment would be around INR roughly INR

Abhishek: And railways, sir?

Parmod Kumar Duggal: Pardon.

Abhishek: Railway?

Parmod Kumar Duggal: Railways is

Moderator: We have the next question from the line of

Aashin Modi: Sir, firstly, on the other expense side, so other expense has increased sharply quarter quarter, and you said that about 80 b this increase of other expense?

Parmod Kumar Duggal: So other expense constitutes one major element of MTM losses. So MTM gain is a part of other income, whereas other expenses include MTM losses both are on a variation side. Other income is also increasing as well as MTM is increasing. If

Page 7 of 14 So I will first elaborate the short -term plan because this market for home appliances is also becoming very volatile now, because this whole commodity logistics was an all import, foreign exchange impact is not directly getting compensated from the contracts, which we have with our OEMs. So we are going slow right now till the market has stabilized We are not pushing the order booking at a very harsh pricing, which will impact finally the bottom line EBITDA margin and PBT margins. So we are going slow on that as of now. We'll watch for this market, when we get fully compensated on the cost escalati aggressively pursue this market again. So right now, we are slightly slow on that. And my last question is on this nine-month revenue from passenger vehicle AC, ECM, railway and truck segments ?

You want the individual breakup on that?

So last quarter we clocked around INR 514 crores from passenger vehicle air con product and 98 crores from ECM. And rest is roughly -- around INR 40 crores

And sir, in nine-month basis, how is the number?

Nine months basis, the breakup, just wait. So roughly around INR 1,550 crores from passenger vehicle car segment. And around INR 280 crores from ECM.

And truck and bus s egment, sir?

Truck segment would be around INR 40 crores – INR 60 crores and bus segment would be roughly INR 30 crores.

And railways, sir?

Railways is INR 6 crores and are some others.

We have the next question from the line of Aashin Modi from Equirus.

Sir, firstly, on the other expense side, so other expense has increased sharply qu

arter

quarter, and you said that about 80 b asis points effective of this currency. So could you explain this increase of other expense?

So other expense constitutes one major element of MTM losses. So MTM gain is a part of other income, whereas other expenses include MTM losses . So, if you see the comparison, both are on a variation side. Other income is also increasing as well as MTM is increasing. If Subros Limited January 25, 2023

term plan because this market for home appliances is also becoming very volatile now, because this whole commodity logistics was an all import, foreign exchange impact is not directly getting compensated from the contracts, which we

have with our OEMs. So we are going slow right now till the market has stabilized . We are not pushing the order booking at a very harsh pricing, which will impact finally the bottom line EBITDA margin and PBT margins. So we are going slow on that as of now. We'll watch for this market, when we get fully compensated on the cost escalation, we'll aggressively pursue this market again. So right now, we are slightly slow on that.

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 from Equirus.

Sir, firstly, on the other expense side, so other expense has increased sharply quarter -on-asis points effective of this currency. So could you explain
 So other expense constitutes one major element of MTM losses. So MTM gain is a part of . So, if you see the comparison,
 both are on a variation side. Other income is also increasing as well as MTM is increasing. If

you compensate to knock off, I think the impact is not significant. Hemant, you have any other?

Hemant Kumar Agarwal: Sir, if you see the impact is 0.8% in the other expenditure. And that 0.8% is contributed by MTM losses, which is grouped under other expenditure. That profit is clubbed under the head, other income. Earlier it was setting off.

Aashin Modi: Okay. Sir, what sort of

Hemant Kumar Agarwal: So, we do not have any currency loss going forward, because we are heading as per our contracts.

Aashin Modi: Actually, in this quarter. So, I mean, it is for the

Parmod Kumar Duggal: The SOP which already has gone into production is new EECO. The next SOP which will be coming would be the extension of new Jimny, which will be SOP by April again. So into production. And post that, we will be having SOP of Mahindra EV, which will be in '24.

For that we secured a large business two components. So that is how the lineup is already planned.

Aashin Modi: And sir, in this Maruti Baleno and Jimny, so, are we supplying all the supplying to them?

Parmod Kumar Duggal: So in Jimny, we have SOP all 100% thermal products with that. New Baleno extension of existing Baleno is also almost 100%. So both model has 100% business with us.

Aashin Modi: And in terms of new technologies, especially hybrid and EVs, over there. We have displayed that over in the Auto Expo as well, so what sort of a content increase do we see over there? And do we have all the technologies to supply the complete EV AC?

Parmod Kumar Duggal: So, for complete available, and as and when the demand would be there, we can roll requirement. Compressor being a very collaborator for a very important role for kicking off the investment for this product.

Aashin Modi: And sir, what sort of the content would be there? I mean, compared to an ICE, EV AC?

Parmod Kumar Duggal: ICE AC full system, if you take example of, roughly example of say INR 14,000, the EV would be around INR

Aashin Modi: Okay, so it is almost 3.5x

Parmod Kumar Duggal: Yes.

Page 8 of 14 you compensate to knock off, I think the impact is not significant. Hemant, you have any u see the impact is 0.8% in the other expenditure. And that 0.8% is contributed by MTM losses, which is grouped under other expend

iture. That profit is clubbed under the head, other income. Earlier it was setting off.

Okay. Sir, what sort of impact do we see of currency movement going forward?

So, we do not have any currency loss going forward, because we are heading as per our

Actually, in this – in your PPT, you have talked about three new SOPs starting from next quarter. So, I mean, it is for the two new Maruti model launches?

The SOP which already has gone into production is new EECO. The next SOP which will be

coming would be the extension of Baleno that would be by April. And after that, there will be new Jimny, which will be SOP by April again. So two models of Maruti, 1 has already gone into production. And post that, we will be having SOP of Mahindra EV, which will be in '24. For that we secured a large business for all their four platforms, not fully, but only for components. So that is how the lineup is already planned.

And sir, in this Maruti Baleno and Jimny, so, are we supplying all the supplying to them?

So in Jimny, we have SOP all 100% thermal products with that. New Baleno extension of existing Baleno is also almost 100%. So both model has 100% business with us.

And in terms of new technologies, especially hybrid and EVs, how do we see content going over there. We have displayed that over in the Auto Expo as well, so what sort of a content increase do we see over there? And do we have all the technologies to supply the complete EV So, for complete EV AC, other than compressor, we have all the technologies and products available, and as and when the demand would be there, we can roll requirement. Compressor being a very -high investment part, we are in discussion with collaborator for starting with pass-through and the subsequent localization, but volume plays a very important role for kicking off the investment for this product.

And sir, what sort of the content would be there? I mean, compared to an ICE, EV AC? ICE AC full system, if you take example of, roughly example of say INR 14,000, the EV would be around INR 35,000.

Okay, so it is almost 3.5x ? Subros Limited

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you compensate to knock off, I think the impact is not significant. Hemant, you have any u see the impact is 0.8% in the other expenditure. And that 0.8% is contributed by MTM losses, which is grouped under other expenditure. That profit is clubbed under the head, impact do we see of currency movement going forward?

So, we do not have any currency loss going forward, because we are heading as per our new SOPs starting from next

The SOP which already has gone into production is new EECO. The next SOP which will be by April. And after that, there will be models of Maruti, 1 has already gone into production. And post that, we will be having SOP of Mahindra EV, which will be in '24. platforms, not fully, but only for one or

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And sir, what sort of the content would be there? I mean, compared to an ICE, EV AC? ICE AC full system, if you take example of, roughly example of say INR 12,000 or INR

Aashin Modi: And sir, in the Maruti EV order, which you have secured. So there also we have secured, I mean, only

Parmod Kumar Duggal: Which one?

Aashin Modi: The Maruti EV order f

or which we have

Parmod Kumar Duggal: Maruti EV, we got almost 70% of the component, which are going into this.

Moderator: We have the next question from the line of Sachin from UTI.

Sachin: Sir, maybe just going back to the question

margin better, I think from 2000 or FY '20 level till now, maybe there is close to 500 basis point erosion in the profitability at EBITDA level. If you were to explain what is is this fall is structural?

How much of

when we expect the recovery in the margin or the profitability to happen. I'm not asking for guidance, but maybe if you can help me understand the nitty

Parmod Kumar Duggal: So, if I answer exactly, then it will be a guidance. So, I'll refrain from giving guidance.

Sachin Dinesh Trivedi: So, yes, let's not talk about the future, but at least the past if you can explain

Parmod Kumar Duggal: Sure. So, as I mentioned before, I'll

were at around 10% to 11% EBITDA before COVID period. And after that, now we are at around 6% to 7% EBITDA. So there is a dip of around 3.5% to 4.5% on EBITDA side or so. And majorly of this variation is contributed by the material sales ratio, and material sales ratio is mainly having impact of three major elements, if I say. One is of course the commodity price fluctuation, which has almost 28% to 42% where the fluctuation is in the commodities. There are certain commodities which are directly related to the product. There are certain commodities impacts, including fabrication, which is not variable, but it is not part of our contract. So, as I mentioned before, fabrication contributed roughly 0.4 Logistic costs contribute roughly 1%, 1.5% of total variation, and there are certain irregular processes also where the cost has increased, like fuel, helium or certain consumable, which are one-time impact. So far, we have not seen such a sharp increase in such elements of cost which is going in, so that has also impacted. So cumulatively there is almost 3% impact, which has deteriorated the bottom line so far. is one reason. Another part is as 40% to 50% business of ours has been now refreshed with the new model launches. So that means the turnover which was before, maybe 2019, and turnover composition which is now, is having almost 50% new business. And all new businesses are acquired, secured, because of the competition, maybe having impact of 0.75% to 1%, which Subros Limited

Page 9 of 14 And sir, in the Maruti EV order, which you have secured. So there also we have secured, I mean, only one or two parts, or we will supply them whole AC? Which one?

The Maruti EV order for which we have got the order?

Maruti EV, we got almost 70% of the component, which are going into this.

We have the next question from the line of Sachin from UTI.

Sir, maybe just going back to the question one. If I want to understand the fall margin better, I think from 2000 or FY '20 level till now, maybe there is close to 500 basis point erosion in the profitability at EBITDA level. If you were to explain what is this fall is structural?

How much of -- how this fall is maybe temporary? If you can help me understand that. And by when we expect the recovery in the margin or the profitability to happen. I'm not asking for guidance, but maybe if you can help me understand the nitty-gritties of it

So, if I answer exactly, then it will be a guidance. So, I'll refrain from giving guidance.

So, yes, let's not talk about the future, but at least the past if you can explain

Sure. So, as I mentioned before, I'll be -- maybe some part I'll be repeating again. So yes, we were at around 10% to 11% EBITDA before COVID period. And after that, now we are at around 6% to 7% EBITDA. So there is a dip of around 3.5% to 4.5% on EBITDA side or so.

And majorly of this variation is contributed by the material sales ratio, and material sales ratio is mainly having impact of three major elements, if I say. One is of course the commodity price fluctuation, which has almost 28% to 42% where the fluctuation is in the commodities.

There are certain commodities which are directly related to the product. There are certain commodities impacts, including fabrication, which is not variable, but it is not part of our contract. So, as I mentioned before,

fabrication contributed roughly 0.4

Logistic costs contribute roughly 1%, 1.5% of total variation, and there are certain irregular processes also where the cost has increased, like fuel, helium or certain consumable, which are one-time impact. So far, we have not seen such a sharp increase in such elements of cost which is going in, so that has also impacted.

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. If I want to understand the fall in the profit margin better, I think from 2000 or FY '20 level till now, maybe there is close to 500 basis point erosion in the profitability at EBITDA level. If you were to explain what is -- how much fall is maybe temporary? If you can help me understand that. And by when we expect the recovery in the margin or the profitability to happen. I'm not asking for gritties of it ?

So, if I answer exactly, then it will be a guidance. So, I'll refrain from giving guidance.

So, yes, let's not talk about the future, but at least the past if you can explain ?

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were at around 10% to 11% EBITDA before COVID period. And after that, now we are at around 6% to 7% EBITDA. So there is a dip of around 3.5% to 4.5% on EBITDA side or so. This variation is contributed by the material sales ratio, and material sales ratio are the major elements, if I say. One is of course the commodity price fluctuation, which has almost 28% to 42% where the fluctuation is in the commodities. There are certain commodities which are directly related to the product. There are certain commodities impacts, including fabrication, which is not variable, but it is not part of our So, as I mentioned before, fabrication contributed roughly 0.4 % of this variation. Logistic costs contribute roughly 1%, 1.5% of total variation, and there are certain irregular processes also where the cost has increased, like fuel, helium or certain consumable, which are causing a sharp increase in such elements of cost which So cumulatively there is almost 3% impact, which has deteriorated the bottom line so far. That is now refreshed with the new model launches. So that means the turnover which was before, maybe 2019, and turnover composition which is now, is having almost 50% new business. And all new businesses are having impact of 0.75% to 1%, which

will gradually be evolved through the localization effort, which we'll do because SOP condition was to start with as is

But gradually we have opportunity to improve on their full aggressive localization. So, I'm sure that within next 2 years' time, we'll come back to the pre-COVID situation, that's the only thing, which I can share with you right now.

Sachin Dinesh Trivedi: So basically, effectively you are saying some bit of the direct cost, which is, let's say, explaining you said commodity related is a 3% kind of increase, of this 28% to 40% which is the commodity

are under negotiation and logistics, which obviously we would have come down now, that benefit should come through, and you said, fuel, which is the helium

one-time and it will not recur in next quarter onwards

Parmod Kumar Duggal: No, it would be part of compensation, because so far, there was no reference with the customer for compensating such, but since the fluctuation is more than 100%, so that's why our request now with the OEM is to have a whenever prices will normalize, we will return back better. So we

are in that negotiation.

Sachin Dinesh Trivedi: Sure, and sir, the new business the margin, you said that can be done through localization, maybe if you can refer to a few components or if you can more elaborate on that, how do we intend to achieve this journey? What are the parts? If you can give us some

Parmod Kumar Duggal: So there are where the reference of component usage already exists through the overseas or import parts, which are import components.

For example, motors or, for example, some rubber hubs, some bearing, certain which are very high in terms of technology, which we started with import. Gradually planned and all these investments have been kicked off now to localize it and since the customer has a policy to give localization approval after So they are in progress. So probably between first half onwards substantial approvals of such localized sources. So from that onward, I think there will be some improvement on the bottom line.

Sachin Dinesh Trivedi: Sure. So this localization process, if I were to rightly just to sometime in H2 of next year. And maybe the benefit of that will be seen only in FY '25. Is that the right understanding?

Parmod Kumar Duggal: No, it will start. Once we move to the localization parts, it would be for the complete cannot have a ramp decline in trends.

Page 10 of 14 will gradually be evolved through the localization effort, which we'll do because SOP condition was to start with as is .

But gradually we have opportunity to improve on their full aggressive localization. So, I'm sure that within next 2 years' time, we'll come back to the pre-COVID situation, that's the only thing, which I can share with you right now.

So basically, effectively you are saying some bit of the direct cost, which is, let's say, explaining you said commodity related is a 3% kind of increase, of this 28% to 40%

which is the commodity -related, which we should get a pass- through, but the fabrication, we are under negotiation and logistics, which obviously we -- there is a international would have come down now, that benefit should come through, and you said, fuel, which is the helium -related one- time input cost can actually, again that's under negotiation or that's just time and it will not recur in next quarter onwards or maybe...

No, it would be part of compensation, because so far, there was no reference with the customer for compensating such, but since the fluctuation is more than 100%, so that's why our request now with the OEM is to have a one-time compensation or as a recurring compensation, so that whenever prices will normalize, we will return back better. So we are in that negotiation.

Sure, and sir, the new business -related cost escalation or maybe deterioration the margin, you said that can be done through localization, maybe if you can refer to a few components or if you can more elaborate on that, how do we intend to achieve this journey?

What are the parts? If you can give us some colour, that should be quite helpful

So there are -- since new components or new products which are coming in, all global models where the reference of component usage already exists through the overseas or import parts, which are -- which has to be used. So just to avoid the risk of SOP, we started using such import components.

For example, motors or, for example, some rubber hubs, some bearing, certain which are very high in terms of technology, which we started with import. Gradually planned and all these investments have been kicked off now to localize it and since the customer has a policy to give localization approval after six months of SOP of any new model. So they are in progress. So probably between first half of next year, we'll be able to get substantial approvals of such localized sources. So from that onward, I think there will be some improvement on the bottom line.

Sure. So this localization process, if I were to rightly just to summarize, we'll kick start sometime in H2 of next year

ar. And maybe the benefit of that will be seen only in FY '25. Is that the right understanding?

No, it will start. Once we move to the localization parts, it would be for the complete cannot have a ramp -up. So it could be -- by quarter three onward, you'll start seeing some decline in trends. Subros Limited

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will gradually be evolved through the localization effort, which we'll do because SOP But gradually we have opportunity to improve on their full aggressive localization. So, I'm COVID situation, that's the only

So basically, effectively you are saying some bit of the direct cost, which is, let's say, saying you said commodity related is a 3% kind of increase, of this 28% to 40% -- 48%, through, but the fabrication, we

there is a international logistics cost

would have come down now, that benefit should come through, and you said, fuel, which is time input cost can actually, again that's under negotiation or that's just

No, it would be part of compensation, because so far, there was no reference with the customer for compensating such, but since the fluctuation is more than 100%, so that's why our request time compensation or as a recurring compensation, so that

whenever prices will normalize, we will return back better. So we are in that negotiation.

related cost escalation or maybe deterioration of close to 1% in

the margin, you said that can be done through localization, maybe if you can refer to a few components or if you can more elaborate on that, how do we intend to achieve this journey? that should be quite helpful ?

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For example, motors or, for example, some rubber hubs, some bearing, certain -- those levers, which are very high in terms of technology, which we started with import. Gradually, we have planned and all these investments have been kicked off now to localize it and since the months of SOP of any new model.

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sometime in H2 of next year. And maybe the benefit of that will be seen only in FY '25. Is that

No, it will start. Once we move to the localization parts, it would be for the complete model, it onward, you'll start seeing some

Sachin Dinesh Trivedi: And sir, in terms of single digit, and that

urgently we are working towards improving our metrics on that, if you can help me with that

Parmod Kumar Duggal: So ROC has

And as we deteriorated in 3% to 4% on margin, so that has one element of deterioration of ROC, which we are sure will come back on that. Second, now delta investment on incremental capacities which we need to generate to cater investment.

As I keep on repeating in my previous calls also that INR

roughly capex

now we started ge

don't see a very high burden on

internal accruals only. So we'll not be binding more on that.

So that's how I think the rules will improve as we start improving in quarters for profitability.

You will see we'll be coming back crossing first of all,

15% to 17%.

Moderator: The next question is from the line of Abhi

Abhishek: What is your

Parmod Kumar Duggal: We have not yet concluded our annual plan for next year, but it could be in similar line of the last year, as I mentioned, between around INR

Abhishek: And in this year, sir, how much

the quarter

Parmod Kumar Duggal: This year also, whatever we planned for was around INR

We will not be exceeding t

Abhishek: And sir, as the Maruti is going to add its capacity, so most probably, you will also add the capacity in the next year. So within INR

Parmod Kumar Duggal: So that's what

Maruti as a first half

will not be in day

line shifted from

So we need to watch full

of that. Once we have a found plan that Maruti is moving to 3 million

and then subsequent to that 3 million to 4 million, we'll line up our investments accordingly.

Right now, we are focusing on 2.5 mill

Maruti.

Page 11 of 14 And sir, in terms of capex, how are we looking at capex because our ROCs are already hit single digit, and that I'm sure that's not a sustainable level at which we want to operate. So how

urgently we are working towards improving our metrics on that, if you can help me with that

So ROC has two elements. One is, of course, profitability plays a very important role for ROC.

And as we deteriorated in 3% to 4% on margin, so that has one element of deterioration of ROC, which we are sure will come back on that. Second, now delta investment on incremental capacities which we need to generate to cater to FY '24, FY '25, they are not very large investment.

As I keep on repeating in my previous calls also that INR 70 crores to INR

capex, which includes the replacement maintenance as well as new programs because

now we started getting substantial part of our capex is compensated from customers. So we

don't see a very high burden on capex. We will be maintaining the capex

internal accruals only. So we'll not be binding more on that.

So that's how I think the rules will improve as we start improving in quarters for profitability.

You will see we'll be coming back crossing first of all, two digits and then crossing maybe

15% to 17%.

The next question is from the line of Abhi shek from Dolat Capital.

What is your Capex plan for FY '23 and '24?

We have not yet concluded our annual plan for next year, but it could be in similar line of the

last year, as I mentioned, between around INR 100 crores.

And in this year, sir, how much capex you have already incurred? And what is your plan for the quarter four?

This year also, whatever we planned for was around INR 110 crores, we will be within that.

We will not be exceeding that.

And sir, as the Maruti is going to add its capacity, so most probably, you will also add the

capacity in the next year. So within INR 100 crores, is it possible to set up a plan?

So that's what -- I mentioned that we are planning for 2.5 million capacity requirement of Maruti as a first half -- and so far, with even the Kharkhoda plant, the incremental capacity will not be in day one. There will be some one line setup. And after that, there will be some line shifted from the existing Gurgaon plant.

So we need to watch full of that. Once we have a found plan that Maruti is moving to 3 million and then subsequent to that 3 million to 4 million, we'll line up our investments accordingly. Right now, we are focusing on 2.5 million, which is a short-term capacity requirement of Subros Limited January 25, 2023

because our ROCs are already hit

I'm sure that's not a sustainable level at which we want to operate. So how urgently we are working towards improving our metrics on that, if you can help me with that? very important role for ROC.

And as we deteriorated in 3% to 4% on margin, so that has one element of deterioration of ROC, which we are sure will come back on that. Second, now delta investment on incremental to FY '24, FY '25, they are not very large

70 crores to INR 100 crores is our

, which includes the replacement maintenance as well as new programs because is compensated from customers. So we capex investment out of the

So that's how I think the rules will improve as we start improving in quarters for profitability. digits and then crossing maybe

We have not yet concluded our annual plan for next year, but it could be in similar line of the you have already incurred? And what is your plan for 110 crores, we will be within that.

And sir, as the Maruti is going to add its capacity, so most probably, you will also add the 100 crores, is it possible to set up a plan?

planning for 2.5 million capacity requirement of and so far, wi

th even the Kharkhoda plant, the incremental capacity

. There will be some one line setup. And after that, there will be some

So we need to watch full of that. Once we have a found plan that Maruti is moving to 3 million and then subsequent to that 3 million to 4 million, we'll line up our investments accordingly. term capacity requirement of

Abhishek: And as you mentioned the includes this capacity expansion plan or it is excluding?

Parmod Kumar Duggal: No, it will be sep aligning this along with the Maruti Delta investment for future capacities for FY '26, '27.

Abhishek: And what would be the

Parmod Kumar Duggal: Right now, we

Abhishek: Sir, in home AC segment, how much revenue in you've done in last

Parmod Kumar Duggal: So I don't have a sale is around INR

Abhishek: Total sales INR

Parmod Kumar Duggal: It would be another INR mentioned before, we are not bullish right now for aggressively pursuing this business because of too much pressure of commodities and the price compensation not available from OEMs. So we are going slow on that.

Abhishek: And you have also made some investment under PLI segment. So how much going to do in that particular area?

Parmod Kumar Duggal: No, we have not opted for PLI for any segment. So there is no commitment for PLI investments.

Abhishek: And my last question is on the new business win. So from that, we know also business from the Toyota and this Maruti. So how much incremental revenue you will get in FY '24 from this business, Bangalore plant?

Parmod Kumar Duggal: So Toyota Maruti Alliance bus 200,000 for the year. So, we'll be having around INR coming on from that line.

Abhishek: And how much is expected in this year, sir?

Parmod Kumar Duggal: For current year, because it was started I think in September. So, it may be around INR crores to INR

Moderator: We have the next question from the line of

Harsh Gemavat: I just had a couple of questions. You answered Maruti, Mahindra and our other bigger customer?

Parmod Kumar Duggal: What is your question, what how much is...

Page 12 of 14 And as you mentioned the capex for the next year, that would be the \$1 billion, that also includes this capacity expansion plan or it is excluding?

No, it will be separate. So this plan of INR 100 crores would be for FY '24, FY '25, we will be aligning this along with the Maruti Delta investment for future capacities for FY '26, '27.

And what would be the capex for that?

Right now, we cannot assess that. We would need to wait for Maruti's overall plan coming out.

Sir, in home AC segment, how much revenue in nine months and how much EBITDA loss you've done in last nine months?

So I don't have a EBITDA loss figure, but I can only refer to that in home air con, our to sale is around INR 78 crores.

Total sales INR 78 crores? And what is your target for this year, FY '23?

It would be another INR 2 crores to INR 3 crores in this quarter because we are not mentioned before, we are not bullish right now for aggressively pursuing this business because of too much pressure of commodities and the price compensation not available from OEMs. So we are going slow on that.

And you have also made some investment under PLI segment. So how much going to do in that particular area?

No, we have not opted for PLI for any segment. So there is no commitment for PLI investments.

my last question is on the new business win. So from that, we know also business from the Toyota and this Maruti. So how much incremental revenue you will get in FY '24 from this business, Bangalore plant?

So Toyota Maruti Alliance business, this Grand Vitara is roughly estimated to be around 200,000 for the year. So, we'll be having around INR 300 crores plus incremental turnover coming on from that line.

And how much is expected in this year, sir?

current year, because it was started I think in September. So, it may be around INR crores to INR 140 crores this year.

We have the next quest

ion from the line of Harsh Gemavat.

I just had a couple of questions. You answered most of them. So what is the current SOP with Maruti, Mahindra and our other bigger customer?

What is your question, what how much is... Subros Limited

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for the next year, that would be the \$1 billion, that also

100 crores would be for FY '24, FY '25, we will be

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most of them. So what is the current SOP with

Harsh Gemavat: Our share of business with Maruti, Mahindra and other business, our other bigger cu

Parmod Kumar Duggal: So, Maruti, we have around 76% share of business. With Mahindra, we have 24%. Renault Nissan, we have around 17%, and Tata Motors, including CV segment, we have around 30%, 32%.

Harsh Gemavat: And sir, talking about our growth

growth. Is there any major reason for that? Could you tell us our key competitors in the petrol and diesel segments in the PV sector, and what kind of market share do we command?

Parmod Kumar Duggal: So, competition is Mahle, Hanon, Calsonic or Sanden, but basically in PV segment, we have a market share of around 40%. And while the growth is low as compared to the industry growth is that Tata Motors and Hyundai has grown because Maruti has shrunk their

from 48% right now, they are around 40%, 41% or so. So that has an implication on overall growth and percentage.

Harsh Gemavat: And sir, do you have a split between our market share in the petrol and diesel vehicles?

Parmod Kumar Duggal: So that is insignificant now because Maruti has stopped diesel vehicle production. So, we don't count on now category, because our product is not differentiating between diesel and petrol.

Harsh Gemavat: And one more thing, what is the current inventory situation at normal levels currently?

Parmod Kumar Duggal: No. We are at around INR

INR 30 crores to INR

airfreight because the fluctuation in volume are quite significant. So

is also very high. To avoid that, we are keeping this buffer. And as and when this situation will be normalized, we'll be liquidating

Harsh Gemavat: And sir, you called out the higher freight cost. So sir, I just wanted to know which regions do we import most of our import content from?

Parmod Kumar Duggal: So it is Japan, China, Thailand, they are the major contributor four countries from where the maximum imports are.

Moderator: Ladies and gentlemen, as there are no further questions from participants, I now hand the conference over to the management for closing comments. Please go ahead.

Parmod Kumar Duggal: So thank you very much for all your patient hearing and we understand the mode of curiosity is towards the top line as well as on the bottom line. So top line, we are doing fairly okay. 32% growth definitely is a benchmark for us also to sustain. So top line growth is what we are intended for, we have realized that.

But of course, the challenge on bottom line is there. So rest assured the company is doing all aggressive

action to recover back to the normal level of profitability. Please wait for quarters, and we'll come back on that. Thank you so much.

Page 13 of 14 Our share of business with Maruti, Mahindra and other business, our other bigger cu

So, Maruti, we have around 76% share of business. With Mahindra, we have 24%. Renault Nissan, we have around 17%, and Tata Motors, including CV segment, we have around 30%. And sir, talking about our growth in PV segment was only 23% compared to the 36% industry growth. Is there any major reason for that? Could you tell us our key competitors in the petrol and diesel segments in the PV sector, and what kind of market share do we command?

So, competition is Mahle, Hanon, Calsonic or Sanden, but basically in PV segment, we have a market share of around 40%. And while the growth is low as compared to the industry growth is that Tata Motors and Hyundai has grown because Maruti has shrunk their from 48% right now, they are around 40%, 41% or so. So that has an implication on overall growth and percentage.

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So that is insignificant now because Maruti has stopped diesel vehicle production. So, we don't count on now category, because our product is not differentiating between diesel and petrol.

And one more thing, what is the current inventory situation? Is our inventory going up or is it at normal levels currently?

No. We are at around INR 300 crores plus inventory, and it is delta by our standards by around 30 crores to INR 40 crores. And this is a diligent call we have

airfreight because the fluctuation in volume are quite significant. So

is also very high. To avoid that, we are keeping this buffer. And as and when this situation will be normalized, we'll be liquidating that.

And sir, you called out the higher freight cost. So sir, I just wanted to know which regions do we import most of our import content from?

So it is Japan, China, Thailand, they are the major contributor -- and India countries from where the maximum imports are.

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Our share of business with Maruti, Mahindra and other business, our other bigger customer?

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But of course, the challenge on bottom line is there. So rest assured the company is doing all
aggressive action to recover back to the normal level of profitability. Please wait f or a few

Hemant Kumar Agarwal: Thank you.

Moderator: Thank you members of the management and Mr.
Batlivala & Karani Securities, that concludes this
you may now disconnect your lines. Thank you.

Page 14 of 14 Thank you.

Thank you members of the management and Mr. Gemavat. Ladies and gentlemen, on behalf of
Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and
you may now disconnect your lines. Thank you. Subros Limited
January 25, 2023

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conference. Thank you for joining us, and

Call: May 2023

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"Subros Limited
Q4 FY23 Earnings Conference Call"

May 26, 2023

MANAGEMENT : MR. PARMOD KUMAR DUGGAL – WHOLE-TIME DIRECTOR &
CEO, SUBROS LIMITED
MR. HEMANT KUMAR AGARWAL –CFO & VP (FINANCE),
SUBROS LIMITED
MR. SUKBHINDER SINGH GILL – AVP (FINANCE),
SUBROS LIMITED
MODERATORS : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Subros Limited
May 26,2023

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Moderator: Ladies and gentlemen, Good Day and welcome to the Subros Limited Q4 FY23 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you and over to you, Sir.

Annamalai Jayaraj : Thank you Faizan. Welcome to Subros Limited Q4 FY23 and FY23 Post-Results Conference Call.

From Subros Limited Management we have with us today Mr. Parmod Kumar Duggal – Chief Executive Officer, Mr. Hemant Kumar Agarwal – Chief Financial Officer and Mr. Sukbhinder Singh Gill – Assistant Vice President Finance.

I now hand over the call to Mr. Parmod Kumar Duggal for the opening remarks to be followed by a question-and-answer session. Over to you, Sir.

Parmod Kumar Duggal : Investor call for Quarter 4 FY23. First, I will want to share good news to all the stakeholders here that we have realized the highest ever turnover of Rs. 2,806 Crores during the year with the growth of 25%. This is despite all the odds and constraints which are available in the industry including the fluctuation of demand due to semiconductor shortages or any other fluctuation on the customer side. We are able to realize this milestone of Rs. 2,800 Crores plus turnover during the year FY22-23. Today, I will have a slightly longish briefing so please bear with me.

The automobile industry started the year FY23 on a very promising note and the last four quarters have been very good from a growth perspective. The market is showing a sharp recovery post COVID and order booking at OEM and is also very high giving us some confidence of continual growth pattern for the subsequent period as well. While on one hand we see a revival of vehicle demand and on other hand the high commodity prices and inconsistent semiconductor availability are aggravating problem for the auto manufacturers which is causing major concern for the industry. The increasing price of commodities in India has resulted a record high price of the new and used vehicle in the country. The result of quarter 4 FY23 has been shared with the stock exchange and also posted on our website.

Let me elaborate the summary of the results one-by-one:

In this quarter, passenger vehicle industry has shown growth of 13% on production basis which is relevant for us in comparison with corresponding quarter of last year the year growth Subros Limited
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is 25% from the last year whereas Subros CV segment thermal product growth in Quarter 4 is 19% as compared to the corresponding quarter. The annual growth of 28% as compared to the last year. So, our performance is slightly better than the industry performance due to the model mix. Commercial vehicle bus is also improving because of the tourism sector and school businesses are reviving fully now. AC fitment ratio has also improved in the industry and has overall growth on production basis is 117% whereas Subros has registered a growth of 59% in comparison with the corresponding quarter of the last year and annual growth of 42% in this segment.

Further on commercial vehicle – Truck N2 and N3 category which is relevant for the AC or the blower industry for us. Industry has shown an upward trend in last two years. It has shown a growth of 5% in Quarter 4 as compared to the corresponding quarter of the last year and annual growth of 28% as compared to the last year. Our growth in this space is 5% in Quarter 4 and 32% in the year. Growth is mainly because of the AC f

itment ratio which has better

during this period which is favorable for us. In home AC space, we have realized a turnover of Rs. 84 Crores due to the commodity price fluctuation and with no arrangement of back-to-back compensation from the OEMs we have muted our efforts on the home AC product for the time being to protect our operating margin. We will watch this segment till softening of commodity prices before we push sales more aggressively again. Revenue from operation has been recorded at Rs. 748 Crores during this quarter corresponding quarter was Rs.681 Crores overall there is a 10% growth in this quarter as compared to the last quarter.

Let me explain each segment wise contribution of sales during the quarter:

During this quarter Car and non-Car segment has contributed 94% and 6% respectively. Maruti Suzuki Motor Gujarat has contributed 84% of the total sales during the quarter. Our share of business in the passenger vehicle aircon market is maintained at 40% plus during the quarter of business in truck AC segment is 42% and in bus segment it is 20%.

Now I will talk about the operational performance:

As I mentioned before there are a lot of challenges of the supply chain, commodity price fluctuation, logistic cost escalation, dollar currency movement which has impacted not only the supplies, but also the operating margin in a big way during last four quarters. Commodity prices fluctuation during FY23 has impacted substantially on the material sales ratio though there is a compensation formula for the regular commodities with the OEMs, but there is a quarter lag and also it is not fully compensation there are certain parts which are not compensated.

Further, for non-regular commodities which are used in our supplies, the cost impact also is substantial during this period. We are in discussion with the customer for setting up the new compensation formula for future. Gas prices and other consumer goods prices due to Ukraine war also started impacting now the trends are on rising side and also delay in localization also Subros Limited
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has a substantial cost impact through the air freight of certain parts during the quarter which has impacted MSR during the quarter by almost 1% otherwise we would have been better as compared to the last quarter. The Company has realized EBITDA of Rs. 56.67 Crores in Quarter 4 as against EBITDA of Rs. 49.88 Crores in the corresponding quarter of last year. If we compare EBITDA with the corresponding quarter of the last year, it has improved by 14%. If we compare this with the previous quarter, Quarter 3 of FY23 it is better by 35% and if we compare this with the corresponding last year on an annual basis it is improved by 19%. Profit before tax in Quarter 4 is Rs.26.69 Crores which is 3.57% of the net sale. If we compare this with the corresponding quarter it has improved by 26% and if we compare this with the previous quarter it has better by 118%. Profit after tax is Rs.18.64 Crores which is 2.5% of the net sale and this has also improved as compared to corresponding quarter by 10% and with the previous quarter 128%.

If I have to summarize the overall financial results revenue of Rs.748 Crores in Quarter 4 and annual revenue of Rs. 2,806 Crores the annual growth of 25%, EBITDA level of Rs. 56 Crores annual EBITDA of Rs. 188 Crores with the growth of 19% PBT of Rs. 26.69 Crores in Quarter 4 overall Rs. 71 Crores in FY23 with the growth of 56% that is how the overall financial summary is.

Now I will give few business updates which is important for us for sustainable growth. In FY23 the performance is best so far for the revenue side, consistent double-digit growth is what I have been informing consistently in my previous talks with you and we have realized it as of now and we will continue this trend even for future as well. Profitability is a bit challenge for the last two years, but now the curve is moving t

o the upside and we intend to improve

from here on and profitability and EBITDA level will start moving positively. The debt level is almost negligible and this will support our cash generation more positively, localization focus to derisk ourselves from the global cost pressure and economic fluctuation is also continuing. In the last 7 years we have reduced the import content by 10%. We are at currently 16% of our total revenue our import content and we are targeting to make it below 10% in next two to three years' time. With respect to the new business and product development the mobility landscape will fundamentally transform in next 8 to 10 years with the ACs trend and autonomous driving connecting cars and electrified vehicle and with the share mobility amplifying their impact. We are preparing with our collaborator enabling all the products which are required for this transformation.

There is a significant success in securing new business from our customers business lines up to 2025 or 2026 is almost completed and we will ensure that our sustainable growth in future follows the same trend. We have targeted to realize 15% of the total turnover coming from hybrid or electric vehicle. This target we started realizing through the order booking and we already reached to 15% started supplying from 2025-26. There are a few new initiatives which are significant from our strategic growth and profitability perspective. Mahindra new Tractor a collaboration project with Mitsubishi Japan and Mstar tractor for the US market, the SOP is in Subros Limited

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progress and within next quarter both the SOPs will be matured. These sectors will be exported to Japan and US markets and we have both ECM and HVAC business for K2 Tractor and HVAC system called Mstar tractor. This will add to our growth journey in tractor space both in aircon as well as in ECM and our mission to export product through the OEMs to the US and Japan market also will be realized.

As we informed earlier the new technology Vane Rotary Compressor launched in India two years back. I am happy to inform you that the matured business of Rs. 250 Crores we have realized in this new launch this is in collaboration with Denso post our equity infusion. The new THF radiator applicable for hybrid vehicle is also launched in Grand Vitara hybrid vehicle. This is again our collaboration effort with Denso and this is a new technology product first time launched in India. The product for EV thermal space is also under development with the support of Denso, significant to mention here that this year many new SOPs has been done and in this context the new fronts which have started in March 23 also using Subros thermal products. Thank you very much and now open for questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain : So, my question is on margins because what we have seen across most of the auto ancillary with commodity prices were coming down we have seen with lag most of them showing decent improvement in margins, but in launches the margins seems to be sticking at a very low level consistently over the last four or five quarters now. So, I fail to understand that what is leading to this kind of margins for us?

Parmod Kumar Duggal : Mr. Jain I tried to reply this as part of my initial brief also that there are two element material sales ratio which started improving over a period of time, but this quarter it was high due to one transaction which is air freight done to bring the parts because of the sudden demand increased from the OEM side this is almost having impact of 1%, but if you minus that at least slightly better from the trend which was seen for last two to three quarter. Overall margins because we tried to offset this impact by improving internal efficienc

ies that is how the staff

cost and other expenses have come down as compared to the previous quarter and from the corresponding quarter. So, efforts are now there to improve the margins and that is how this quarter looks better than the previous four to five quarters. So, this effort will continue. On the contrary Resham you must appreciate one thing is here when you talk of dip in the margin you talk of the percentage terms. So, please understand this business model whenever there is a spike in the commodity or maybe logistics cost or maybe other factors this is compensated by the customer on one-to-one basis. So, if you see the same compensation which you got from the customer you are definitely MSR will go up without diluting your absolute margins or absolute profits. So, definitely it will be reflected in percentage terms without diluting the profit margins of the Company.

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Resham Jain : No, so if I look at the absolute profit also over the last three years if I look at FY19 what has happened is that our mix is improved in terms of the vehicles for which we are supplying and the overall volume for the industry is also normalized in Q4 now, so if I do a like to like comparison also your absolute profit has also been much lower than what you used to do earlier and this kind of margins and profitability our ROCE continues to remain at hardly close to 10%, so that is what I was trying to understand?

Parmod Kumar Duggal : I understand your concern is well appreciated, but the only point is that curve has to start moving upside. If you compare Quarter 4 ROC It has crossed around 15%, but overall yes it is less than 10%. We have to come back to the normal level pre COVID level. So, if you are comparing the results from 2019 which was the best year when we closed almost 6% PBT from there many changes has happened, new products have been launched, new technologies have been launched, external impact of external world has also come down. So, things will improve as I mentioned in the previous call also that we need two to three quarters to make correction. Once the curves start moving upside, there will be definitely much more results coming positively.

Resham Jain : So, the other question is on CAPEX at the beginning of the year we mentioned Rs.70 Crores to Rs. 80 Crores CAPEX, but when we look at the numbers from the cash flow it seems that including some land purchase we have done almost Rs. 130 Crores CAPEX, so what really happened during the year for this increase almost Rs. 80 Crores to Rs.50 Crores further enhanced CAPEX?

Parmod Kumar Duggal : So, as you rightly said if you have seen in the CAPEX outflow it is not a land purchase it is a purchase of the plant our PDC die casting plant which was on rent that Company has purchased the land and building from the owner. So, that itself cost RS. 28 Crores that there was not plan earlier when we discussed about Rs. 80 Crores. So, Rs.28 Crores is that amount only.

Resham Jain : This happened in which quarter?

Parmod Kumar Duggal : September quarter in Quarter 2 so around 28 Crores is that impact and we decided to purchase that land and building because our total operation was totally dependent on that unit. So, we purchased that. So, that was not planned when we discussed you earlier on the call.

Management : In addition to that Mr. Jain few CAPEXes which we incurred already, but the recovery from customer because the SOPs are happening this year so that the final tools and the project cost recovery will happen in this year. So, that also has some reflection on overall number.

Resham Jain : So, sir for next year any thoughts on how the profitability should be given that there will be some lag and there was some one off, so how overall how should one think about profitability for '24-25?

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Parmod Kumar Duggal : I will not be specifying the exact nu

mbers, but of course it would be better than the year which we crossed FY23. It would be better than this I will say greater than this so you can just take this as a positive observation.

Resham Jain : Any margin guidance?

Parmod Kumar Duggal : We will not be able to spell out those specifically.

Moderator : Thank you. The next question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead.

Nikhil Rungta : Sir, just to continue on this margin side in your opening remark you indicated that you intend to reach to 8% to 10% margin in next two to three years am I correct on that?

Parmod Kumar Duggal : No, it was related to the localization ratio. What I said was that currently the import content of the total revenue is 16%. We intend to go below 10% in the next two to three years.

Nikhil Rungta : So, on the margin if I have to look from a three-year perspective will we be able to reach to our historical levels?

Parmod Kumar Duggal : Yes we are that is what we are inching for now. So, we have to revive back the situation which was there pre COVID. So, that is the effort which we are pursuing now.

Nikhil Rungta : And sir on the home AC segment you indicated that you cannot do a pass through here, so what is the issue here I mean, is it that we cannot do a restructuring of our contracts or what exactly is the issue in this particular segment?

Parmod Kumar Duggal : See this is the reason that business model for home aircon is slightly different from the auto or other mobility space. So, here the contracts are fixed normally for the season. So, renegotiation of contract was not possible that is why we have to mute ourselves for pursuing more aggressive business although business was available to the tune of Rs. 240 Crores to Rs. 250

Crores, but we decided otherwise our operating margin operation overall profitability would have impacted gradually. So, we decided not to pursue that. So, we are waiting for the market to normalize and then again we will revive back. The problem is not from the market side, but from the compensation side.

Nikhil Rungta : And on the margins in our auto segment, you indicated that there is a pass through which happens on a quarterly lag basis, but there are lot of components which are not compensated by OEMs, so what all components would be there which are not compensated by OEMs?

Parmod Kumar Duggal : Normally the proprietary parts where we do not declare the break up to the customer so they are not compensated, but on proprietary parts suppliers do get the price increases based on our contracts with them.

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Nikhil Rungta : And what would be our CAPEX guidance for FY24?

Parmod Kumar Duggal : So, CAPEX for FY24 would be between Rs. 90 Crores to Rs. 100 Crores mainly because of the new launches which are planned now including the EV vehicle for Maruti and for other customer. There will be substantial investments going for this project because many new technologies will be included in EV products.

Nikhil Rungta : And you indicated that 15% of your revenue or order would be from hybrid and EV by '25-26?

Parmod Kumar Duggal : Correct.

Nikhil Rungta : And out of this CAPEX of Rs. 90 Crores to Rs. 110 Crores how much would be going toward EV and hybrid?

Parmod Kumar Duggal : So, EV will I think consume around Rs. 20 Crores to Rs. 25 Crores.

Moderator : Thank you. The next question is from the line of Aashin Modi from Equirus. Please go ahead.

Aashin Modi : So, sir we are talking that 15% of our revenue to come from EV and hybrid, so if you could give us some understanding on what sort of a content increase do we see in strong hybrid in EVs and currently in strong hybrid in Grand Vitara, what sort of a share of business do we have and are we supplying the whole kit or are we supplying some of the products?

Parmod Kumar Duggal : So, in Grand Vitara we are supplying HVAC, we are supplying hose and

d tube ECM that is

radiator with fan shroud module, aspirators and these are the products which are right now in the scope of supply of Subros. Going forward in the EV space when we are entering we will be supplying HVAC hose and tube condenser. This is the next EV project and with Mahindra EV a substantial portion of the hose and pipe will be in our scope. So, that is how each business is decided based on the different scope which OEM will be deciding for us.

Aashin Modi : And sir on the overall kit value basis what will be the difference for strong hybrid versus ICE?

Parmod Kumar Duggal : So, between strong hybrid if you exclude compressor which is normally 4x from the conventional compressor so for other part it would be around 20% to 25% realization more realization.

Aashin Modi : And sir my next question is on so we have two things. We have one price pass through and one some non-essential commodities which are not price pass through so if you could give us an understanding how is the prices of the commodities right now and do we see signs of them softening of the non-price pass through commodities?

Parmod Kumar Duggal : So, commodities started softening if you see the LME trend plastic trends and also on the copper side, steel side the trend starts softening. Now, if you compare it with the June quarter or September quarter the trends are down now. For example, if we have not got compensation

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for certain commodities during the peak time so that means we need not to pass on the benefit also now to the OEM where the arrangement is not there. So, that will help us improve further. So, we are expecting now by maybe next two quarters the commodities and the other economic factors will start softening.

Aashin Modi : And sir the few gases which we said last time that aren't the price pass through, so what is the trend on those?

Parmod Kumar Duggal : That is mainly because of the Ukraine war certain gases which are source or the materials which are sourced from that location their prices started or they have already peaked up now.

So, we had engagement with customers for compensation there is so far favorable response from them. So, still the conclusion has not happened, but we are expecting within quarter or so we will be able to realize that delta because the extraordinary incident.

Moderator : The next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek : Sir increase in the fabrication cost was the main drag of your gross margin, so what is the progress in that part sir?

Parmod Kumar Duggal : Abhishek fabrication cost is also raised up to the customer now. They are considering that

because lot of other suppliers is also claimed for these fabrication costs which are again extraordinary not part of the normal compensation OEM has to decide as a policy on that still that is not yet concluded, but our efforts are on for that.

Abhishek : So, how much benefit we can get in FY24, so what is your margin target for FY24 especially on the gross margin side where the reversal is happening on the raw material cost?

Parmod Kumar Duggal : So, answering your first part I will not be able to quantify how much compensation will get from OEM that is the part of negotiation, but as I mentioned before on the overall margin guidance it will improve from the current level and it will improve substantially.

Abhishek : So, as we are seeing that many companies are getting the benefit of the fall in the raw material cost, but in case of Subros we are not seeing the numbers, so just wanted to understand when will you start to get the numbers on a PL?

Parmod Kumar Duggal : No, from overall margin as I mentioned it will start improving you must have seen now quarter-on-quarter, last quarter we clocked EBITDA of Rs. 42 Crores this quarter it is Rs. 56 Crores. So, improvements are available and it will continue now.

Abhishek : I a

m talking about the gross margin side sir, so gross margin has contracted around 600 to 700 days in last many quarters and there is not any benefit is coming from the from commercial tailwind, so just wanted to understand when we will start to get it?

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Parmod Kumar Duggal : So, as I mentioned, I am just repeating myself that on the gross margin situation before COVID and after COVID substantially has changed almost 6% to 7% impact has been absorbed so far. We see that it will be coming back to almost at a level of less than 74% in next three to four quarters and coming back to around 72 another one year would be required.

Abhishek : So, in that case can we see the margin of 9% to 9.5% in FY24 after getting the benefit of the gross margin expansion and plus this operating leverage benefits?

Parmod Kumar Duggal : So, you can take reference from what I said exactly number prediction would be difficult, but yes there would be definitely improvement as I mentioned 2% to 3% improvement is visible in next one to two years in a short term.

Abhishek : And sir my last question is on in the home AC, are you looking for any CAPEX for the home AC segment or do you have any long-term plan?

Parmod Kumar Duggal : Abhishek no further investment till we revive back to the normal level whatever capacities we have are sufficient enough to take care of the volume based on the market demand. So, as of now we are not investing further into home AC space.

Moderator : Thank you. The next question is from the line of Mayur Liman from Profitmart Securities. Please go ahead.

Mayur Liman : I just wanted to understand about the SOP new project which is in the pipeline for a quarter first 2024?

Parmod Kumar Duggal : So, Mayur the new projects which are starting and which has started just at the start of the year is the new Fronx of Maruti Suzuki new that Jimmy which is again launched now will start during this period Quarter 1. Mahindra tractor both the SOPs will happen in Quarter 1 that is K2 that is Mitsubishi project and M-Star for US. market. In addition to that Mahindra Electric cars or SUVs also will be SOP during this time. So, for that SOPs are planned Quarter 1 or Quarter 2 these SOPs will happen.

Mayur Liman : And the last question on how do you see the Financial Year 2024 and what is our expectation and the outlook for the Financial Year 2024?

Parmod Kumar Duggal : So, as I mentioned in my initial remark that FY24 we are positive in terms of market demand and the recovery and we are expecting slightly on the double-digit growth itself. We are trying to maintain that trend.

Moderator : Thank you. The next question is from the line of Aditya Makharia from HDFC Securities. Please go ahead.

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Aditya Makharia : Have you been able to take any price hikes with your customers for the new models you had won because the impression we had is that the new models had come at a lower margin for us initially, but has there been any ability to take price hikes with the customers on these?

Parmod Kumar Duggal : Aditya for new models, the price correction from the RFQ to the SOP economic condition change has already been factored in and they have been compensated by customer. So, that is the positive part. So, we all the SOPs are starting at the SOP month conditions not at the RFQ conditions.

Aditya Makharia : Sir, any quantification is it like 100 bps benefit or a 150 bps?

Parmod Kumar Duggal : I will not say benefit because that much cost will be incurring. As Hemant also mentioned that

if compensation is Rs. 100 and the cost is also Rs. 100 so it will not reflect into overall percentage improvement, but it will at least neutralize the profits impact on the profits.

Aditya Makharia : And sir just on the hybrid variance for the strong hybrids is the realization on the air conditioner higher than the regular like is there a

different technology because in EV you need

a totally different technology of the compressor, but for a strong hybrid does it require different technology or it is just currently?

Parmod Kumar Duggal : A few parts will get changed for hybrid vehicle normally 15% to 20% is the delta which will be the realization other than compressor. If you include compressor it would be roughly 30% to 32%, but right now in Grand Vitara, we are not supplying the compression.

Aditya Makharia : But do you expect to supply, is it?

Parmod Kumar Duggal : Only for EV part for other Grand Vitara normal model we are supplying the compressor.

Moderator : Thank you. The next question is from the line of Varun Arora. Please go ahead.

Varun Arora : Sir, first question is on this revenue breakup if you can get me on CBSC raw materials and others for a whole year FY23.

Parmod Kumar Duggal : So, overall, I will give you broadly a break up of Rs. 2,800 Crores. So, out of that around Rs. 2,100 Crores is for PV thermal product around Rs. 400 Crores for ECM, Rs.35 Crores for bus, Rs.80 Crores for truck, Rs.85 Crores for home AC and the balance is in the other part.

Varun Arora : Sir, on this Jimny and Fronx so that SOP is going into this quarter Q1, so that sort of revenue we are looking at from these two SOPs and Mahindra EV SUV 400 if you can give us just a ballpark number will also works for us?

Parmod Kumar Duggal : So, very ballpark figure would be that next year we will be having around Rs. 115 Crores to Rs. 130 Crores delta coming in from the SOPs or from the delta business which we got.

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Varun Arora : And can we see the impact in the Q1 effort 24 only I mean are we having this in this current quarter?

Parmod Kumar Duggal : Q1 it would be only the Fronx which is already commercialized to the full, but rest started ramping up it will take I think the major reflection will come in Q2.

Varun Arora : And sir on the inventory level so what is the current inventory level as the last time you have stated that your inventory level showed that like Rs.315 Crores and it was blocking your 10% to 15% cash flow that you stated last concall, so can you just give some comments on that?

Parmod Kumar Duggal : So, it has reduced from that quarter I think roughly Rs. 290 Crores is the inventory level at the end of Quarter 4. So, it has reduced by almost Rs. 20 Crores during the quarter that again Rs. 290 Crores includes certain safety inventory which we kept because of the logistic disruption, but normal level for our kind of business would be around Rs. 270 to Rs.280 Crores.

Varun Arora : And sir on this Maruti and Tata and some other big customer, so if you can give their current revenue percentage I mean what they are holding actually in your value

Parmod Kumar Duggal : 84% is almost Maruti which is contributed 4% is of the total revenue is Mahindra, 2% is Tata roughly 3% is home aircon and balance would be in other customers.

Varun Arora : And for the thermal products if I ask that are you targeting like 20% revenue for the same and if yes then what will be the timeline you need to achieve that revenue percentage for thermal products?

Parmod Kumar Duggal : Can you just repeat your question, it was too hazy.

Varun Arora : I am asking for the thermal products, so are you targeting double digit sort of I mean 20% of the revenue coming from the thermal products and shares then what will be the timeline you are seeking for the same?

Parmod Kumar Duggal : So, normally as part of the long-term strategy we kept a target, there are two KPI which we are driving. One is that 75% of the total revenue should come from Car and 25% should come from non-Car which include bus, truck, tractor, railways, refrigeration and so on and so. So, that is one KPI against that we are at right now I think around 94 to 6 that is the first KPI which we are driving and this should result into three to four y

ears' time. The second KPI

which we are tracking is about 60% of the total revenue should be coming from Maruti and 40% from others. So, that means we need to enlarge our customer base to secure that 40% of the revenue coming from here. So, these two KPIs we are driving from a long term perspective.

Varun Arora : Sir, last question if I may squeeze in so for this US and Japan I missed your initial comments, so if you can tell me by what time you will supply these components to those these two markets to US and Japan if you can elaborate better your answer?

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Parmod Kumar Duggal : We are not directly exporting to US and Japan we are giving to the OEM and these tractors will be used in US and Japan market and this SOP will start already starting at the last month of this quarter, but the substantial impact will be in Q2. So, that is what we are planning these aircon are going into tractor cabins and these will be used in these two markets.

Varun Arora : And sir what sort of revenue we are seeking from these the tractor segment?

Parmod Kumar Duggal : So, tractor would be roughly Rs. 8 Crores to Rs. 10 Crores will be a reflection in this year, but mature volume would be around Rs. 18 Crores to Rs.22 Crores.

Varun Arora : And sir by what timeline you will be able to achieve this mature amount that Rs. 18 Crores to Rs. 22 Crores?

Parmod Kumar Duggal : Next year.

Varun Arora : In FY25?

Parmod Kumar Duggal : Yes.

Moderator : Thank you. As there are no further questions from the participants I now hand the conference over to the management for closing comments.

Parmod Kumar Duggal : So, as I mentioned before things are taking a positive note now. I think the curve has started moving up both on the revenue side as well as on the margin side. We are hopeful that next two quarters we will be trying to recover as much as we lost or declined during the last 8 quarters. Of course, coming back to the level of FY19 we will take another one more year. So, our efforts are on towards recovery and come back to the best results which we shared in FY19. Thank you so much for your participation.

Moderator : Thank you. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Subros Limited
Q2 FY-24 Earnings Conference Call"

November 10, 2023

MANAGEMENT : MR. PARMOD KUMAR DUGGAL – WHOLE-TIME
DIRECTOR & CEO, SUBROS LIMITED
MR. HEMANT KUMAR AGARWAL – CFO & VP
(FINANCE), SUBROS LIMITED.
MR. SUKBHINDER SINGH GILL – AVP (FINANCE),
SUBROS LIMITED.
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED.

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Moderator: Ladies and gentlemen, good day and welcome to the Subros Limited Q2 FY 2023-24 Post Results Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you and over to you sir.

Annamalai Jayaraj: Thanks, Malcolm. Welcome to Subros Limited Q2 FY2023-24 Post Results Conference Call. From Subros Management we have with us today, Mr. Parmod Kumar Duggal – Chief Executive Officer, Mr. Hemant Kumar Agarwal – Chief Financial Officer and Vice President (Finance), Mr. Sukbhinder Singh Gill – Assistant Vice President (Finance).

We will start with the opening remarks by the Management to be followed by a question-and-answer session. Over to you sir. Congratulations for the good set of numbers sir.

Parmod Kumar Duggal: Okay, good morning, thank you Jayaraj. Good morning ladies and gentlemen, and a warm welcome to all of you for Subros Investor Call for Quarter 2 for FY2023-24.

The surge in automobile sales is a clear indicator of overall stability within the industry. We are observing a sharp recovery month-on-month in the auto market sales and this positive trend is anticipated to continue in the rest of the period. The festive season is a major catalyst for the automotive industry. While the expectations are high, initial trends of regional festive period has shown a mix but positive momentum. A lot depends on a one month festive period which start from the mid October, OEM has built inventory in anticipation of strong growth.

The initial modest 4% decline in the April '23-24. The overall vehicle retail has not only a reflection of the dynamic nature of the automotive industry, but also a precursor to the story of gradual recovery and growth and would unfold over the subsequent months. Accumulating a robust 20% Y-o-Y growth in the month of September. The conclusion of Quarter 2 in FY24 presents a mixed outcome where sales for this quarter reflect a sharp improvement and the profitability also shows a positive trend. The company achieved the sales exceeding Rs.814 crore with a 17% growth with a significant improvement in profit. The results of Quarter 2 FY 2023-24 have been shared with the Stock Exchanges and also posted on our website.

Let me elaborate the summary of results one-by-one:

First, I will update about the industry, relevant part of our business:
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In this quarter, the passenger vehicle industry has shown growth of 6% on a production basis in comparison of corresponding quarter of the last year. Whereas Subros PV segment, thermal product, growth in Quarter 2 is 17% in comparison of corresponding quarter of last year. So, our performance is better than that of the industry and some differences due to the model mix. Commercial vehicle bus is also improving because of tourism sector and public transport system has sharply recovered.

The AC fitment ratio has also improved, and industry has shown a growth of 63% on a production basis in comparison of corresponding quarter of last year. Subros registered a growth of 37% in comparison of volumes of corresponding period of last year.

Further on commercial vehicles truck N2 and N3 category, which is relevant for AC or a blower application, industry has shown a growth of 11% in Quarter 2 as compared to the corresponding period and Subros has registered a growth of 11% in Quarter 2 FY2023-24 in comparison of corresponding period.

Our AC fitment r

atio has improved by 9% in this quarter, resulting in a partial compensation to the volume drop earlier.

In home AC space, we are still muted ourselves in view of the escalation in the commodity price and the stress on the profitability. This quarter we have done a major sale of Rs. 1.3 crores and we are now watchful on this industry as the new season is progressing. Revenue from operations has been recorded, as I said Rs. 814 crore in this quarter and corresponding quarter was Rs. 695 crore, overall there is a growth of 17% over a corresponding period.

Let me explain the recovery in each segment:

In this quarter the car and non-car segment contributed around 94% and 6% respectively. Maruti Suzuki and Suzuki Motors Gujarat contributed around 86% of the total sales and 14% is contributed by other customers. Our share of businesses in passenger vehicle, air conditioning product has improved by 2% during this quarter, and now our share of business is 42%. Share of business in truck AC segment has also improved by 3% and share of business has crossed 50% mark and we are at 51% now. Bus AC segment, our share of businesses is 18%.

Now, let me explain the operational performance:

As I mentioned before, there was a lot of challenge in the supply chain due to the global increase in demand. And there was experience of almost last two years they were muted on our profitability. Commodity price fluctuation has started easing out now and which is now reflecting on our financial results. The company has realized an EBITDA of Rs. 73 crores in Quarter 2 of FY2023-24 as against EBITDA of Rs. 44 crores in the corresponding period of last year. As a improvement of EBITDA by 66% as compared to last year same quarter and Subros Limited

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50% as compared to the previous quarter. Profit before tax in Quarter 2 is Rs.41.66 crore which is 5.14% of the net sale. PBT margin with the corresponding quarter of the last year has improved by 183% and PBT against last quarter that is quarter one of FY2023-24 has improved by 111%. Profit after tax in Quarter 2, 2023-24 is Rs. 26.73 crore growth which is 3.3% of the net sales and as against the corresponding period of quarter it has improved by 172% and against the previous quarter it has improved by 99%. As a summary, revenue of Rs. 814 crores with a growth of 17%, EBITDA is Rs. 73 crores with a growth of 66%, PBT of Rs. 41.66 crore with a growth of 183%, PAT of Rs. 26.73 crore with a growth of 172%.

On the business side, there are few updates:

As I mentioned that we have been working on EBITDA improvements, PBT improvement for last eight quarters. And now the operational efficiencies start contributing in improvement of EBITDA and PBT level. Localization level has significantly improved over a period as I've been reporting in past, we have reached to almost 84% of localization level to our revenue so far. 16% is the total import percentage of the total revenue and our target is to bring it down by 6% and keep it around 10% in next two to three years' time.

On new business and product development, the mobility landscape will fundamentally be transforming in next eight to ten years. And we are now getting ready for all this technology transformation with the support of Denso. Many new arrangements, technology improvement and technology upgrades have been in pipeline. There is a significant success in our new business acquisition from our customer, business line of up to 2026 is almost complete, all new RFQs are either received or they are in progress or negotiation. And based on that, we feel that

we will have sustainable growth in future almost in double digit form.

We are also now prioritizing to move into alternative fuel technologies and thermal business for alternative fuel is also lined up now. As of now we are the 15% of our total revenue is coming from alternative fuel technologies wherever thermal products are being u

sed, whether

it is a strong hybrid, battery electric vehicle or CNG vehicles. Few new launches and initiatives which are significant for our new strategic move in the various segments. Mahindra new tractor OJA M Star for US market, BV project and Mahindra pickup vehicle are the new businesses which we have lined up and the SOP work is in progress. Few areas we have already done the SOP and few are in pipelines. So there will be a significant improvement in Mahindra business in next two years' time. SOP of K2 tractor that is OJA has already started and few other SOPs of Fronx and Jimny also started during this half year.

Business engagement for truck aircon that is for N2N3 category is ongoing. And we are at very advance stage of negotiation and analyzing the specification for AC system applied to such trucks. Coach aircon, key development and approval from RDSO has also been successfully completed. And now we are participating in new tenders from Indian Railways. We are very optimistic to have a good business development in this space. Subros is also set to prioritize innovation, infrastructure expansion and sustainable initiatives to booster growth. In

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accelerating our digital transformation, and adopting new technologies, our primary drivers will be cost reduction and quality enhancement. And we are also committed to the environment and the company has set up a target of carbon neutrality by 2040. That's all from my side. Now we are ready to take questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Resham Jain. Please go ahead.

Resham Jain: Sir just one question on the overall, this quarter has been quite good generally for the PV segment and as an industry as well. And in this quarter, we did close to 8.6% margin, which probably would be at a good scale. And if I look at the overall kind of return ratios, even at this kind of margins, it is close to 12% only. So how should one think about margin going forward that even in a quarter like this, our overall return ratios seems to be closer to cost of capital only?

Parmod Kumar Duggal: So Resham thank you very much for your question. See, if you have followed our trend for last six to eight quarters, we have been struggling with the profitability and the margin improvement and we have been regularly commenting that we will improve on there. And now this quarter onward this trend we have set up now and we are trying to sustain this level and improve from hereafter. So going forward, I believe the situation will be much better, we'll be able to first realize the best results so far, which we achieved in 2020. And then surpass on that. So just wait for another quarter or so.

Resham Jain: Okay, so basically you are seeing the margin could further improve from current levels, that's the only way your overall ratios could improve.

Parmod Kumar Duggal: Of course.

Moderator: Thank you. The next question is from the line of Lakshminarayanan Kg from Tunga Investments. Please go ahead sir.

Lakshminarayanan Kg: Couple of things. First is, if you look at your operating margins, it is at a particular level and what are the levers you have to increase the margins from here and would be more of the gross margin hike you can actually get from here, is it pre contracted or what are the levers you have?

Parmod Kumar Duggal: Okay, so there are three major elements of as a key driver to improve margin one is of course on the operational efficiencies as we increase the asset sweat, definitely there will be a proportional improvement in the margin. Two, our ongoing effort on cost reduction and muting or compensating the impact of cost escalation that also is the second key driver where we have been successful in last quarter that's why you could see the reduction in metal sales ratio as compared to last quarte

r has substantially improved. Third of course, as we progress

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further and the growth factors will be there and the capacity utilization in other segments other than car would be high that would also contribute significantly to the margin.

Lakshminarayanan Kg: What is the first lever you say I didn't hear it well sir?

Parmod Kumar Duggal: Operational efficiencies.

Lakshminarayanan Kg: Okay. And second, what is your share of business from the top client for you, for you it is around 85% or so, you mentioned from the clients perspective from the top customer what is the share of business to you?

Parmod Kumar Duggal: So, if I see three top customers. So, in Maruti we have total share of business of Maruti's purchase is around 74%, 75%. With Mahindra we are around 25%. With Tata CV price we are having around 48%.

Lakshminarayanan Kg: Good. And is there any lever on after sales for us is that something which we can take advantage of, or it's only OE sales is what as a company we would only focus?

Parmod Kumar Duggal: No, we are into aftermarket also and aftermarket business also has substantially grown as compared to last year we have grown by almost 45%. So we are very active in aftermarket as well.

Lakshminarayanan Kg: And what's your contribution to aftermarket for us?

Parmod Kumar Duggal: On the total sale?

Lakshminarayanan Kg: Yes.

Parmod Kumar Duggal: On the total sale, it would be roughly around 1.5% to 2%.

Lakshminarayanan Kg: Got it. And in terms of capacity expansion are we, what kind of capacity expansion you would envisage for the next two, three years?

Parmod Kumar Duggal: So, we are watchful of the industry moment and as few OEMs have already declared their plan for capacity expansion, namely Maruti has already announced Kharkhoda product in Haryana.

So we are aligning all such requirements and based on that, capacity expansion plans are in progress. Few capacity expansion project we've already completed and we were in pipeline.

So, we are as compliant.

Lakshminarayanan Kg: What's your capital outlay, last year you spent around 110 crores on CAPEX. So on an annual basis is that something which you would do or it will be much more than that 100, 120 crores?

Parmod Kumar Duggal: This is our normal range. So, as part of policy, whatever we earn we reinvest into the business. So around 100, 120 crore is our normal CAPEX which includes the replacement, which

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include technology, which include new program development also. So we will be within the same range only.

Lakshminarayanan Kg: And you mentioned that around 90% of your sales is from passenger cars, am I right?

Parmod Kumar Duggal: Yes.

Lakshminarayanan Kg: Okay. And what is your outlook for the years, you mentioned that things are actually shaping up well, but based on the schedules you have, what kind of growth you expect for the full year for the industry?

Parmod Kumar Duggal: So, I'll not be very specific to the number but yes, as I mentioned before that we will be in double digit growth only. So maybe industry maybe doing between 6% to 8% but we will be crossing that milestone and we'll be in double digit growth overall.

Lakshminarayanan Kg: Right. So, one last question, because of all this greenhouse gas emission and a lot of things around the refrigerant gases, does it as a company do you actually have to change your process moving to lesser emission refrigerant gases or how do you think or you are actually, it doesn't matter for you because you manufacture the systems?

Parmod Kumar Duggal: No, whatever changes which are required for moving from R1 to 34A, that has already been done now because existing all export vehicle are using the new refrigerant. So that is already lined up. So there is no significant change required other than the oil change. So that has already been incorporated. S

o we are ready for all transition to this new refrigerant.

Moderator: Thank you. The next question is from the line of Aashin Modi from Equirus. Please go ahead.

Aashin Modi: So sir my first question is regarding the outperformance, so if we see our sales have grown by 17% quarter-on-quarter whereas our key customer has grown by 11% quarter-on-quarter.

Could you help us understand where the outperformance had come from?

Parmod Kumar Duggal: So, there are certain businesses which we received, where the growth is substantial because OEM overall growth consisting of ABC segment and our business where the SUV businesses are more, SUV growth overall is more than 25%, 26% within the OEM, so that has contributed significantly in our growth.

Aashin Modi: Okay sir. And sir my second question is on the gross margin side. So, we used to make 30% sort of gross margins at year end currently we are at 25%, 26% level. So, as you said that there are two, three levers one is the pass-through of non-contractual items, because of the cost increases which were there and secondly, improving profitability in the newer businesses which we have won, which have higher import contents. So, any thoughts on that, how do we see gross margins improving from here on?

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Parmod Kumar Duggal: So, gross margin improvement has seen now because as we reported last that there are certain cost escalation which are not compensated by customer, once it starts easing out that benefit also will be the same, because contractually we have nothing to pass on. So, that would be retained here. We have seen some softening on communities, softening on logistic cost, which was our substantial cost element last year. So, that may not be this year the contributor to the cost escalation. So, margin started improving and it will continue improving now, in next two to three quarters.

Management: And the introduction of the new budget line like railways and others will also add to the gross margin improvement.

Aashin Modi: Okay. And sir you mentioned that AC fitment ratio in trucks increased by 9%. So, where is it now, and where it was say last quarter?

Parmod Kumar Duggal: So, earlier it was around 15%, 16% now it has improved to 23%, 24% still it is an optional action by the OEM, not as part of the regulation. From January 25, this will become regulations so by the time we'll have more product range available to all truck segment. So, finally, we have to reach to 100% of AC fitment ratio, but right now it is in the range of 23%, 25%.

Aashin Modi: Okay. And sir lastly if you could share the non-car revenue breakup in terms of home AC, truck, bus?

Parmod Kumar Duggal: So, total non-car business turnover during the half year is around Rs. 85 crores and out of that total trucks is Rs. 42 crore, Rs. 20 crore is approximately bus and aftermarket is around Rs. 14 crore.

Moderator: Thank you. The next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir as Maruti is gaining market share in the SUV segment, how do we see bandwidth in terms of your content per vehicle and revenue growth?

Parmod Kumar Duggal: So content per vehicle will not substantially change but yes, there would be around 3% to 5% price delta which we have in terms of SUV versus #A segment or #B segment vehicle. So that would be the relevance but of course if SUV sale at Maruti will increase and since we are almost having 100% business of SUV it will have a direct reflection on our growth.

Abhishek: And you are also supplying radiator in SUV as well?

Parmod Kumar Duggal: Yes, radiator is going into SUVs substantially.

Abhishek: And what is the cost differences between the radiator of sedan radiator?

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Parmod Kumar Duggal: Between 8% to 10%.

Abhishek: So, most probably that in this quarter that outperformance come in

a passenger vehicle, is it

because of also the market share gained by the Maruti in SUV segment?

Parmod Kumar Duggal: Yes, that's what I mentioned in my initial remarks that overall share of business also improved by almost 2% both in passenger vehicle and in commercial vehicle segments. So that is a contribution to outperformance.

Abhishek: And right now the tax rate is quite high around 30%. So what sort of the tax rate can we expect in FY25?

Parmod Kumar Duggal: So we expect 24%, 25% the tax rate is 25% as against 35% existing. So, there will be delta reduction of the tax outflow by 10%. Probably, if based on the existing rate, it will definitely positively impact the EPS by Rs.2 to Rs.3.

Abhishek: Okay. And as you are talking about the sharp improvement in the gross margin in the coming quarter and because of the fall in the commodity prices, and so, can we expect the double digit margin in FY25 or the earlier number of 11.5% or 12% kind of the margin what you had?

Parmod Kumar Duggal: So, I will just mention the double-digit margin are possible and we are inching towards there. Yes, in the next year definitely will be a substantial improvement from the current year.

Abhishek: So, can you share some measures you have taken in improvement in margin like consolidation of plant, shift optimization and renewable energy and all those things, if you can throw some light on it?

Parmod Kumar Duggal: So, there are three basic actions which are taken, substantial work has been done for import substitution and major projects, which are started either in the middle of this year or after the completion of first quarter. So, that means, next year we will have a full year's benefit on that, that is one. Two, the extraordinary cost which we incurred, which was tuned to around Rs. 20 to 30 crore last year in terms of logistic cost escalation that is not the case now, because all logistic cost are now has come down to the previous pre-COVID level. Third, our product positioning at the relevant plant, where the dispatches are happening to the customer. The logistic costs which we were incurring earlier because of the one location production has been decentralized now. So that we will be easing out on logistic cost optimization further and of

course, the capacity expansion which has happened now, asset start sweating and we are utilizing these capacities much more to better margins.

Abhishek: Depreciation will also benefit to you?

Parmod Kumar Duggal: Yes, depreciation definitely will be optimized.

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Management: Abhishek, let me add one thing more than 2019-20 was a COVID period after that commodity has gone up sky high. So, whatever cost optimization initiative company has undertaken in 19-20 or 20-21 after the COVID now also getting positive results for the company. So, the realization is now coming and will continue for future period also.

Moderator: Thank you. The next question is from the line of Lakshminarayanan Kg from Tunga Investments. Please go ahead sir.

Lakshminarayanan Kg: Sir, two questions one is the tax rate, when do you think the tax rate will normalize to 25%?

Parmod Kumar Duggal: Tax rate, will be 25% so effective from 1st of April.

Lakshminarayanan Kg: So FY25 will be?

Management: We will take this fall in quarter four, but it is expected from the next financial year we will move to the new tax regime of 22%. So, 25% will be after adding all surcharge and everything.

Lakshminarayanan Kg: Got it, so in terms of the logistics cost. So, what is the quantum of logistics cost you can actually say, what is the percentage of sales, the last financial year and how much you can actually save?

Parmod Kumar Duggal: So, logistic costs of our interplant movement as well as to customer delivery is in the range of roughly 2% of the total sale. So that would be the optimization target that it has to sustain at that level ev

en with an increase in a number of deliveries and also either to optimize by product positioning at the relevant plant.

Lakshminarayanan Kg: So if I look at it you are doing approximately Rs. 2800 crores of sales, so it's around Rs. 56 crores is what you have spent on logistics?

Parmod Kumar Duggal: Yes.

Management: It has two elements, one is that which is being reflected as part of balance sheet. Second element is the import base, which is definitely forming part of the material cost. So, that is also a very substantial amount on our import. So as you know the container call which was at \$7,000 one and a half years back is now definitely getting reduced to \$3,000 or \$2500. So with the rationalization of the import freight also, it has a positive impact.

Lakshminarayanan Kg: So, what is the amount and how much you think it will be there for this, you said 2% on sales, or is it an absolute number you want to actually cap it?

Parmod Kumar Duggal: No, that's what I said 2% of the total sales is the number which you calculated around Rs. 58, - 60 crores. So, that's the number which we have, we are trying to optimize between 8% to 10% of that cost level going forward through various optimizations targets.

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Lakshminarayanan Kg: Sorry, so it means that even if your sales increase, you would actually cap it around Rs.60 crore?

Parmod Kumar Duggal: Yes, around that.

Moderator: Thank you. The next question is from the line of Aditya Makharia from HDFC Bank. Please go ahead.

Aditya Makharia: I just wanted to check what is our import content currently?

Parmod Kumar Duggal: So import content is 16% of the total turnover as of now.

Aditya Makharia: Okay, so with the Yen going to 150 versus the dollar, we all know the Yen is at a substantial low. So can that be one major factor for the expansion in our margins and also the fact that you are guiding to double digit margin or you come close to that, a lot of that is premised on the Yen weakness?

Parmod Kumar Duggal: No, that will not be fully true because, Yen is back-to-back compensated by customers. So, only the advantage would be of one quarter because next quarter it has to be passed on to the customer. For the communities which they are compensating, where they are not compensating that would be the added advantage. But as of now, whatever imports we have almost 90% is compensated by customer.

Aditya Makharia: Okay. Second question sir. In terms of this blower policy for AC for trucks, they said that AC will become mandatory from 2025 So, last time also, we had seen that there was a lot of lobbying and then eventually the policy was watered down to making blowers only compulsory. So, do you think this time even if the policy comes through it may be that only the high end trucks which will let's say a +40 tonne truck will have AC compulsory and for the others, they may just go a little lenient?

Parmod Kumar Duggal: No, I don't think this time there will be any relaxation because 2017 it was announced and five years, six year it was muted because of the request from the OEM, but this time, ministry is quite firm on implementation and we have seen the action from customer side also towards the implementation of this policy, so all the customers are gearing up for N2N3 category, product development in few cases have already started, in few cases specifications are being finalized.

So, I don't see there would be any deferment or relaxation on this policy as of now,

Aditya Makharia: Okay. So N2 truck will be +12 tonne or +20 tonne?

Parmod Kumar Duggal: 7.5 tonne above.

Aditya Makharia: So, it will come even on the ICVs in that case, even a 16 tonne, the short distance trucks will also have AC?

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Parmod Kumar Duggal: Yes, it will be N2N3 category both.

Moderator: Thank you. The next question is from the line of Varun Arora

. Please go ahead.

Varun Arora: Sir in the railway segment you actually said something on commentary, but I missed your point, so can you repeat that please?

Parmod Kumar Duggal: So in railway segment, as you are aware about that, we are supplying aircon for driver cabin so far. And for last two year our product development for coach aircon was ongoing and which was due for RDSO approval. Now we are almost concluded that approval process and now we are ready for our product installation. So now we'll be participating in the tenders which are forthcoming now. Within next two to three months, the tenders will be floated. And we see now based on our product development status, we'll be able to get substantial business out of that.

Varun Arora: Okay, sir thank you. So based on the Q2 FY2023-24 performance, so you also said that by the next year you will be able to achieve that double digit but can we assume that in the next year, like by fourth quarter like last quarter of FY2023-24 we will be able to achieve 10%?

Parmod Kumar Duggal: I don't want to color with any number as of now but yes, you just can trust us that efforts are on and we want to see double digit numbers coming from the margin side as quick as possible. So just wait for some more time.

Varun Arora: Okay, thank you. Sir my next question on your new development of AC compatible with hydrogen fuel process, so what sort of revenue opportunity you're looking for, and since the PM has launched the scheme for Seva Scheme, which has been launched in this last quarter somewhere around. So what sort of revenue you are looking from that?

Parmod Kumar Duggal: So, I don't see this as a number opportunity, but the important part as a strategic move from Subros side is that our capabilities for developing first time a complete indigenous kit Make in India, design in India, suitable for Hydrogen buses and complete integrated solution not only for thermal AC for the cabin also, for the battery cooling that has been developed and this is our proud moment that this first initiative we have completed. These kits are now installed in the large OEM who has floated these fleet of buses in Leh that trials and verification work is almost complete now, and now we are ready for the next round of implementation. Luckily, we also see that the hydrogen buses will be floating now as maybe sample because there is no clear policy that from EV we are migrating to hydrogen but yes, as a product segment it would be available, most likely the next fleet will be floating in Delhi also. So our product is ready, our alignment with the customer is ready and hopefully we'll see first as a haptic that these solutions are available in the Indian market and then based on that growth opportunities will be as per the OEM plans.

Varun Arora: Okay. And sir for this product only. So, what will be the margin, if you can share anything?

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Parmod Kumar Duggal: So, margin definitely will be because high technology products normally called as a niche product, then margin will be definitely better as compared to the existing. So, if you are running 10% to 12% EBITDA in regular products, so it would be around 15% to 20% EBITDA in such niche market product.

Varun Arora: Okay. And sir last question. So, can you provide information on the market condition in trend, so that might affect the company's performance in the upcoming quarter, so in either case either positive or negative both?

Parmod Kumar Duggal: Can you just repeat your question, I missed out the market?

Varun Arora: Yes, so on the market condition and trends, so that might affect the company's performance in the upcoming quarter, in the positive and negative both space sir, if you can give any comment?

Parmod Kumar Duggal: What I see as a short term in next quarter number three, quarter number four, the market trends

would be positive based on the cu

urrent condition unless this geopolitical issue is not very significantly increase and that has impact on overall political scenario. Unless that is kept as aside I see full recovery in the market at least in this year. And whatever the projection industry has made at the start of year we will be able to achieve that number, that is for short term and going forward. All the OEMs are quite bullish at least '24-25 as of now in the current situation, that semiconductor issue is also now eased out and availability is quite in alignment with the customers schedules. So, I don't see any challenge 24-25 should also be positive in all the segments whether it is bus, truck or passenger vehicle. So, I don't see challenge unless of course, the geopolitical issue is a risk element which we cannot estimate as of now. Varun Arora: Okay, that will be very helpful sir. Any other nonauto venture or business segments that Subros is currently exploring or considering in the future anything in the pipeline right now going on?

Parmod Kumar Duggal: Not for the purpose of the market. But yes, future technology products, new technology product are under development, but at a very initial stage but not yet concluded for commercialization.

Moderator: Thank you. The next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir what is your guidance for the second half revenue, will it be better than the first half?

Parmod Kumar Duggal: Yes, it should be, based on because the festive season has come into the quarter three. So definitely it will have some reflection in quarter three and quarter four, normally as the industry always best quarter among all so, quarter H2 should be better than H1, but again condition applies.

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Abhishek: Okay. So, what is the market potential of the railway business is basically for the coach aircon?

Parmod Kumar Duggal: So it's a large segment it has, government is refreshing the whole infrastructure and Vande Bharat are going to grow, coach aircon business is going to grow. And this market is around 100 to 150 crore based on the current estimation and based on the government plan. So it's a large market and if we get into that we will be able to take a substantial portion of that.

Abhishek: And what is the margin in this particular segment?

Parmod Kumar Duggal: Comparatively high, so you can take it around 15% to 20% EBITDA.

Abhishek: Okay. And there's a sharp ramp up in the EV versus now, so where the content per vehicle is very high. So what sort of the opportunity do you see in India in this particular segment?

Parmod Kumar Duggal: So EV versus our product is at final phase we have given protos to the OEM now to incorporate this into their bus program. So all three, four customers, we have been engaged now with this. And yes, you are right EV potential is improving, all key transports are now moving to EV fleet only. And next, maybe as the Prime Minister announced around 10,000 buses will be floating in next three to five years' time all across the states. So, our engagement is on with all customers and we see a good potential in that also.

Abhishek: How much is the content per buses in this segment?

Parmod Kumar Duggal: So, from IC to EV bus the content will be around 20% higher.

Abhishek: And absolute figure what is the number?

Parmod Kumar Duggal: You can take around 50,000 or maybe 70,000 to Rs.1 lakh delta.

Moderator: Thank you. The next question is from the line of Lakshminarayanan Kg from Tunga Investments. Please go ahead.

Lakshminarayanan Kg: Sir, two questions, one is in terms of royalty, which you pay to Denso, so it's around 1.2, 1.3% of turnover. So what is the class, how long it will be whether it's like a five year reset, or a three year reset, how do you think about it, when is it coming for reset?

Parmod Kumar Duggal: So there's no reset formula here, th

e royalty is for the period of the product life that is there, and this is applied on the net value addition.

Lakshminarayanan Kg: Okay. So, how does one think about as a percentage of revenues or how does one?

Parmod Kumar Duggal: Could be in the similar range 1.25% of the revenue which is now it would be in that range between 1.25% to 1.5%.

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Lakshminarayanan Kg: And how often you revise it?

Parmod Kumar Duggal: No, there is no revision formula it is product to product different royalty rates, which are applicable. So, it would be kind of mix in this 1.25 to 1.5%.

Lakshminarayanan Kg: Got it. So, your material cost was around 74%, 75% last year half it was around 77%. Now, it

has come down to lesser number, when I look at your historically your it has actually gone up to something like 70% also. So, is it conceivable to go back to those levels of 70% material margin?

Parmod Kumar Duggal: No, it would not be because maybe in a periodic manner the prices will always be impacting the overall MSR ratio. We are not likely to go back to 69% 70% at least in short term view, but we will be definitely improving from 74% which is current level.

Lakshminarayanan Kg: So, in the next two, three years what is the range, band you would actually expect to operate at?

Parmod Kumar Duggal: I will not be very explicit in quoting any number which can color the market as of now.

Moderator: Thank you. As there are no further questions from the participants. I now hand over the conference over to the management for the closing remarks.

Parmod Kumar Duggal: So thank you very much to all of you to have patience with Subros's result for last six to eight quarters. And of course that was a difficult time for us also after the COVID and during the COVID and after the COVID period. The impact of all escalation we have tried for job or we have discussed with the customers, partial compensation we received during that, few are not and which has been absorbed in last two years' time. Things are getting easy now, we will be reverting back to the best time which we realized before and try to surpass that as quick as possible. Thanks for your patience and stay connected with Subros. Thank you.

Management: Thank you everyone Happy Diwali to all of you and we are confident that we increase our revenue and profits and increase our investors wealth. Thank you, Happy Diwali to all of you.

Moderator: Thank you very much. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2024

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"Subros Limited
Q3 FY 2023- 24 Earnings Conference Call"

January 31, 2024

MANAGEMENT : MR. PARMOD KUMAR DUGGAL – WHOLE-TIME
DIRECTOR & CEO, SUBROS LIMITED
MR. HEMANT KUMAR AGARWAL – CFO & VP
(FINANCE), SUBROS LIMITED
MR. SUKHBINDER SINGH GILL – AVP (FINANCE),
SUBROS LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA &
KARANI SECURITIES INDIA PRIVATE LIMITED
Subros Limited
January 31, 2024

Page 2 of 14 Moderator : Ladies and gentlemen, good day and welcome to Subros Limited's Q3 FY 2023-24 Post Results Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you and over to you Sir.

Annamalai Jayaraj : Thank you Lizaan. Welcome to Subros Limited's Q3 FY 2023-24 post results conference call. From Subros Limited management, we have with us today, Mr. Parmod Kumar Duggal- Chief Executive Officer, Mr. Hemant Kumar Agarwal - Chief Financial Officer and Vice President (Finance), Mr. Sukhbinder Singh Gill- Assistant Vice President (Finance). I will now hand over the call to Mr. Parmod Kumar Duggal for the opening remarks to be followed by question and answer session. Over to you Sir.

Parmod K Duggal: Thank you Mr. Jayaraj. Good morning ladies and gentlemen and warm welcome to all of you for Subros investor call for Q3 FY 2023-24. Since last two quarters surge in automobile sales is a clear indicator of overall stability in the auto industry. We are observing a sharp recovery month-on-month in the auto market sales and this positive trend is anticipated to continue. However, there are mixed views for future growth of FY 2025 due to various geopolitical scenario and are also being election year ahead. We are watchful to this situation. There is a robust economic growth, new launches, record festive numbers and year-end discount offered by the automakers which has resulted into passenger vehicle sales during the Q3 of the financial year went up by 8.24 to 10.12 lakhs units as compared to 9.35 lakhs units in the corresponding period. At Subros in Q3 of FY 2023-24 we have grown by 12% and year-to-date approximately 9% which is very much aligned to industry growth. The Company has achieved sales of approximately Rs. 730 Crores during this period and also significant improvement in the profitability. The results of Q3 FY 2023-24 have been shared with the stock exchanges and also posted on our website.

Let me elaborate the summary of results one-by-one. First I will update about the industry relevant part of our business. In this quarter passenger vehicle industry has shown growth of

5% on production basis in comparison with corresponding quarter of the last year whereas Subros PV segment thermal product growth in Q3 is 12% in comparison with the corresponding quarter of the last year, so our performance is better than the industry
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Page 3 of 14 performance and this is because of the model mix and also reflection of new model introduction for Subros. Commercial vehicle bus is also improving because of tourism sector and public transport system improving. AC fitment ratio is also improving in this segment. Industry has shown a growth of 36% on production basis as compared to the corresponding period whereas Subros has registered slightly downside by 8% in comparison of corresponding quarter mainly because of m

odel mix and AC fitment ratio

relevant to our customer; however, on a value term there is a growth of 12% in this segment. Further, in commercial vehicle segments N2 and N3 category the industry has grown by 17% in Q3 and in value term Subros has grown by 15% in this segment. In AC fitment ratio in N2 and N3 category has also improved by around 6% which is contributing to partial compensation of slight volume risk. In home AC space still we are muted on our effort on home AC business expansion. This quarter there is a small sale of around Rs. 1 Crores and we are still watchful of the commodity price fluctuations and the price being offered by the OEMs for the next season, so overall revenue from operation has been recorded at Rs. 732 Crores in this quarter which is having a 12% growth over the corresponding quarter.

Now let me explain each segment wise contribution to the sales during the quarter. In this quarter, car and non-car segment has contributed around 94% and 6% respectively. Maruti Suzuki, Suzuki Motor Gujarat has contributed 85% of the total sales during the quarter. Our share of business in passenger vehicle air conditioning market has improved to 44% and as share of business in truck AC blower segment has also improved to 56% now. In bus AC our share of business is 15% during the quarter.

Now about the operational performance as I mentioned before there are lot of challenges in the supply chain due to the global increase in demand which are finally which we have witnessed in the last two year. Commodity price fluctuation, logistic price escalation and foreign exchange volatility also is one of the factor for the operational performance although commodity prices fluctuation started easing out during Q3 which is reflected in our material sales ratio. Company has realized EBITDA of Rs. 66.14 Crores in Q3 of FY 2023-24 as compared to EBITDA of Rs. 42 Crores in the corresponding quarter so there is an improvement of 57% as compared to the last year same quarter. Last two quarters we are able to consistently realize EBITDA above 9%. Profitability before tax in Q3 FY 2023-24 is Rs. 33.96 Crores which is 4.65% of the net sales, so profitability margin with the corresponding quarter it has improved by 178% and last two quarters we have been able to consistently realize PBT of above 4.5%. Profit after tax in Q3 is Rs. 26.79 Crores which is 3.67% of the net sales. PAT margin with the corresponding quarter has also improved by 227% and we are improving the overall PAT as against the Q2 also.

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Page 4 of 14 As a summary, revenue of Rs. 732 Crores in Q3, growth of 12%, EBITDA of Rs. 66.14 Crores in Q3 with a growth of 57%, PBT of Rs. 33.96 Crores with a growth of 178%, PAT of Rs. 26.79 Crores with a growth of 227%. Briefly on the business update, as I mentioned that Q3 FY 2023-24 performance has started improving and registered growth of EBITDA, PBT as well as PAT, we will continue this persuasion for the future quarters also and we will try to sustain this or improve this performance here on. As we reported the profitability was a bit challenge in last seven to eight quarters. Now because of our effort of cost down and also commodity prices easing out this is being reflected in our financial performance. Localization focus for derisking ourselves from a global cost pressure and economic fluctuation will continue as our key priority and we are striving for bringing the overall imports to less than 10% in near future.

New business development side as mobility landscape has fundamentally transformed and is going to continue for eight to ten years so our effort in electric mobility, hybrid cars and also on CNG vehicles is improving quarter-by-quarter. Our collaboration with Denso in terms of introduction of new technology is ongoing and time-to-time we will continue reporting you about the new technology in production along with the support of

Denso.

There is significant success of securing new business in EV space, in bus space and also in the railway space for which we have reported in previous quarter Rs. In Mahindra new

tractor OJA, M-star for US market and also for Japan market, SOP has started and we are seeing some growth or the ramp up coming up in these segments. Our business for truck AIRCON for N2 and N3 categories where AC is made mandatory from June 2025, the engagement with customers are on and we are now almost finalizing the specification for product development and soon we will be announcing the final result of the negotiation for these truck AC applications. As I mentioned coach AIRCON after the kit development which was pending for last few quarters finally all approvals have been received and big tender of Rs. 28 Crores we secured in the last quarter which was reported to the stock exchange also and now we are preparing for the delivery of this, so this is all from my side. Now we are ready to take questions and feedback.

Moderator : Thank you very much. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue assembles. The first question is from the line of Abhishek from Dolat Capital. Please go ahead Sir.

Abhishek: Thanks for opportunity and congrats for a strong set of margins despite lower revenue. Sir my first question on the growth outlook on the passenger vehicle AC segment as many industry participants are saying that passenger vehicle growth would be around 0% to 5% so in this case what kind of the growth you are looking for your company as we know that mix is improving towards this SUV segment and plus that the new business will come from Subros Limited
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Page 5 of 14 the other segment as well so what is your growth outlook for the next two years in terms of the revenue?

Parmod K Duggal: Thanks Abhishek for the question so there are very mixed feedback which are coming right now for last two months about the future outlook of PV segment for FY 2025 as well as FY 2026. As my initial remarks already include this element that next year because of more geopolitical disruption and also being election year things may be muted for first half because I think government budget would be announced post election differently so we need to wait and watch. Right now I am not able to give a very precise number on that but yes the industry growth in PV segment being stopped now between 3% to 6% for next financial year we need to wait for another one month to freeze on that but yes for Subros perspective as the growth overall in PV segment may be slightly lower or not as expected but SUV segment growth would be definitely very encouraging and since we have a substantial business in SUV segment our growth definitely will be better than the industry so I am not quantifying that but you can take this as a positive thing that we will be doing better than the industry.

Abhishek: On the margin side the gross margin has improved quarter-on-quarter basis so have you taken any price hike or what is the outcome of basically expansion of the gross margins and what is your outlook for the EBITDA and gross margin for the next one or two years?

Parmod K Duggal: So there are mix of efforts which has reflected into improvement in margin, one partially we could settle our claims with the customer about the escalation which are not part of our regular indexation that is one. Two a very aggressive action which we have taken for cost down projects which has resulted into realization of better MSR and also resulted into better EBITDA margin so these have already factored in and as you saw in last two quarters we have crossed that reference of 9% EBITDA and we will try to improve here on. Again as I mentioned in my previous conversation and also in our investor meet also we are not targeting a very long but we are targeting a

short milestone of each quarter. The next six to eight quarters we want to achieve and cross that 10% EBITDA target which we set for ourselves and right now efforts are on for first to achieve that milestone.

Abhishek: Sir in a segment wise how much nine months number for the radiator passenger vehicle AC and other segment?

Parmod K Duggal: So YTD nine months overall around Rs. 1750 Crores revenue has come from passenger vehicle AC products, Rs. 350 Crores around is ECM product that is radiator, bus AC has contributed around Rs. 30 Crores, truck has contributed around Rs. 70 Crores, aftermarket is maybe around Rs. 55 Crores or so and rest is from other segments.

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Page 6 of 14 Abhishek: My last question on the home AC segment so as that in last couple of quarters you are avoiding to increase your production because of that margin pressure so what is your plan going ahead, do you want to scrape this business fully or you want to increase your business with some modifications?

Parmod K Duggal: So what I said is we have just muted our effort on aggressive persuasion of this business from a growth perspective because finally there is a pressure on margin so till the time we get relevant prices which will support the overall margin for Subros we will be going slow and

we need to wait and watch for this time summer how it is going to shape up based on that industry may take a positive trend so accordingly we will make our plans to expedite these sales. Right now we are just watchful. There is no financial impact negative to us while we are on mute so that is why it is not impacting our operational performance.

Abhishek: So what kind of the assumption we can take in home AC business revenue although we know that this is positive for the margin perspective but going ahead if I talk about the growth, the growth will come only from the home AC segment incremental growth so what is your plan for that so what kind of assumption we can take for the next two years in home AC segment?

Parmod K Duggal: Home AC segment when we are saying that Subros growth would be better than the industry we are excluding home AC business as of now for the assumption of growth. Whenever there would be a revival of plan for home AC that would be add on to our natural growth which is being planned now. This year we do not expect that we will go beyond we have done around Rs. 4 Crores to Rs. 5 Crores so far so it might be around Rs. 6 Crores during this year. Next year would be as of now with the current assumption between Rs. 10 Crores to Rs. 15 Crores till the time we see a big change in the industry model so we will be muting it till that time.

Abhishek: Thank you Sir. That is all from my side.

Moderator : Thank you. The next question is from line of Aashin Modi from Equirus. Please go ahead.

Aashin Modi: Thanks for the opportunity so Sir coming back to the margins so if you see margins have now improved to 27% levels and assuming that if the raw material basket remains stable can we go back to that earlier levels of 29% to 30% and secondly what would be the impact of this Red Sea crisis on our gross margins?

Parmod K Duggal: So two questions you asked. First of all on the gross margin which is already reached to around 25% we would be gradual in improving we will not be jumping to directly 30% but

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Page 7 of 14 yes it would not be 30% exactly but from 25% to 26% and to 27% this is how the gradual improvement would be in subsequent quarter. There is no substantial impact because of this Red Sea crisis because our import from Europe side is not substantial it is very negligible import so our major imports are from China or Korea or from Japan so we are not substantially impacted because of this crisis, but of course as a value chain there may be impact on the OEM side, there may be impact on some other suppli

ers which may disrupt

the overall value chain. We are watchful of that situation.

Moderator : Thank you. The next question is from line of Varun Arora from B&K Securities India Private Limited. Please go ahead.

Varun Arora: Sir your target for order non-auto is 75:25 currently it is now 94:6 as per the comment, by what timeline we can achieve this target Sir, any internal target you have set for yourselves?

Parmod K Duggal: There are two elements which will substantially improve this car and non-car percentage. One the adoption of AIRCON by N2 and N3 category where the sizeable markets will improve or increase where we are targeting a substantial market share also and second growth in rail segments where we started getting order in coach AIRCON now, so these two would be the key factor for moving to non-car segment growth.

Varun Arora: Any new order is right now you are having or expecting from the railway Sir as you had just Rs. 25 Crores order from the railway any other thing is going on that front?

Parmod K Duggal: Varun since railway is always on a tender business so tender frequency is not fixed so after Rs. 28 Crores we got another Rs. 4 Crores of small tender. Another three to four tenders are in pipeline which would be decided maybe in next quarter or so, so we are participating by tenders so that is how on periodic basis we will continue updating you.

Varun Arora: I just want to ask have you upgraded your target to 60% market share as per the large channels you have been targeting 55% so right now it is 54% so have you updated your target from 50% to 60%?

Parmod K Duggal: No. Right now we are consistent in our long-term approach so what we said in our investor meet that from 44% which is currently our share of business in PV segment we want to inch it to around 45% to 48%. In truck segment it was targeted 56% but right now 54% is just an outcome of the model mix but when this N2 and N3 category would be fully implemented 56% target which may go up to 58% that is how we will be striving for share of business improvement.

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Page 8 of 14 Varun Arora: By what timeline you are expecting this 58% market share Sir?

Parmod K Duggal: So this notification would be now I think rolled out from June 2025 so maybe FY 2025 - FY 2026 this would be more realizable.

Varun Arora: Thank you.

Moderator : Thank you. The next question is from the line of Aashin Modi from Equirus. Please go ahead.

Aashin Modi: Sir my second question was regarding product development for strong hybrids and EVs so we were developing compressors for strong hybrid and also the whole product kit for EV cars where are we on that journey and by when do we expect the product to be developed and get tested?

Parmod K Duggal: So on EV side and strong hybrid side there are a few products which are part of this introduction so one is the radiator which is a special kind of radiator that is already being launched now, second is on the EPSV and special hose and pipe for EV that has also been launched now with Mahindra business what we got for all the EV platform and also for Maruti's EV car they will be introduced now. The only remaining issue what we have is on the compressor side so this compressor would be more for localization because product is already available in Japan so that visibility is ongoing right now for localization of this compressor because finally it would be very important step and very large investment as well as introduction of EV in Indian market based on the final specification so that engagement with the customer to decide the final specification, also the location as well as for investment to the extent of investment this is being under study so it may take another two to three quarters to freeze on that and we will update the investors accordingly.

Aashin Modi: Sir the next question is regarding the electric bus category

ry so now with EV penetration

increasing in that category how do we see that market expanding and also how do we see Subros revenue expanding in the bus category going forward?

Parmod K Duggal: So EV buses definitely would be a very aggressive growth because government has decided to buy most of the new purchases through EV buses only. EV buses require a very special kind of kit which is already developed and given to the OEM for final integration with their system. All the OEMs kit is at very advanced stage for final integration and also in addition to EV for hydrogen buses also a special kit is required which is also developed and given to of course now it is in public that Ashok Leyland is developing a bus kit with the hydrogen cell so for hydrogen bus kit also we have supplied to them. One order we already received Subros Limited

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Page 9 of 14 second order is in pipeline, so the projects are on but we see a very sharp growth here in bus segment both in EV as well as in hydrogen cells so maybe in the next one to two years we will see a drastic improvement.

Aashin Modi: What would be the ASP of EV bus versus a normal bus and what would be the industry size right now and how will you improve going ahead?

Parmod K Duggal: I will not say it would be incremental industry it is a replacement industry because whatever right now is ICE bus will convert to EV bus but from ASP standpoint it would be around 25% to 30% delta from ICE AIRCON to EV AIRCON.

Aashin Modi: Regarding AC penetration in the bus category?

Parmod K Duggal: That is right now between 7% and 9% may increase to around 15% to 20% maybe a period span of three to five years.

Aashin Modi: Finally what would be the size of this AC bus industry currently?

Parmod K Duggal: AC bus industry would be around maybe around Rs. 175 Crores to Rs. 200 Crores.

Aashin Modi: Our market share?

Parmod K Duggal: Right now our market share is 15%.

Aashin Modi: Sure Sir. Thanks a lot Sir. I will get back into queue.

Moderator : Thank you. The next question is from line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Thank you for taking my question and congratulations on good set of numbers. Sir the first question is on the railways while you did clarify in terms of the order tenders, etc., but in terms of the overall market size what we address how much would be the tendering that actually comes through and how do you see this grow in the next two to three years so when you plan in terms of capex what kind of revenues do you envisage say for 2026-2027?

Parmod K Duggal: So thanks Arjun for the question. Railway business is not a very regular business. It all depends upon government's spending on converting the existing rail engine to AIRCON or coaches to the AIRCON and also depends upon how much is the allocation for the new bogies so it would be I will say periodical or maybe a tender based business only but yes over a period of last three to five years government initiative of first converting all driver Subros Limited

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Page 10 of 14 cabins to AIRCON is definitely a very much encouraged action and second more and more AC coaches are being launched now. So right now we are starting with Indian Railway then

our next action would be to all Vande Bharat and this Amrit Bharat that the new series which will be coming now. As a long-term segment we are expecting that we should be touching between Rs. 75 Crores to Rs. 100 Crores which would be around 30% or 35% of the total market so that is our plan between three to five years and our actions are aligned to that. From investment perspective there is no very large investment required for this because this is more or less there are few in-house parts, there are few outsourced parts which are specified as part of the railway specification and then finally the assembly

part of

that so that is how this whole business model is.

Arjun Khanna: Sure very helpful Sir. Sir the second question is we talked of hydrogen vehicles, those are more in terms of fuel cell but if it is hydrogen ICE is there any change in the technology used for air conditioning of the vehicle?

Parmod K Duggal: No, luckily this is common for us whether hydrogen ICE or hydrogen fuel cell the AC AIRCON will not have substantial change or there will be negligible change.

Arjun Khanna: No Sir I was actually asking between say hydrogen ICE versus your current ICE vehicle so compared to current diesel is there any change in content of vehicle for us?

Parmod K Duggal: Yes that is for sure because hydrogen ICE and normal ICE AC kit has some differential because the battery cooling module or the integration part is substantially different so you can take a delta of maybe around 30% between a normal ICE and AIRCON versus hydrogen ICE AIRCON.

Arjun Khanna: Sure but there would not be battery in an hydrogen ICE right?

Parmod K Duggal: But we are keeping provision common for hydrogen ICE as well as battery so where it would be part of scope or would not be part of scope but there will be other changes which will have the delta of 30%.

Arjun Khanna: Perfect. Sir if one looks at for the newer technologies in air conditioning globally the developed countries have moved to HFOs do we have the technology for the same given that India is now producing vehicles which are exported?

Parmod K Duggal: So in the refrigerant part the transition is from R2348 to R1234yf that is how India would be transitioning. Already this refrigerant is being used for all exported vehicle for last more than three years now rather four years and in India this would be gradually implemented

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Page 11 of 14 from 2027 as per the Paris agreement so products suitable for this transition have already been rolled out, they are available and they are already part of supply to the OEM.

Arjun Khanna: Sure so we have indigenized this technology at Subros?

Parmod K Duggal: Yes.

Arjun Khanna: Perfect. Sir just one more query in terms of our capex is if you could just help us understand how do we look at it over the next two years I know you mentioned that possibly we could have that EV capex so with it and without it what would be our outlook for FY 2025 and FY 2026 Sir?

Parmod K Duggal: So we are very consistent in terms of our investment strategy and I am repeatedly informing this our capex normally is between Rs. 100 Crores to Rs. 140 Crores would be there which will include the maintenance part, which will include the new product development, automation or any other cost on projects also but any strategic investment whether for Greenfield or for a very large localization including the EV part would be a very special investment which would be taken care of as and when we decide to go for that. Whether we will go in one shot or whether we will go in phases that would be addition and we will inform suitably.

Arjun Khanna: Sure. Thank you very much and wishing you all the best.

Moderator : Thank you. The next question is from line of Varun Arora from B&K Securities India Private Limited. Please go ahead.

Varun Arora: Thank you so much for having me again Sir. Sir if you can provide any order book number and as well as a breakup?

Parmod K Duggal: So Varun in our industry order book is not a very specific KPI because wherever we are already packaged in any model so these models will continue till the life of the vehicle so it may have five to seven years so we will be following the natural growth of such model for future growth but additionally there would be certain model changes means full model change or a minor change or there would be a new model introduction by the OEM. Based on that the incremental revenue in next two to three years

where we already secured some

delta business is around Rs. 400 Crores so far in this financial year which include railway, which include the new few bus orders also and which also include OEM businesses for hybrid or for EV as well as the expansion projects of few OEM.

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Page 12 of 14 Varun Arora: This is for FY 2025?

Parmod K Duggal: So order book is this year that is FY 2024, the execution would be maybe FY 2025 and FY 2026 the SOP timing will be different.

Varun Arora: So this 50% we can say so like 50,000 we will execute in FY 2025 or FY 2026 like that?

Parmod K Duggal: Maximum I think of the current order book the SOP would be maximum SOP in FY 2026.

Varun Arora: Yes.

Moderator : Thank you. The next question is from line of Aditya from HDFC Securities. Please go ahead.

Aditya: Sir just one point most OEMs for this year are guiding for low single digit growth because the pent-up demand is now behind so in this backdrop how are we seeing our growth it will come from new models or premiumization?

Parmod K Duggal: So interestingly Aditya as you said rightly everybody is talking about single digit growth but we are not quantifying whether single digit could be a very early tenures or the late tenures but yes next year is going to be like this. We will be having slightly better performance than industry which I said before also only because of some incremental business of the new model where we have secured business especially in EV space because that would be a new model launch not the existing growth of existing model so maybe between 5% to 6% that is how we look at. If the market is between 3% to 4% will be maybe around 5% to 6%.

Aditya: Got it Sir. Thank you.

Moderator : Thank you. The next question is from line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Thank you Sir. Just in terms of the content while you mentioned maybe 200 BPS higher growth than industry we were looking at new EV related products coming through just to remind me Sir in terms of content per vehicle how much higher is it say for a EV versus a normal vehicle given that we have won orders you mentioned from Maruti and from Mahindra & Mahindra so compared to the equivalent normal vehicle what would be the content increase?

Parmod K Duggal: So it is not by vehicle it is by the applicable product. For example in Mahindra if we have taken hose and pipe and if we compare hose and pipe of ICE engine versus EV engine it is

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Page 13 of 14 just 2x. If we take example of Maruti other than compressor if we take HVAC condenser or ECM together it would be around 1.25x or so.

Arjun Khanna: Sure and including compressor just understanding kit value because localization would happen over a period of time?

Parmod K Duggal: So compressor would be around 5x if we compare ICE compressor versus between 4x to 5x in case of EV compressor versus ICE compressor.

Arjun Khanna: Sure and on an overall kit value basis suppose we are supplying all because I do not know the price of individual components so on a like-to-like if Rs. 100 is for an equivalent ICE so what would it be for an EV Sir if assuming the entire kit?

Parmod K Duggal: It would be around if it is Rs. 100 so Rs. 190 to Rs. 210 based on the model application.

Arjun Khanna: Including all compressor hose, pipe and other sure perfect. Sir around 2.1 times is the number?

Parmod K Duggal: Yes.

Arjun Khanna: Perfect. Thank you so much Sir.

Moderator : Thank you. The next question is from line of Aashin Modi from Equirus. Please go ahead.

Aashin Modi: Thanks for the opportunity again Sir. Sir regarding our share of business with M&M so we have earlier indicated that we are looking to increase our share of business to 25% to 30% so where are we on that in terms of conversation with Mahindr

a and also which are the major service parts of the catering supply to Mahindra and do we expect to add products over there?

Parmod K Duggal: So Mahindra was our focus attention as a customer growth so we started maybe four to five years we were around 10% to 12% of the total Mahindra buying with us we already reached to around 24% now. Our next target would be around 30% when we start supplying for EV application Mahindra started launching EV there are three to four models which are still in pipeline, so as when we increase or these launches will happen our share of business will increase and also we started supplying supply for Mahindra pickup vehicle where AC is also introduced now so that SOP also started this month. Of course this will come in the next quarter as a reflection so our penetration in Mahindra as a customer is improving quarter-by-quarter.

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Page 14 of 14 Aashin Modi: Sir which model are we talking about where we started supplying AC?

Parmod K Duggal: That is a pickup vehicle.

Aashin Modi: Thank you Sir.

Moderator : Thank you. The next question is from line of Nemish Shah from Emkay Investment Managers Limited. Please go ahead.

Nemish Shah: Sir thanks for the opportunity. Sir you mentioned about the realization differential between ICE and PV which was about 2x so what will be that for hybrid vehicle?

Parmod K Duggal: So hybrid vehicle also use the electric compressor and only change point would be the AC pipe so it would be between 1.7x to 1.9x so that is how the hybrid versus complete 100% EV would be having difference.

Nemish Shah: That is it from my side. Thank you.

Moderator : Thank you. As there are no further questions from the participants I now hand the conference over to the management for closing comments.

Parmod K Duggal: Thank you very much to all of you, first to have trust in Subros, being patient when we were down in terms of our topline and bottomlines and since now the recovery progress is happening now and we see a sustainable growth from here on. As everybody has touched upon to this subject next year is going to be very challenging. We are not sure about the exact number how the growth will shape up but surely between H1 and H2 there would be a drastic differential so we need to be watchful of the industry performance and we will keep you updating about the progress and what assumption we have taken for the next year plan in subsequent period inflection. Thank you so much to all of you.

Moderator : Thank you. On behalf of Batlivala & Karani Securities that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

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"Subros Limited Q4 FY24 Earnings Conference Call"

May 24, 2024

MANAGEMENT : MR. PARMOD KUMAR DUGGAL – WHOLE-TIME
DIRECTOR & CEO, SUBROS LIMITED
MR. HEMANT KUMAR AGARWAL – CFO & VP
(FINANCE), SUBROS LIMITED
MR. SUKHBINDER SINGH GILL – AVP (FINANCE),
SUBROS LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Subros Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Subros Limited Q4 FY '24 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thank you, Manuja. Welcome to Subros Limited 4Q FY '24 Post-Results Conference Call. From Subros Limited management, we have with us today, Mr. Parmod Kumar Duggal - Chief Executive Officer, Mr. Hemant Kumar Agarwal - Chief Financial Officer and Vice President (Finance), and Mr. Sukhbinder Singh Gill - AVP (Finance).

I will now hand over the call to Mr. Parmod Kumar Duggal for the opening remarks to be followed by a question-and-answer session. Over to you, sir.

Parmod Kumar Duggal: Thank you, Jayaraj. Good morning, ladies and gentlemen, and warm welcome to all of you for Subros Investor Call for Quarter 4 FY '23-'24.

The passenger vehicle industry reached a significant milestone in FY '24 by surpassing 4 million domestic sales for the first time. As a result, India upheld its position as the third largest PV market globally. The PV market experienced an 8.4% year-on-year growth in FY '24. Over the past three to four years, consumer preference has significantly shifted towards SUVs. This trend persisted in FY '24 and with SUV accounting for more than 50% market share. A substantial portion of the growth is in the PV market as driven by popularities of SUVs.

Overall, in Quarter 4 of FY '24, the Indian auto industry demonstrated a robust performance marked by a strong recovery in sales across various segments. PV continued to be a lead in charge with notable driven by new model launches and increased customer demand.

The CV segment also shown a positive momentum benefiting from the interest equipment and ties in economic activities. Additionally, the two-wheeler segment witnessed a gradual rebound as the rural market began to recover and improved semiconductor availability played a very crucial role in overall industry performance.

The CV bus market also is improving now because of tourism sector and public transport system improving. Industry has shown a growth of 37% on a production basis in comparison

with the corresponding quarter of the last year whereas Subros has registered a growth of 43%
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in comparison with the corresponding quarter of this last year. This is also due to the increased AC fitment ratio in buses.

Further in commercial vehicle truck category, that is N2 and N3 category, which is relevant for AC and blower, industry has shown a degrowth of 5% and this has reflected in Subros' performance also, whereas on overall value term, we have grown by 6% in this segment because of better AC fitment ratio, which is almost 6% in this quarter.

In home AC space, we continue to be muted our efforts. The sales in the year is around 7 crores and still the market is not very positive to compensate the fast escalation. So, we are going slow on this market, and we are watchful of market softening and price pressures coming out and then again we will push our sales efforts very aggressively.

At Subros in Quarter 4 of FY '24, we have grown by 11%, and in the year we have grown by 9%. This is very much aligned to the industry growth. The Company has achieved a total revenue of 831 crores with a growth of 11% as compared to the corresponding quarter. Now the Result of Quarter 4, which have been shared

with the stock exchange and also posted

on our website. Let me elaborate the summary of the results one by one. The revenue from operation has been recorded as 831.51 crores in this quarter and overall, there is a growth of 11%.

In this quarter, the car and non-car segment has contributed 94% and 6% respectively. Maruti Suzuki and Suzuki Motor Gujarat has contributed 84% of our total sales during the quarter.

Our share of business in passenger vehicle segment has improved by 3% during the year. And in truck segment, we continue to achieve 54% share of business. And in bus segment, we have secured a share of business of 17%.

Now, overall performance in operation. So, last two years, we have been talking about the steep recovery of our operational performance. So, the Company has realized EBITDA of 80.86 crores in Quarter 4, which is 9.76% of the net sale as against EBITDA of 56.67 crores, which was 7.59% of the net sale in the corresponding quarter last year. The improvement in EBITDA is 43% as compared to last year quarter.

And profit before tax in quarter four, it is 45.30 crores, which is 5.47% of the net sale. PBT margin with the corresponding quarter of the last year has improved by 70%. Profit after tax in Quarter 4 is 30.68, which is 3.70% of the net sale. And the PAT margin has improved by 65%. Now, the result summary for the year, the revenue from operation is 3,070 crores, which is with a growth of 9%. EBITDA is 268 crores with a growth of 43% and PBT is 140.70 crores with a growth of 98%. PAT is 97.66 crores with a growth of 103%.

Now on the business update, I will mention that in quarter four, performance has started improving and registered a growth in EBITDA, PBT and PAT, mainly because of the

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increased sale. And we continue our effort in the future also to keep the double-digit growth of the Company, bettering all the challenges and opportunities which are visible as of today. Profitability was a bit of a challenge in the last two years. Now the curve is on the upside, and we continue to sustain that. And our efforts on aggressive cost reduction, both in fixed and variable cost has also resulted in positively.

Localization efforts are also aggressively pursued, which is reflected already in the annual comparison of material sales ratio. The Company is now debt-free. There is no long-term borrowing on the books of accounts, and this will support cash generation more positively going forward.

Based on the Company's financial performance, the Board has recommended a dividend of 90% subject to shareholder approval as against 65% during the last year.

On the new business and product development side, Subros is poised for a promising future, underpinning the strategic initiative and strong commitment to innovation. We have expanded our product portfolio and enhanced our technological capabilities to meet the future technology transformation. Also focusing on sustainability and energy efficiencies is the guiding principle for product development as well as for operational sustenance.

The Company has tied up business on alternative fuels, thermal products, which are including CNG, hybrid, electric and other green mobility which is almost contributing to 17% as of now and going forward it should be contributing around 20% of the total revenue.

A few new launches which have already impacted or included in our financial performance and going forward in the next two to three years, it will have reflection more. Our initiative

towards the product development for the tractor segment is progressing well. Tractor AC with Mahindra and Mahindra, new tractor OJA, M-Star tractor for U.S. market, the production has already started. These tractors will be exported to Japan and U.S. market and we have both ECM as well as HVAC business for OJA tractor and HVAC system for M-Star tractor. This will add to our growth journey

in tractor space going forward.

Further on product development for electric cars, BEV project of Mahindra and Mahindra, we are at final stage including Maruti Suzuki for product evaluation. The SOPs are planned in subsequent quarters. AC product development for pickup vehicle for Mahindra and Mahindra which is at SOP stage and few similar projects are in pipeline. Now in next two to three quarters, they will also be starting the production.

Business engagement for truck AIRCON under the N2, N3 category which is notified in last year August '23, we are at a very advanced stage of our final negotiation and product approvals for introducing AC systems for these trucks. This notification is now effective from October

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'25, but probably the start of production will start happening a quarter before, to just fill the pipeline.

Our effort on coach AIRCON kit development has completed all the approvals and now we are at a delivery stage for the first tender, which we got last quarter. So, this would be completed in this quarter and subsequent tenders are in pipeline to secure more business in railway space. So, we have our priorities very clearly identified. The growth pattern is very clear to us and now we are striving for this growth journey to take it to the next level. And also, we are committed for environmental and sustainability targets and Company has set a target for carbon neutrality by 2040.

That's all from my side and now we are ready to take questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Sir, my first question is in terms of the margins. You had indicated we are moving very quickly towards the 10% and the trajectory is what it is. I just wanted to understand what's driving this because in the last quarter, you mentioned we may have got certain one-offs in terms of cost corrections. But even sequentially we have seen margin growth. So, if you could just help us understand what are the key drivers for this?

Parmod Kumar Duggal: So, there are two aspects, Arjun, on this margin improvement journey. So, last year because of a lot of cost pressures, we initiated our aggressive cost reduction plan. Few of the projects were completed in the second half and few completed in last quarter. So, there would be, in fact, now annualized impact in the next year. That is one aspect of that.

So, far, although it would be too early to say, commodities started easing out in the last quarter. We are not sure now how this Red Sea and other economic issues will move up further, but right now it is beneficial to us. We also did some cost corrections with the customer to offset any sharp increases further. So, that has also, that will sustain at least in the next one or two quarters.

On operational efficiencies also as you must have seen the increase in sales that has contributed significantly in terms of managing margins because the proportionate cost has not increased. So, this will sustain. So, these are three or four guiding drivers which will at least assume that we will improve from here on.

Arjun Khanna: Sir, when we talked of the new products coming in, you mentioned EV products, you mentioned N2, N3. Essentially, would that drag down margins, or these would be margin accretive business?

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Parmod Kumar Duggal: I want to say negatively AC market, when we are benefiting into more N2, N3 AC AIRCON, it is comparable to the passenger vehicle margins. So, there is no deterioration to that. EV products right now at very initial stage, and so far we have not compromised on the prices and we are trying to keep the same margin levels.

Arjun Khanna: Sir, the second question is regarding home RACs. We have seen a lot of o

ur peers have very

strong numbers given the stock out situation. In your comments, initially you didn't talk much upon this. What is the situation? How do we see this business scale up? And last quarter you mentioned it is on a standby position. If you could update us?

Parmod Kumar Duggal: So, Arjun, I did mention that we are doing good on again pursuing very aggressively on the

home AIRCON market. Although the numbers, market is available from a revenue side, but if you must have followed, all players, all other tier one suppliers are struggling with the EBITDA and the profitability margin is less than if you take the average of our current business segment. So, we don't want to impact our financials just because we are very aggressive in this segment. So, we are going mute on that.

But having said so, we are watchful of this industry. The moment pricing pressures are over, we will be aggressively pushing on that. Market is available. It is only up to us whether we want to compromise on margins and aggressively pursue on that. And we wait our best just to say that market is positively contributing to the Company financials.

Arjun Khanna: My final question, sir, is if we look at our CAPEX, last year also we have done roughly 120 crores and you have been mentioning we will be in this range. If we do only that much of CAPEX, is it possible to grow at the rates we are seeing currently? Is it possible to grow at more than say 15%, 20% at just these levels of CAPEX?

Parmod Kumar Duggal: So, there are two aspects to that. One is that CAPEX is required for any greenfield project which we already did three years back. So, now at least on the infrastructure side, that investment is already made. Now the investments are only into the incremental capacities which we need to generate, not the whole line investment. So, that investment can be offset from this 100 crore plus CAPEX which we normally do every year. Just to de-bottlenecks the operations and try to get more capacity in that.

When we go into new technologies, when we have to set up the completely new technology investment, that delta will come. But right now, we are just at a feasibility stage of evaluating these technologies' potential in the market. But that will be for more business opportunities which will come '26, '27 onward. So, we are trying to differentiate two level of investment. What is for sustenance to achieve at least between 8% to 10% growth. And second is for the technology investment.

Moderator: Thank you. The next question is from the line of Abhishek Jain from Alfaccurate Advisors Private Limited. Please go ahead.

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Abhishek Jain: Sir, can you provide me full-year number of passenger vehicle ACs, CVs, Radiator and Railways?

Parmod Kumar Duggal: Sure. Abhishek, the total number for passenger vehicle AC products is around Rs. 2,300 crore. I will be just giving you the round-off figure. ACM is around Rs. 500 crore. The bus market is around Rs. 40 crore. The truck is around Rs. 90 crore. These are broad numbers which we have for the overall segments.

Abhishek Jain: And Railways?

Parmod Kumar Duggal: Railways last year is a very small number around Rs. 5 crores, which mainly the order execution will happen in this year only.

Abhishek Jain: And sir, as you mentioned that you have increased the share of business to 43%, 3% gain in this year, so have you won the new business and that's why the share of business has improved?

Parmod Kumar Duggal: Answer to this is yes and also because of the model mix change, as I mentioned before that SUV market growth is much more than the A segment car or B segment car. And SUV we have in most of the customers our share of business has improved. So, that is a key contributor to that.

And also, another factor is that in certain products the growth is more than the average market. There are certain models where the

growth is 20%, 22%, whereas overall industry growth is around 8%. So, that has positively contributed to overall growth.

Abhishek Jain: And how much share of business with Mahindra and Mahindra right now? Are you looking to increase the business from them?

Parmod Kumar Duggal: Yes, Mahindra and Mahindra, we are at around 24% of their total thermal buying as of now, and going forward in next two to three years' time this will increase.

Abhishek Jain: So, have you won any new business from them for the new launches like SUV 7 and 3XO?

Parmod Kumar Duggal: We have all their born electric vehicle; we have secured business for few components. SOP will start from probably September onwards. One by one each model will be SOP gradually. So, that will contribute to the overall share of business.

Abhishek Jain: And my last question on the tax rate. Still the tax rate is around 32% to 34%. So, what would be the effective tax rate in FY '25?

Parmod Kumar Duggal: 25.19%.

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Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital. Please go ahead.

Jyoti Singh: My question basically on the growth path side as we have very strong order book from Mahindra and also we are working for the new product. So, what growth rate we are targeting in '26 and '27?

Parmod Kumar Duggal: '26 and '27. Okay. So, we did mention about this that slightly we will be doing better than the overall industry growth. So, '26-'27, our estimate of industry growth would be between 6% to 8% because this year we are expecting slightly moderate growth, but next year there would be some recovery of that. So, we have our ambitious target of going double-digit growth even in '26-'27.

Jyoti Singh: And sir, another that we are already supplying to Mahindra. And what about Maruti that their upcoming plant and more pipeline on the hybrid side? So, how much opportunity we have on that front?

Parmod Kumar Duggal: So, with Maruti EV launch, which is going to happen in next year, we already had tied up business and product is at different stage of evaluation. So, whenever SOP will happen, we will be there. On the upcoming plant in Kharkhoda and subsequently in Gujarat whenever it will be announced officially, but for that plant also we are talking about capacity ramp up within the existing plants and going forward, we are evaluating how to service 1 million capacity for their this Kharkhoda plant.

Coming to your question about hybrids, the launch which is going to happen first model of Maruti in Kharkhoda will be a hybrid vehicle. For that, business is already tied up. Since we are supplied to the hybrid of Grand Vitara in TKM by Subros, so similar on that ground we will be taking this business also. So, this is also aligned.

Moderator: Thank you. The next question is from the line of Aashin Modi from Equirus. Please go ahead.

Aashin Modi: Sir, my question is regarding this EV business and strong hybrid businesses we are talking about. So, what is the understanding that the content is 2x and 1.5x, but given the fact that we have not yet localized the technology, what would be the difference in content that we would be having in this order versus our normal ICE vehicles?

Parmod Kumar Duggal: Aashin, there are two aspects to that. If we separate out the compressor, which is a complete technology change in EV versus ICE, if I just park for the time being and keep the other kit that is ECM condenser, hose and pipe and HVAC, the ratio between ICE conventional thermal system to EV would be roughly 1.5x or 1.8x, but only talking about compressor, it is almost 4x. So, right now since we don't have electric compressor localized as of now, so we are not counting on that, and whatever we are saying is incremental penetration in EV is based on 1.5x or 1.8x delta, which will be coming from EV space.

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Aashin Modi: And sir, any plans on localization of that compressor and who would be supplying that to current or currently to M&M? Any color on that? Is it imported?

Parmod Kumar Duggal: So, right now all the electric compressors are imported. We are in the feasibility study stage of investing into EV compressor localization. These are at the very initial stage of our evaluation because this requires a large investment and also it required, whenever we do a large investment, the utilization percentage of the capacity has to be very, very means substantial. Otherwise, we will have challenge on the realization. So, we are now just watchful of how this EV penetration is happening because last three years we have just reached around 90,000 EV vehicle only. So, if we are talking of 10% to 15% penetration, that means we need to reach almost a million EV vehicle by next seven years. So, moving from 90,000 to 1 million is a very watchful decision for us because it may not happen very quickly. It may take longer time. So, that's how we are adjusting our investment decision based on the market ramp up.

Aashin Modi: And sir, my last question is regarding our business with M&M. So, if I remember correctly, we mostly supplied pipes and condensers over there. So, any breakthrough in compressor or HVAC over there which could lead to high increase in pair of business with them?

Parmod Kumar Duggal: So, in Mahindra and Mahindra, we have HVAC business for certain model. We have business for condenser and compressor also. Now on the BEV side, we have businesses for hose and pipe which has a large number because in EV hose and pipes are multiple of 2x of existing conventional pipes.

In addition to that, in Mahindra pickup vehicle we have full system that means all four aggregates. In going forward in few programs which we are right now working with Mahindra, the talks are also for substantial part of thermal product in such models.

Moderator: Thank you. The next question is from the line of Aditya, an individual investor. Please go ahead.

Aditya: I just want to know what is the current market share in each product category, and my second question is, do we have monopoly in any of the current product offerings?

Parmod Kumar Duggal: So, Aditya, thank you. Answering your question, we don't have any monopoly in any product. That is the answer to the second part of your question. Second on the share of business, I already mentioned in my initial brief, in the PV space, we have share of business of 43%. In truck AIRCON, we have a share of business of 54%. In bus, we have a share of business of 17%.

Aditya: I have one more question. We are working with MG, Citroen, Renault. Are we working with these companies?

Parmod Kumar Duggal: So, Aditya, we are working with the customer. Disclosing customer name at this stage would be difficult because of the confidentiality, but yes, we are working with these.

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Aditya: So, there is one advice. There are so many players in the passenger car segment. So, I think the business development team of your Company must tap this MG, Citroen. Citroen has got a manufacturing facility in Chennai only. And so it is very risky to depend on Tata and Mahindra for the business. So, it is better to explore these new customers. So, this is one advice, and I hope the Company will follow the advice.

Parmod Kumar Duggal: Noted, Aditya.

Moderator: Thank you. The next question is from the line of Jyothi Singh from Arihant Capital. Please go ahead.

Jyoti Singh: Sir, just wanted to confirm on the order book side, if you can just explain it again?

Parmod Kumar Duggal: So, with respect to order book, I will say that right now, last year in FY '23-'24, we have booked order of around 475 crores, overall spread out into various customer and segments.

Previous to that we did order booking of around 530 crores. Normally

our cycle of

development to SOP is between 12 months to 18 months. So, that will have reflection within next two years or so, but that doesn't mean that all this 1,000 crores will be incremental revenue because out of that, there are certain model changeover also. It would be a kind of replacement business, but this is how the order booking right now.

Moderator: Thank you. The next question is from the line of Jayaraj from Batlivala & Karani Securities. Please go ahead.

Annamalai Jayaraj: I have two questions. One is, what will be our current localization level, sir? And what is our target, sir, for the current product?

Parmod Kumar Duggal: So, Jayaraj, localization level as of now, we have around 80%, 83% is our localization content, 17% what we import as of now in variable, all the segments. Our target in the next three to four years, we have to be less than 10%. That's the aggressive target we have taken so that we can de-risk ourselves for any fluctuation of foreign exchange, which may impact operational efficiency.

Annamalai Jayaraj: But in three, four years, some more products will also come up no, sir, electric and all, so that the import content again can be more no. Still we want to reach 10%, including that?

Parmod Kumar Duggal: Including that we are targeting because all the new technologies we want to initiate localization at the start of production itself.

Annamalai Jayaraj: In electric vehicles, sir, other than HVAC system, do we have any other opportunities?

Parmod Kumar Duggal: So, in electric vehicle, there are normally five components, which goes into electric, which relate to thermal. One is HVAC. Second is condenser. Three is a high temperature radiator, and four is a hose and pipe and fifth is the compressor part of that. And hose and pipe include

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two set of that. One is to do a connecting element for cabin AIRCON and second is connecting element for the battery AIRCON.

So, in EV space, we have in certain customer models, we have business for HVAC, hose and pipe both for cabin as well as for battery cooling. In a few models, we have radiator and condenser. That's how it is variably spread.

Annamalai Jayaraj: In AC bus, sir, is there any other opportunity, sir? In EV buses.

Parmod Kumar Duggal: So, in AC bus...

Annamalai Jayaraj: EV buses, sorry.

Parmod Kumar Duggal: Yes, so in EV buses now we are at an almost conclusion stage of the specification with few large customers. We will start seeing the order booking now coming in at least in the second half of this year. So, that alignment is done now, and that is a very fast-growing market, especially in the public logistic domain. So, it is a very attractive growth opportunity for us.

Annamalai Jayaraj: But there also initial import content can be high no, sir, because of scale?

Parmod Kumar Duggal: Probably high maybe, but since the numbers are not substantial, it may not impact the overall percentage.

Annamalai Jayaraj: No, I understood that, but initially, obviously, the volume will be low.

Parmod Kumar Duggal: Yes.

Annamalai Jayaraj: And currently lot of electric vehicles are sold in the container as well. So, HVACs people, I mean, whoever is supplying is importing and supplying to them or who is supplying now?

Parmod Kumar Duggal: So, in EV vehicle those who are on the road as of now, there are suppliers who are associated with Tata Motor or with MG or with other big OEMs. So, few of the kits are imported because numbers are very small for any investment there. But yes, for Tata Motor, since he is having the large share of business of the total EV market, so they have local supplier available in Maharashtra.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Jayaraj from Batlivala & Karani Securities India Private Limited for closing remarks. Over to you

, sir.

Annamalai Jayaraj: We thank all the participants. Sir, do you want to make any closing comments, sir?

Parmod Kumar Duggal: Not exactly, but what we said, we are trying to realize better performance than what we did.

And quarter four definitely is a very encouraging operational performance for us. We want to

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sustain it for all subsequent quarters. And that's how we want to progress. Thank you so much.

And thanks for participating.

Annamalai Jayaraj: Only one more question has come, sir. Operator can call Mustafa. He is available online.

Moderator: The next question is from the line of Mustafa Rangwala from Motilal Oswal. Please go ahead.

Mustafa Rangwala: I just wanted to ask that there are certain technologies that you mentioned that you want to expand into. So, what are these technologies, and what would be the estimated CAPEX cost for it?

Parmod Kumar Duggal: I did mention that there are technologies related to hose and pipe, especially for battery cooling modules, and also for HVAC, which will be used for EV. There are technologies required for hybrid condenser or radiators. There are technologies required for compressor, which is complete change of technology in EV space. So, a few investments have already been done, which will be resulting into SOP of these products next year. But the investment, which is mainly for electric compressor, that is at feasibility stage. I will not be able to quantify the investment. But once we decide to go ahead, because that mainly depends upon how sharp the ramp-up of EV penetration in the industry. So, we are just mindful of that situation, and we will announce the exact investment and the realization of that investment in subsequent calls.

Mustafa Rangwala: And what sort of increase in revenues can we assume from all these increasing new technologies that we have been adopting?

Parmod Kumar Duggal: So, revenue growth is overall for the industry. And as I mentioned before also, that we are expecting double-digit growth in the next year. But we are also subject to the conditions which are prevailing right now, including the geopolitical scenario, also the economic stability after the elections are over. Subject to that condition, we are hopeful that we will be able to do better than the overall industry. But of course, these new technologies, whenever it will ramp up, it will contribute substantially to the overall revenue. But that situation may come in '26, '27 onward, till 2031.

Moderator: Thank you. The next question is from the line of Mayur from Iwealth Management. Please go ahead.

Mayur: And sorry, it was almost the last question. And then we logged in. So, thank you for taking it.

Sir, a couple of questions from my side. Around 2015, 2016, 2017 also, we used to have margins of 11% and 12%. Now with the understanding that localization you plan to bring it even lower as we go, sorry, localization will improve, and import will go lower as we go ahead. When do you think we can reach around 11% or 12% margins?

Parmod Kumar Duggal: I will not be quantifying the exact time, but yes, our efforts are now again going back to the best period whatever we had before, before COVID. But we are gradually moving to that. Our first milestone is to break the 10% EBITDA level. That's the immediate target what we have

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and then moving to 11 and to 12. It will take time because a lot of market correction has happened in the last 5-to-7-year period. Lot of new businesses which are secured, had a price pressure. There are lot of cost escalation which has happened now. So, it has taken a lot of time to settle down, but we are very hopeful that next 3 to 4 years we will be recovering back all these deficiencies.

Mayur: Sir, just something understanding and pardon me if the understanding is not very expert or very good over here. Sir, why ca

n't we get attached to Tata Motors EV cycle, means what is it that local suppliers can do what we cannot do and just from an understanding of whether it's a product thing, whether it's a pricing issue, whether it's just a OEM mindset, what is it which stops in general from Subros getting that business?

Parmod Kumar Duggal: I will be answering this at a very general level, not specific to and it would not be sounding negative. Right now the EV market in India is evolving and we have reference point of which geography we will be trying to apply to India condition. One geography is European model. Second is American model. Third is China model, and fourth is hybrid of that.

So, right now whatever business is available based on what is easily available and current reference is China model because the EV penetration in China is very high. The products available off the shelf are available to launch immediately. That's how the current market is because the numbers are not so great to have a complete investment. Because the risk factor is we are evolving into EV technologies, battery charge or thermal performance is evolving. So, it may take time, max maybe two to three years' time to finalize which technologies are suitable for India climatic condition. So, that's how it is taking time to go very aggressive because if we go very aggressive now and invest into localization of any of the solution and tomorrow if that solution is not required, the investment may go to waste. And you can appreciate that just the number of 90,000 EV vehicle on the road, any investment for meeting 90,000 even though with the share of business of 50%, 40,000 may not be resulting very positively.

Mayur: And sir, you said EV for the compressor part, it's under the feasibility as investments are higher. Sir, is the compressor technology for a pure EV versus a hybrid different or is there an overlap on, because whether we may debate about the timing and the time it may take for the EV penetration to enhance and increase, but whether it's pure EV or whether it's hybrid, some form of EV will definitely have a substantial share than currently where we are. So, how will that shape up? And what is your understanding on it?

Parmod Kumar Duggal: That's right. Either it is hybrid or EV. Whenever you have to take electric charge from the battery, it is EV compressor. So, hybrid also uses the same compressor and also the EV part require the same compressor. So, when I am saying EV penetration, it is EV and hybrid penetration. That is important for us to take a decision when and for how much.

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Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

Q1 FY '2

MANAGEMENT : MR. P
OFFICER
M R. H
OFFICER
SUBROS

MODERATOR : MR. A
SECURITIES
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"Subros Limited
25 Earnings Conference Call
August 13, 2024

PARMOD KUMAR DUGGAL – CHIEF
FFICER – SUBROS LIMITED
HEMANT KUMAR AGARWAL – CHIEF
FFICER AND SENIOR VICE PRESIDENT
UBROS LIMITED
ANNAMALAI JAYARAJ – BATLIVALA
ECURITIES INDIA PRIVATE LIMITED
Call"

HIEF EXECUTIVE
HIEF FINANCIAL
RESIDENT -FINANCE –
ATLIVALA & KARANI

Subros Limited
August 13, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Subros Limited Q1 FY '25 Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all the participants' line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. Please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you and over to you, sir.

Annamalai Jayaraj Thank you. Welcome to Subros Limited 1Q FY '25 post results conference call. From Subros Limited management, we have with us today Mr. Parmod Kumar Duggal, Chief Executive Officer; and Mr. Hemant Kumar Agarwal, Chief Financial Officer and Vice President Finance. I'll now hand over the call to Mr. Parmod Kumar Duggal for the opening remarks to be followed by question-and-answer session. Over to you, sir.

Parmod Duggal: Thank you, Jayaraj. Good morning, ladies and gentlemen and warm welcome to all of you on Subros investor call for quarter one FY '25. Let me give some background about the industry first. The auto industry is navigating a complex environment with a mix of challenge and opportunities. The companies are adopting diversified product portfolio, improving operational efficiencies, and leveraging new technologies.

There has been a noticeable shift in the consumer preference towards SUV and premium HVAC. Maruti Suzuki, traditionally strong in the small car segment, has been expanding into SUV line-up to capture a larger share of growing markets and this is where Subros also feel a

great opportunity for us for future growth.

Indian auto industry continue to experience a gradual shift towards electric and strong hybrid also. Our traditional IC Engine will continue to dominate the market and hybrid model will gradually be popularly bridging this gap between ICE and SUV. During the quarter, passenger vehicle industry has observed a growth of 5.8%.

As a result, India upheld or sustained its position as the third-largest EV market globally.

During the quarter, passenger vehicle industry has crossed production of 1.2 million, car production. Subros has grown in passenger vehicle segment by 16% due to various model mix and improvement in share of business with our OEMs.

Commercial vehicle segment also showed a negative growth during the quarter, that is 2.4% negative. N2, N3 categories have shown growth of 17%, whereas N3 category has shown a de-growth of 4%. Overall Subros growth in the truck segment N2, N3 category is 8%.

Commercial vehicle bus is also improving because of tourism sector and public transport system. AC fitment ratio is having a variable impact on the overall industry for us. Industry has shown a growth of 6.7%. However, Subros being dominant in the small bus segment has shown a de-growth of 5% just because of the AC fitment ratio variability.

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Regarding Indian Railways being the lifeline of the nation, there have been various actions taken by the government for improvement of railway infrastructure and also to provide the air-con driver cabin, as well as the coach air-con. We have been consistently following up for this business acquisition and last year, we got all the technical approval from RDSO for both cabin, as well as for coach and we started executing the orders. There is a start-up production last quarter and based on that we started realizing the revenue on this segment also. The results of quarter one FY '25 have been shared with the stock exchange and also posted on our website. So let me elaborate the summary of results one-by-one.

Subros has performed very well

In quarter one FY '25. Growth of 17% with a significant improvement in the margin is a result of aggressive push towards operational efficiencies and cost on efforts. The Company achieved a sales amount of INR807 crores. In this quarter car and non-car segment has contributed 94% and 6% respectively. Our share of business in passenger vehicle air-con market is 43%, in truck market it is 53% and in bus segment it is 16%.

Now I will elaborate on the operational performance. As I mentioned before, there is a lot of challenge and supply chain disruptions globally and also there are cost escalations happening now. For last two years, we have been working very aggressively on the metal cost reduction program and also to offset the commodity fluctuation, logistic cost escalation with the customer settlement. The Company has realized an EBITDA of INR80.42 crores in quarter one, which is 9.96% of the net sale as against the EBITDA of INR48.80 crores which was 7.06% of the net sale in corresponding quarter of the last year.

There is improvement of EBITDA by 65% as compared to the last year same quarter. Profit before tax in the quarter is INR47.16 crores, which is 5.84% of the net sales. Profit before tax has improved by 138% and PAT in quarter one is INR34.91 crores which is 4.33% of the net sales and this has improved by 159%.

Few business updates as I mentioned before, in previous few quarters the performance has started improving and we are improving on EBITDA, PBT, and PAT level and we continue to pursue it the same and keep the double-digit growth in the forthcoming quarters as well, as the business conditions are positive so far unless there is a big disruption coming in.

In addition to that, our efforts on cost down realization both in fixed and variable costs are also contributing well to the bottom line. Company is debt free now. Long term borrowings are nil.

So we are able to now support our cash generation to our capital investment.

Subros is poised for a promising future and strong commitment to innovation. So based on that, our new business acquisition and product development in various segments is happening. We already secured almost 20% of our revenue businesses from alternative fuel, CNG, hybrid or electric and we'll be able to continue this further.

We also reported in past that Ministry of Road Transport and Highways has also initiated notification for mandatory truck air-con effecting from October 25. So business acquisition

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towards that new notification realization is going on with the large OEM and we'll update you

once we have final purchase orders received from them.

Also, our product development in BEV segment, Mono Electric with Mahindra & Mahindra and Maruti Suzuki are at final stage of evaluation and SOP are planned as per the milestone.

So we are progressing well also on these two big initiatives.

We are also now trying to build up certain capacities to meet the customer demand in next five to seven years. Based on that, we are happy to announce that we got in principle approval from our Board yesterday to set up a Greenfield project in Sonipat, Haryana which is closer to the Kharkoda plant of Maruti Suzuki.

This is a strategic expansion aligned to our commitment to growth and innovation and further strengthening our presence in the automotive industry. This is in principle approval to start land finalization activities and detailed project report and feasibility is in progress which we will be updating you in the subsequent meeting.

So, before I conclude, let me summarize the key point of the financial results. So, revenue from the operation is INR810 crores in quarter one with a growth of 17%, EBITDA of INR80.42 crores with a growth of 65%, PBT of INR47.16 crores with a growth of 138%, PAT of INR34.91 crores with a growth of 159%.

So thank you very much and now we are ready to take questions.

ns.

Moderator: Thank you very much. The first question will be from the line of Ashutosh Tiwari from Equirus. Please go ahead.

Ashutosh Tiwari: Yes. Hi. Congrats on very good numbers. Firstly, can you provide the breakup of sales between your passenger car ACs and aerators, truck, buses, etc.?

Parmod Duggal: So out of this INR807 crores, passenger vehicle segment has contributed INR840 crores. Engine cooling module is roughly INR120 crores. Truck segment has contributed INR25 crores. Buses around INR8 crores to INR10 crores. And home air-con is around INR3 crores.

Ashutosh Tiwari: Sorry. Home air-con is?

Parmod Duggal: INR3 crores.

Ashutosh Tiwari: No. But you said EV is how much?

Parmod Duggal: INR640.

Ashutosh Tiwari: INR640. Okay. And last year how much it was -- PV was how much last year?

Parmod Duggal: Last year?

Ashutosh Tiwari: Third quarter.

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Parmod Duggal: Last year quarter CV was around INR19 crores, which has improved to around INR26 crores now.

Ashutosh Tiwari: No, I asked this passenger vehicles.

Parmod Duggal: Your voice is not clear. Can you be louder?

Ashutosh Tiwari: I'm asking about passenger vehicle last year.

Parmod Duggal: Last year, passenger vehicle is INR540 crores.

Ashutosh Tiwari: INR540 crores?

Parmod Duggal: Yes.

Ashutosh Tiwari: So we have grown pretty well compared to industry. Is it driven by the new orders and also Mahindra and all?

Parmod Duggal: So it has two contributions. One is that, within the industry the growth in SUV is maximum and our share of business in SUV is substantially large. And also we started the business with Mahindra & Mahindra that also SOP started and we are realizing the revenue on that.

Ashutosh Tiwari: Okay. And what if like from October '25 ACs will become compulsory in trucks. So what is the current share of ACs in trucks?

Parmod Duggal: So right now it is variable. Every month, there is slightly different figures, but roughly 15% to 17% is the current penetration of optional ACs. Blower, of course, is 100% but optional AC is between 15% to 17%.

Ashutosh Tiwari: Okay. So this INR25 crores number that we have done in trucks right now, like can increase to how much, like say in FY '26 when it completely becomes effective on annual or quarterly basis considering maybe I have a 50% share in the truck segment?

Parmod Duggal: So because this INR25 crores quarter is including the blower, as well as AC. So once AC will get replaced to blower definitely there will be some delta realization per vehicle. Annualized basis, last year we did in truck around INR85 crores. If all the business engagement with all customers are as per our plan, we should be able to cross INR150 crores plus.

Ashutosh Tiwari: Okay. And you mentioned that in Maruti and Mahindra, you're working on this AC development for the EVs that they have. As of now, we don't supply for Mahindra.

Parmod Duggal: No. So this SOP will start next month now and Maruti SOP will start maybe the last quarter of

the financial year.

Ashutosh Tiwari: Okay. And I think we have discussed in the past about a content increase in EVs. Now that you're probably just going to launch and supply, what exactly is the content increase in ACs for EVs versus ICE vehicles?

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Parmod Duggal: So minus the electric compression, we said before also it is roughly as if it is 100 basis then it would be 180 without compressor. If compressor alone is roughly three to four times.

Ashutosh Tiwari: Three to four times of the current cost of compressor basically?

Parmod Duggal: Correct, correct.

Ashutosh Tiwari: And we supply both, right, in these cases?

Parmod Duggal: No. Right now we are not supplying the electric compressor. This is still under plans for either we localize or we pass through from Japan. That discussion is still ongoing.

Ashutosh Tiwari: But this 1.8x we

definitely will get.

Parmod Duggal: Yes, that would be there in the existing one.

Ashutosh Tiwari: Okay. And even for the Maruti product like say when you look, like when you start supplying, compressor is as of now not part of your orders?

Parmod Duggal: Yes. They will be importing as of now.

Ashutosh Tiwari: Okay. That's all from my side. Thank you.

Parmod Duggal: Thank you.

Moderator: Thank you. The next question will be from the line of Hitesh Goel from Riddish Advisors.

Please go ahead.

Hitesh Goel: Yes. Thank you for taking my question. Sir, I just wanted to ask two questions. First is on this AC regulations in trucks like on October '25, it will become mandatory. So what is the content addition per truck? Is it around INR10,000, INR20,000? How should we look at it?

Parmod Duggal: So right now there is a blower in all the trucks. So between blower to AC content, there may be a delta of INR9,000 to INR11,000. It depends upon the different size and the configuration.

So you can take it roughly between INR8,000 to INR11,000 would be the delta per truck once we move completely to air-con.

Hitesh Goel: That's the additional business that people get. If you get 50% of that business, so basically what we are saying, there are 300,000 plus which are sold every year, right? So we are talking about additional rent of INR150 crores if you get 50% market share in this, is that right, approximately? Industry size goes up by INR300 crores.

Parmod Duggal: That's the assumption as of now. We are yet to conclude our business engagement with OEMs. So once we conclude that, what share of business finally we get relies on that still too. Please wait for that.

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Hitesh Goel: Okay. Okay. And on the second question on EV and hybrid. So in hybrid and EV vehicles, you have given the number for EVs that the content goes up by 1.8 times. In hybrid versus petrol, does the content also go up for ACs?

Parmod Duggal: No, there's other than again, I'm replying the compressor part. But in case of hybrid, the delta would not be substantial because the change point, in HVAC there is no change point, whether it's hybrid or ICE. So it may be 1.3 times to 135 times also.

Hitesh Goel: Okay. And in Tata Motors EV vehicles, are you present or not? You're only in Mahindra and

Parmod Duggal: We are not present in that.

Hitesh Goel: And Mahindra's next year EV vehicles, you're present in all vehicles or you've got some?

Parmod Duggal: We are not present in full system, but we'll be supplying some parts for Mahindra, all the four programs which are coming.

Hitesh Goel: Okay. Great, sir. Thank you. All the best.

Moderator: Thank you very much. The next question will be from the line of Kush Shah from B&K Securities. Please go ahead.

Kush Shah: Yes, sir. Thank you for the opportunity and congratulations on a good set of numbers. Sir, I just wanted to get some light on this Yen appreciation, which we have seen for Japan. So any impact on the margins going forward, or would that be a pass-through?

Parmod Duggal: Can you repeat your question? I could not catch you. What was the question?

Hemant Agarwal: Yen appreciation.

Parmod Duggal: Yen appreciation.

Kush Shah: Yes. Yen appreciation and the impact.

Parmod Duggal: So, as you know that for all products-related contracts, we are back to back, secure with the customer, but with a quarter lag. So whatever impact will be there in one quarter, which will be either upside, downside, that will net normalize in the subsequent quarter. So on an annualized basis, we don't see a major impact coming in either on top line or bottom line.

Kush Shah: Understood, sir. And I believe in the presentation you mentioned you all got EV orders. So on the components part, is there any localization of those components or is that imported?

Parmod Duggal: So EV first program, since the number or the base is very small, so we are trying

to source it

wherever possible. But a major focus is on the localization. But since the numbers are very, very small, so we don't want to invest right now for large capacities for EV localization. But gradually, once we move from one program to another program, the localization level will increase.

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Contrary to this, once we started Mahindra & Mahindra, the program works for four platforms.

So the localization level gradually is increasing now. After first program in next month, then subsequent would be after six to eight months. So our gradual localization level will increase.

Kush Shah: All right, sir. Thank you. I'll fall back in the queue.

Moderator: Thank you very much. The next question is from the line of Ashutosh Tiwari from Equirus.

Ashutosh Tiwari: On the railway side, we had got the approval. How should one look at the revenue?

Remember, I think last year was around INR5 crores to railways.

Parmod Duggal: So last year was INR5 crores and this year we have already done almost INR2 crores now. We have one order which is in pipeline which we are supposed to close by end of this year. So revenue will be between INR10 crores to INR12 crores this year. And subsequent orders are in final stage of negotiation or business award. So we'll update subsequently.

Ashutosh Tiwari: And these ACs are basically like the new orders are basically for passenger coaches, right?

Parmod Duggal: So yes, this is for Indian Railway coaches and also for driver cabin. So both business discussions are on.

Ashutosh Tiwari: But driver cabin, I believe we supply earlier also, right? I mean.

Parmod Duggal: Yes, Yes. It is already there. So but there is some change in technology which railway is expecting. So we are trying to align that.

Ashutosh Tiwari: And versus this INR10 crores, INR12 crores revenue that we plan to do and expect to do this year, what is the opportunity size in this segment? What is the railway sourcing per year?

Parmod Duggal: So I will not be able to spell out what exactly is the total sourcing of railway in thermal. But as a business segment if we are on full swing and all the projected projects are realized, we would be able to touch between INR70 crores to INR90 crores.

Ashutosh Tiwari: This will happen over how many years?

Parmod Duggal: Maybe two years to three years.

Ashutosh Tiwari: Okay. And does this include supplies to Metro also or that's not as of now with us?

Parmod Duggal: No, this is excluding. This is only for Indian railways. Metro coaches, we are now at a product development stage. Once that is completed that would be substantially different.

Ashutosh Tiwari: Okay. And generally just to understand this space a bit better, I mean, in one train where may be there are four or five AC coaches what will be the size and content will it be? Any idea of that?

Parmod Duggal: One coach require two air-cons. So that's how it is called in set. And if one train has around 12 coaches, so it would be 24 air-con. So 12 set would be there.

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Ashutosh Tiwari: And what will be the cost of that?

Parmod Duggal: So roughly it ranges between INR8 lakhs to INR10 lakhs per AC.

Ashutosh Tiwari: Per set or per air-con basically?

Parmod Duggal: Per set.

Ashutosh Tiwari: INR8 lakhs to INR10 lakhs for per coach basically.

Parmod Duggal: Yes.

Ashutosh Tiwari: Okay. And who are the other players in this segment on railway?

Parmod Duggal: So there are many. Sidwal is there, Farley is there. Siemens is there.

Ashutosh Tiwari: This is okay. And secondly, on the bus side, like I think we would like you mentioned you did INR12 crores, INR13 crores. INR18 crores, sorry, in this quarter which is similar versus last year. Do we supply for EVs as well?

Parmod Duggal: Yes. So EV both 9 meter, 12 meter product is already evaluated by us and it is now aligned to

customer program. So that tri

als are going on. Once they are successful, we will be able to convert this into business.

Ashutosh Tiwari: And like compared to a non, let's say, a normal ICE bus, how does the content increase? I think there's substantial content increase when you go to EV buses. But what's the content in ICE and EV like for nine meter bus?

Parmod Duggal: No. It could not be substantial change point because in the ICE bus also compressor get energy from the electric only. So in the EV bus also, the status will remain same. So there would be hardly any differential other than battery cooling module which would be a delta but maybe 1.2 x or so.

Ashutosh Tiwari: And battery cooling module, we supply or develop, anything on that?

Annamalai Jayaraj: Pardon.

Ashutosh Tiwari: Like this battery cooling modules for buses, have you developed supply? Where we are in, on that product?

Parmod Duggal: So that also is part of the evolution because once few customers will buy them in a sector, so it will be a secret with battery cooling. Or there may be a few cases where battery cooling would be add-on product.

Ashutosh Tiwari: Okay. And lastly on the margin part, how like say this margin is sustainable going ahead?

Parmod Duggal: So far based on the market condition we see next two to three quarters we will be able to sustain these margins, unless there is a big disruption or a geopolitical disruption which may impact the overall industry. But minus that, we don't see any challenge.

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Ashutosh Tiwari: And the capex plan for this year and next?

Parmod Duggal: So this year I think between INR120 crores is the capex investment between new program and small capacity, as well as for replacement of assets. So we will try to maintain that.

Ashutosh Tiwari: And the new plant capex will mainly go next year?

Parmod Duggal: So that will go next year. But we have not yet made the final proposal of how much investment will be there. Please wait for one quarter for getting the final input on that.

Ashutosh Tiwari: Okay. Got it. Thank you.

Parmod Duggal: Thank you.

Moderator: Thank you very much. The next question is from the line of Mayur Parkeria from Wealth Managers India Private Limited. Please go ahead.

Mayur Parkeria: Sir, actually my phone line due to network got disconnected. Apologies. So if there is any repeat or anything I missed out, another apologies. On the margin front, I just wanted to understand. Sir, while we have reached the 10% target we had set in this quarter itself and you just alluded that next two to three quarters, you believe it is sustainable.

But when we look at your presentation, just wanted to clarify in one of the slides you mentioned that it is the benefit is because of lower commodity prices. And in another one where we have mentioned that localization benefits have also started to play out. The first and former one, the commodity prices, the benefit may be a little, maybe not very sustainable post two, three two quarters. So how should we see this?

Which is a major driver here and how should we see about the sustainability of margins beyond two quarters, sir?

Parmod Duggal: So on margin side, the major contribution of improvement is localization benefit. Whatever cost-down effort we did last year or maybe two years before, they started realizing now. So it is a sustainable part of that because these localization benefits will continue for till the life of the program. That is one.

On the second part, commodity price impact also is softening now. And in the previous calls, we did mention that there are certain contracts where commodity price indexation is allowed with the customer. But there are certain excluding commodities where compensation is not indexed. So once these are softening, we are trying and we are now getting the gain of that. So, of course, that is again subject to the market condition. But as of now in next two to th

ree

quarters, we see that such commodities are softening and will continue to be at this level.

Mayur Parkeria: So sir, should we believe that this is the base and our long-term two to three years target of 11% and 12% to start from here? Or you believe that there can be headwinds if the commodities or prices actually reverse, which way one should look at? Is this the base one

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should look at? And then going forward in the medium term, we should start realizing 11% to 12%?

Hemant Agarwal: As informed by Mr. Duggal that major impact on the reduction of the metal cost is the cost optimization initiative undertaken by the Company. The commodity movement or a fluctuation where it is back to back reimbursed by the consumer has no impact. Wherever we have not declared the commodity, it has a very small impact on our bottom line.

So going forward, there is no major or even if the commodity started moving up, it is not going to have a major impact on our bottom line, but definitely it will have. And that and the Company has the endeavour to compensate with their aggressive cost optimization plan. So we expect that going forward these margins are sustainable, even the better one.

Mayur Parkeria: Great. Great, sir. Okay, sir. And another thing on the capex, the new plan which you have announced, I understand that plans are still to firm up and the project report will get more details in the next quarter.

But directionally, will this involve EV, I mean, the plan for the EV localization?

Parmod Duggal: So new plant setup is to meet the customer requirement. Since Maruti has already announced 1 million capacity in Kharkoda, so we are trying to align the project to meet that requirement. So whatever share of business we get out of that plant location we will be trying to service that. So, there is no direct linkage to localization or non-localization. But, of course, we will be expanding these plant for meeting the additional delta requirement of customer. But, of course, once we set up this plant, it will be very highly efficient plant which will be built up to take care of next 10 to 15 years of future requirement.

Mayur Parkeria: Right, right. Sir, I missed some numbers which you gave for the quarter in terms of the breakup of the sales. If we look at the overall top line, top line growth has been muted. But if you look at the passenger vehicle, the growth, I guess the numbers were INR540 crores to INR617 crores. So growth was much better than the industry. Which were the other segments which did not do as well that the growth was a little moderate and how do we see going forward for the whole year?

Parmod Duggal: So I think you mistook the data for passenger vehicles. So it was INR540 crores to INR640 crores. So that's how the growth is around 18% in that segment.

Mayur Parkeria: Sir, INR640 crores or INR614 crores?

Parmod Duggal: INR640 crores.

Mayur Parkeria: Okay. Okay. Okay.

Parmod Duggal: And then ECM growth is roughly 13%. Bus segment has not grown because of the AC fitment ratio not favourable to us. So it all depends upon AC fitment ratio. There is no mandate of AC buses only. Truck business is favourable to us because the numbers have improved from the last corresponding quarter. Tractor in a small term, but started during the quarter. So, but the

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base is very small. So that is not very significant. So that's how overall we have realized around 17%.

Mayur Parkeria: Right. So we believe that despite the slowing passenger vehicle growth for FY '25, our growth can continue to be much better than the industry in the current light because of rising SUVs and Maruti sales on the SUV side which is there and M&M platform, right?

Parmod Duggal: Hopefully, yes. If this trend continues.

Mayur Parkeria: Okay, okay. Great sir. Thank you so much. Wish you all the best. Thank you, sir.

Moderator: Thank you. The next follow-up question is from the line of Hitesh Goel from Riddhish Advisors. Please go ahead.

Hitesh Goel: Thank you. Sir, just want to clarify on railway side, are we supplying to Vande Bharat also? And follow up question there also is, in railways there is generally L1, L2, right, in terms of suppliers, in terms of contracts. So that work in AC business also or there are many suppliers?

Parmod Duggal: So railway always decide business on L1, L2, L3. And wherever there are new entrants for that some development orders are being issued that is out of the total order. So that pattern will follow to the AC also. Vande Bharat, we are right now in ICF or MCF. Vande Bharat, I think in the next order we'll be able to service that.

Hitesh Goel: And then the number that you had given for the normal diesel trains, sorry, normal trains for Vande Bharat that INR1 crores per train number for AC content is higher or lower?

Parmod Duggal: INR1 crores?

Hitesh Goel: So basically you said INR8 lakhs per coach, right? So there are 12 coaches.

Parmod Duggal: 12 coach means, we are counting by coach. We don't know how many coaches will be there in a train or so. So we count by coach only. So the overall number of two to three year include that Vande Bharat...

Hitesh Goel: Okay. But Vande Bharat content would be higher, I mean, in AC or similar?

Parmod Duggal: The coach is same. The air-con quality will be same.

Hitesh Goel: Okay, okay. Thank you, sir. Thank you.

Moderator: Thank you very much. The next question will be from the line of Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Please go ahead.

Annamalai Jayaraj: Yes. Thanks for the opportunity. I have only one question, sir. What is our current import content and what is our target for localization, sir?

Parmod Duggal: So our total import content as of now is 16% of the sales. This is our current level. Next two to three years' time, we want to bring it less than 10%. That's the long-term target we have fixed.

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Annamalai Jayaraj: Out of the 16%, mostly it will be yen sir, or some other currency will also be there?

Parmod Duggal: Yen would be between maybe 8% to 9% of the 16%.

Annamalai Jayaraj: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Sir, thank you for taking my question and congratulations on a good set of numbers. Sir, just on this localization plan. So, effectively, what you just answered in the previous participant is essentially we are even with our plan, we will have that 10%, 11% as imports. Essentially, what is the scale one would require to actually move towards full localization? And this component, is it largely the compressor? And in terms of technology, are we there to set it up with our partners?

Parmod Duggal: So whatever remaining localization is there is primarily divided into three parts. One is the raw material, which is getting imported either from China or from Japan. Second is certain proprietary part for which the value chain is not available in the country and the scale required for such localization, one, investment high and the output has to be substantially consumed in India. And the third part is where there are certain residual models where the localization is not viable because models are on a downside or maybe on the end-of-life side.

So if we separate out of this 16%, may be 3% will go to the last 8% means 6% to 8% would be on the raw material side and between 4% to 6% would be on the proprietary part. So localization of raw material depends upon the economy of scale because huge investment required and the large companies like Hindalco or other big companies, Intel, etc. would be required to localize these parts.

So that's a separate strategic push. But for, on pro

prietary part, discussions are ongoing and we are trying to build up the value chain for such proprietary parts. But it is a gradual process.

Arjun Khanna: Sure. And could you articulate which parts are these?

Parmod Duggal: So there are certain electric motors, there are certain seals, special made seals, there are material for pistons, which are high-grade piston. There are clad aluminum material which is very specialized for heat exchangers. So these are kind of parts.

Arjun Khanna: Sure. And sir, as EV starts getting into a sales part of it over the next 12 months, one, would localization effectively come down because right now you said we would be more bought-out components? And two, does this mean that our margins come down in terms of percentage terms, absolute obviously will increase since you mentioned the salience of the part is 1.8 times? But in terms of percentage margins, how should we look at it, sir?

Parmod Duggal: I will not say it will substantially impact because next two years, the base of EV will not be substantially high. If you are talking of 1 million EV, we are talking of six to seven year scale, right? The number of EV has been a lag and two to three years, it is not going to jump to may

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be more than 10% to 15% or 20% growth or so. So it is not going to impact overall business on a negative way. But, yes, it will start with the high MSR, but gradually it will come down, but it will not have a significant impact on the bottom line.

Arjun Khanna: Sure. And in terms of margins, would it be significantly lower just to understand the EV margins?

Parmod Duggal: No, it will not be lower because of the new technologies, slightly, it will be better than the existing.

Arjun Khanna: Sure. Thank you and wishing you all the best, sir.

Moderator: Thank you very much. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing remarks.

Parmod Duggal: So thank you very much. We have already summarized most of the part of our business operation, about the new product development, about the businesses in pipeline, technologies in pipeline, and also the capacity expansion plan. So overall, based on the current business situation, we see a very encouraging year '24-'25, subject to any disruption which may not impact us negatively. But overall, there are good positive sentiments and we try to utilize this favourable to our business. Thank you so much. Thanks for your attention.

Moderator: Thank you, on behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Subros Limited Q2 FY25 Earnings Conference Call"

November 08, 2024

MANAGEMENT : MR. PARMOD KUMAR DUGGAL, CHIEF EXECUTIVE
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MR. HEMANT KUMAR AGARWAL, CHIEF FINANCIAL
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MR. SUKHBINDER SINGH GILL, ASSISTANT VICE
PRESIDENT , FINANCE , SUBROS LIMITED
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Subros Limited Q2 FY'25 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participants lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks, Nega. Welcome to Subros Limited 2Q FY'25 Post Results Conference Call. From Subros Management, we have with us today, Mr. Parmod Kumar Duggal – Chief Executive Officer, Mr. Hemant Kumar Agarwal – Chief Financial Officer and Senior Vice President (Finance), and Mr. Sukhbinder Singh Gill – Assistant Vice President (Finance).

I will now hand over the call to Mr. Parmod Kumar Duggal for the "Opening Remarks" to be followed by a Question-and-Answer Session. Over to you, sir.

Parmod K Duggal: Thank you, Jayaraj. Good morning, ladies and gentlemen, and a warm welcome to all of you for Subros Investor Call Q2 FY'25.

In Q2 of this Financial Year, we saw muted demand in the domestic market which has impacted the overall growth in the industry.

The Indian passenger vehicle industry saw slower than expected growth in the first half of FY'25 with a degrowth at 0.7% in Q2 and a modest growth of 2.4% in H1, whereas the domestic market has a modest growth of 0.5% in the first half of the year. This is much below than the initial expectation of 3% to 4% forecast, but underwhelming performance of passenger vehicle industry has now poses to recast our annual growth forecast for passenger vehicle segment.

CV segment, including truck and bus also is facing a major degrowth during the quarter, which is approx. 10% as compared to the previous period; however, there is a significant growth in two-wheeler and three-wheeler segment.

If we summarize the first half of the overall automotive industry performance, I believe there are multiple factors of muted growth due to the series of unforeseen event in the month of May, June and September which has dampened the momentum like elections, heat waves and heavy rains on Subros Limited

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certain part of the country that has contributed to a degrowth except for two-wheeler and three-

wheeler category.

Subros has stayed committed for driving the innovation and growth and which are crucial and challenging given the situation of the industry as of now. Subros overall growth of 8.7% in the first half of the year, whereas in Q2 our growth is 1.8%. In this growth journey, CV truck has played an important role where the growth is 28% due to the new emerging segment within the CV, which is the last mile connectivity trucks where the aircon is being installed by our OEMs. There is 16.8% improvement in quarterly profitability and approximately 56% improvement in H1 as against the previous year performance.

The results are improving based on our aggressive push for improving the internal efficiencies as well as localization where our efforts are consistent.

We have already posted our results on the stock exchange and let me elaborate the result one-by-one:

As I mentioned, Subros has performed slightly better than the overall industry performance in Q2 of FY'25, growth of 1.8% with the significant improvement in margins as a result of our efforts in the operational efficiency.

Company has achieved a revenue of Rs. 828 crores during the quarter and Rs. 1,638 crores during the first half of the year.

In this quarter, car and non-car segment has contributed 93% and 7% respectively.

Our share of busi

ness in the passenger vehicle segment aircon market is consistent at 43%, and in the truck segment our share of business is around 51%, and in bus segment we are at 16% during the quarter.

Now, let me "Update you on the Overall Operational Performance":

The company has realized EBITDA of Rs. 83 crores in Q2, which is 10.03% of the net sale as against EBITDA of Rs. 73 crores, which is 9.1% in the corresponding period. There is an improvement of EBITDA by 13% as compared to the corresponding quarter.

Profit before tax in the quarter is Rs. 49 crores, which is 5.87% of the net sale. PBT margin in the corresponding quarter has improved by 17%. Profit after tax in Q2 is Rs. 36 crores which is 4.41% of the net sale. PAT margin has also improved by 36%.

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On the "Overall Business Update," over the past few quarters, we have been consistent while our financial metrics are improving. We are committed to maintain this momentum for the forthcoming quarters as well.

Our focus on aggressive cost cutting, managing or optimizing on the fixed cost as well as variable cost to support our financial results are ongoing.

The company remains debt-free in terms of long-term borrowing, allowing the healthier cash generation which positions us strongly for future investment. Customers are also showing confidence in Subros, and this is the reflection that we got two important prestigious awards during this quarter from Mahindra & Mahindra Tractor Division and Daimler Trucks for our collaborated effort with them for Aircon Development for their Tractor and Truck respectively.

Looking ahead, we are excited about the project on the horizon, including the upcoming green plant at Kharkhoda, which is a set of major milestone for our journey towards sustainable manufacturing as well as our growth in future.

I also mentioned in my previous brief investor call that the railways is emerging as a big segment for us. In general, government effort on upgrading the railways in India is substantially improving and our products going into railways including the driver cabin and coach aircon is also progressing well. We have a couple of orders in hand and which we are now trying to complete that partially in FY'25 and partially in FY'26.

We are also focusing on expanding our product range, advancing its technology to meet the auto industries evolving needs, both in electric as well as in hybrid vehicle.

Our ongoing development on alternate fuel including CNG vehicle, hybrid vehicle and electric vehicle through the aircon product is also improving and today in our total revenue, 20% of the revenue is coming from these alternative fuel-based vehicle.

Further, the Ministry of Road and Transport has also announced that AC cabin for the truck, which is going to be mandatory by October '25. Our engagement with all our customers are now almost concluded and we secured large businesses on this new initiative, but the sales will start in the subsequent financial year.

In addition to that, our commitment towards sustainability is also progressing well and we already announced that carbon neutrality within Subros operation by 2040. Our actions are in place towards that.

Now, let me give you "Update about our Forthcoming Greenfield Project at Kharkhoda":

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During last quarter we informed all investors that the board has given in-principle approval to proceed with this new project. In this board meeting we have got formal approval for this project for the investment of 150 crores. We will be setting up this plant for 4.5 lakhs to half a million capacity for Hoses and Tubes and ECM. This would be an important strategic investment by us in the Greenfield project for our growth and also to improve our presence in the automotive sector. We will be investing to enhance this capacity, including all set of sustainability action, includi

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the automation and digitalization and this plant would be operational by April 2026.

Before I conclude, let me "Summarize the Financial Result once again." Overall revenue of Rs. 828 crores with the growth of 1.8%, EBITDA of Rs. 83 crores with the growth of 13%, PBT of Rs. 49 crores with the growth of 16.8%, PAT of Rs. 36 crores with the growth of 36%.

That's it from my side. Now, we are open for taking questions.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Amit Hiranandani from SMIFS Limited. Please go ahead.

Amit Hiranandani: Sir, if you can help us with the passenger vehicle industry outlook for the second half? And have we won any kind of a new model in this quarter?

Parmod K Duggal: So, at this stage, it is very difficult to make any assumption about H2 because we have seen H1 with the muted growth and everything was poised to the response of the festive season how it would be. There is a mixed response because the retail of course has increased, but our business is more dependent on production by the OEM, not on the retail. To some extent, the inventory, dealer has reduced, but we don't know how much is the exact number, that would be clear by 15th of November or so when FADA will release the festive season response. But going forward, there is no new model which is going to be launched during the H2 by any of the OEM because most of the OEMs are now showcasing their new launches during the Bharat Mobility Show in the month of January. We have got new business of around Rs. 120 crores won during the quarter, but most of the SOPs are happening in FY'26. But overall as an industry performance expectation in FY-'24-25, we may say that the H2 will not be substantially different than H1.

Amit Hiranandani: How much is the current import content in percentage term and how is our localization strategy going on?

Parmod K Duggal: So, our overall import content of total turnover is around 16% and we have target to bring it down to less than 10% in the next two to three years' time. When we started, we were at around 42%, around six, seven years back and maybe in the last five years we reduced from 26% to 16%. So, our efforts are on now to push more and more aggressive localization.

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Amit Hiranandani: Despite the mixed outlook you have given for the H2 for the passenger vehicle, do you see this margin improvement journey to continue?

Parmod K Duggal: I think it would be sustained, but whether it will improve or not, it depends upon how the economic situation will happen, because still with some remaining imports, foreign exchange impact will be there, whether the offset will be there in the quarter or whether it will take a subsequent quarter to offset, that all depend trends would be now post-election in USA. But our efforts on operational efficiencies are ongoing and we will be consistent in realizing whatever action we have already taken.

Amit Hiranandani: Any kind of input cost pressure you are facing?

Parmod K Duggal: There is no as such pressure which would be negative for the business, but yes, supply chain disruptions are ongoing, the Red Sea crisis is ongoing, the logistic delays are happening because of the congestion overall. So, there is no as such pressure, but we have built up some safety stock. That's why our inventories have gone up because we built up for derisking our few inventories in advance.

Amit Hiranandani: Continuing with the inventory thing, basically it has been observed there is an increase in the working capital requirement and the free cash flows came in slight negative in H1. So, can you just help us understanding the inventory and trade receivable, both have gone up in H1?

Parmod K Duggal: So, there are two aspects to that. As I mentioned that inventories to the tune of around Rs.30, 40 crores we have built up as part of the derisking.

That is one action for that. And the cash flow, there

is no debt as of now, we are managing within our available working capital limits as well as through internal accruals. So, there is no financial pressure as such on the business.

Amit Hiranandani: On the railways, you have been very optimistic. So, can you help us in understanding how much is the current revenue you are generating and the target for the next three years? And are the margins better in railways business?

Parmod K Duggal: So, three questions you asked within one question. So, in railways, we have done so far in H1

around Rs. 7 crores of the revenue and the order booking for railways is roughly between Rs. 35 to 40 crores, out of that around Rs. 10-12 crores will be executed during the current financial year, balance will go into the next financial year as per the terms of the contract. For the next three years we see this segment is going to be very aggressively pursued both from the government side because lot of aggregators are also coming in to build the coaches now. So, we see this segment for us would be a growth in double-digit in the next two to three years' time.

Amit Hiranandani: And, sir, about margin?

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Parmod K Duggal: Margins are reasonably, I think it is comparable to all our business, because as a business policy, we code businesses with the similar margins only.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.

Please go ahead.

Arjun Khanna: The first question is in terms of the change for MHCV. So, while you mentioned in October 2025 and you have articulated earlier for us incremental is Rs. 160 crores. Given that we are closer to it, do you yet think that's the additional revenues we could generate per year or has there been a change in thought process?

Parmod K Duggal: So, MHCV notifications are still intact. The SOP is the effective date of regulation is October '25.

Each OEM will decide whether they want to follow the regulations strictly or they want to build up the inventory and start production much more in advance so that the pipeline can be filled up with the air contracts. Still, our assumption of truck aircon business to the tune of Rs. 160 to 175 crores still intact unless there is a drastic change in overall industry sentiments. But based on our current order booking and based on our engagement with customer, we are really optimistic of this number.

Arjun Khanna: Sir, the second query is regarding railways. While you did clarify to the previous participant, earlier, we had mentioned that the railways is a higher EBITDA margin business, you had mentioned as high as 15% to 20% and now we seem to suggest that margins of railways are similar to the current business, I was just curious, sir, is there competitiveness increased currently that's why margins have come off?

Parmod K Duggal: There is no major change in what we said before and now. Since we got into railways in the last two years only, based on the current basis, it is comparable to our existing business. But as we increase our penetration into railways and the scale is increasing, we may have chance to improve the margins for railway segment. So, I have given the status in my previous answer of current situation, but as we go along in the next two to three years' time, it will definitely improve.

Arjun Khanna: Sir, just to understand the scale, so there would be AMCs, etc., also in these businesses going forward, the services bit would be higher margin-related. Is that the right way of understanding this?

Parmod K Duggal: That's true. That's why the key driver for improving margin is not only the product sale, it is lifecycle sales. So, this will include the services also.

Arjun Khanna: While you refrain from giving a target revenue, earlier we have said that our goal was maybe Rs. 75 crores in the next three ye

ars, so that was probably FY'27 given we did Rs. 5 crores in '24,

are we on track for that or you think possibly could be even larger than this?

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Parmod K Duggal: No, we are as per that assumption only, we may surpass that number, but how much I am a little bit concerned not to give that number but yes, we will surpass that target which we announced before.

Arjun Khanna: My last query is just Maruti as a percentage of sales for this quarter, what was that number? And the second part to it is we are hearing a lot of hybrid launches. We already have a few in the market. So, in terms of content per vehicle for them, what would that be compared to the contents for an ICE vehicle?

Parmod K Duggal: So, Maruti is contributing roughly maybe around 80%, 82% of our total revenue. The second question is on the hybrid part. So, whatever hybrid Maruti is launching or has launched so far, we are there as a aircon supplier to them. In terms of content per vehicle, there is no substantial change. But in the case of hybrid from HVACperspective, there is no change because HVAC remain same, condenser remain same, the content will change only in case of radiator as well as in the compressor because they use electric compressor and since we are not supplying electric compressor so it is not with us, but radiator from a conventional ICE-based engine to hybrid, it would be roughly 1.6X.

Arjun Khanna: Just for the electric air compressors, is there any thought process of setting up a line in India because we are seeing movement more towards EVs at least in terms of talk of new models being launched like Mahindras, etc.,?

Parmod K Duggal: So, I will say that feasibility is still on electric compressor localization in India and we also see this

is upcoming opportunity for us to make these compressors in India. But right now the risk factor is that despite industry is talking about electrification in passenger vehicle industry, but still we are around 1% penetration only. So, we need to be watchful because one line whatever we will set up would be for around 700,000 to 900,000 capacity. So, if penetration is so low, then the idle capacity will hit the fixed cost. So, we are watchful of that situation. As and when we have a firm number of market opportunity increasing rapidly, We will expedite our localization effort in that.

Arjun Khanna: And what would be the ballpark cost of such a facility, sir?

Parmod K Duggal: So, normally electric compression manufacturing will cost us between Rs. 90 crores to 120 crores.

Moderator: The next question is from the line of Mihir from Equirus Capital. Please go ahead.

Mihir: My question was that if we see the employee cost turned over last three, four quarters, it has been increasing for around Rs. 3 to 5 crores every quarter despite your sales being flattish. So, any reason behind that?

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Parmod K Duggal: So, employee cost has two elements; one is employee cost every year will increase to the tune of 8% to 10% because of the inflationary impact which we are giving through increment to the employees. So, that is one cause of that. So, another part is that due to this festive season, last quarter we built up some safety manpower and trained them because normally during the festive season, hydration levels are very high. Just to derisk our business, we had created a pool of trained manpower and that's how in last quarter that is slightly high.

Mihir: So, this will be the number which would continue or will it slightly come down or how?

Parmod K Duggal: No, see, again, it will again depend upon if market is growing and sale numbers are growing, manpower number will not be in a proportionate increase other than some level of indirect manpower remain same. So, as a percentage term, it will start diluting the moment we increase our sales.

Mihir: My second question was

on the EV front. Now, we are looking many EV launches later this month.

So, how have we seen the traction on that part of the business currently like so on the like hoses and those parts like compressor is something which is imported right now but on the other part of the business?

Parmod K Duggal: So, EV penetration, as I mentioned before also, so far it is low, but there are a few projects which OEMs have already announced, they will be launching maybe by end of this financial year or going to the next financial year. So, our presence, especially in Maruti's project, we are there for EV product other than the compressor. But for other OEMs, hose and pipe business all are tied up, not only for aircon, also for battery cooling. So, we are just watchful of their launch timing and based on that the realization of turnover will come.

Mihir: My last question on this is that what is the percentage of like if you see penetration mix for EV, which would be adequate to put a compressor facility like what would it be, what is the ballpark number of penetration which you see that when it will be feasible to put a compressor capacity?

Parmod K Duggal: A very difficult question. Even OEMs cannot answer that. So, EV penetration is right now a real challenge to make any assumption, because if you recall 2022 when this discussion started of EV penetration, everybody talked about 30% of overall market will move to EV by 2030 or so. Then these assumptions start diluting to 15%, 10%. So, this is the dilemma right now. So, if we expect that market will reach to 7 million by 2030 or 6 million by 2030 and 10% EV penetration will remain, by that time as an assumption so the market size would be roughly 600,000 to 700,000. We don't expect that 100% business will come to us. If we target 50% share of business, still it would be 300,000 to 400,000 number. So, that's the concern point for us to assume anything to kick off this investment because of the large investment. So, we need to be watchful and careful while making such decision.

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Moderator: The next question is from the line of Omkar Chitnis from Trade Brains Private Limited. Please go ahead.

Omkar Chitnis: So, my first question is, do you have any plans to export the air conditioners to global market in this coming year?

Parmod K Duggal: Tricky question but straight answer is as of now we don't want to export directly, but right now the export which are happening through the OEM that we will be pursuing better. So, we are exporting to Brazil market, North America, through Renault Nissan. We will continue this business enhancement further. OEMs are also selling certain parts collected from us to Indonesia market or to Japan market. Tractor is selling to US as well as to Japan, made in India, so that also goes with Subros aircon product. So, as of now, India market, I will say the potential is much more to capture that. So, we are focusing to capture first India market because being a market leader, we have to

retain that position and realize whatever opportunities we have in India. But of course we are not closing our effort for exporting of these parts to any other part or any other region. So, our efforts are on. So, I will update you maybe in the next forthcoming one or two calls about some concrete actions or some results of our efforts.

Omkar Chitnis: My second question is, are we planning to adopt a product that is a service model in coming years for passenger and commercial vehicles so we can get recurring revenue from a PAS model?

Parmod K Duggal: Directly, there is no such effort because normally product service is handled by the OEM, OES and their service outlets are only doing these kinds of work. So, right now we have not thought of going into product service directly as a tier 1, so as such, no plan.

Omkar Chitnis: As we have received a board approval to increase the production c

apacity at Haryana plant, what

will be the total production capacity? Currently we have 1.5 million AC kits per year. And what will be total production capacity and it will be funded through internal accruals or external funding?

Parmod K Duggal: Current capacity of Subros is around 2.4 million. We are going to set up 460,000 to 500,000 new capacity in this new location, which is in district Sonipat, Haryana. We have taken approval to invest roughly Rs. 150 crores on this project. Out of that, tentatively, 25:75 will be the ratio of internal accrual versus bank borrowing. But We will see the business situation and accordingly adjust these ratios how much we have to invest from internal or how much we need to take from bank borrowing.

Omkar Chitnis: Is there an expected date to commence the production sir?

Parmod K Duggal: So, I already informed it is April 2026.

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Moderator: The next question is from the line of Hrishit Jhaveri from Pi Square Investments. Please go ahead.

Hrishit Jhaveri: Can you please give us like between what's our exposure towards EV versus commercial vehicle?

Parmod K Duggal: Out of the total business on the car side, it is around 93% and 7% is coming from non-car segment which includes CV plus bus, railways, etc.,

Hrishit Jhaveri: But with the new opportunity in the truck and the railways segment, do we see this mix to change in the next three years?

Parmod K Duggal: Of course, this will change and probably it would be maybe around 85:15.

Hrishit Jhaveri: My next question was I was going through our balance sheet and P&L where we have a substantial increase in the other income segment both QoQ as well as YoY. Can you throw some light what's the other income this quarter and would that be sustainable or it is a one-off?

Hemant K Agarwal: So, other income comprises two elements; one is the return on the investment, which will be consistent going forward, and second element is the mark-to-market on our currency hedging. So, since we have a quarterly reimbursement from the customer with the quarter gap, so we have our all import exposure, so when it is reinstated at the quarter end, it is MTM, sometimes it is gain, sometimes it may be a loss. But since for our all-practical purposes it's forming part of the material cost. So, it may be slightly here and there. But no major impact will come.

Hrishit Jhaveri: How much would be the return on investment part out of the 6 crores?

Hemant K Agarwal: Out of 6 crores, around two 2, 2.5 crores will be the investment and rest will be the hedging.

Hrishit Jhaveri: So, the hedging which is the major chunk here?

Hemant K Agarwal: Yes.

Moderator: The next question is from the line of Annamalai Jayaraj from B&K Securities. Please go ahead.

Annamalai Jayaraj: I have two questions, sir. One is for this; we started supplying for tractors. What is the traction on that radiator?

Parmod K Duggal: So, for tractor segment, we have two products which we have offered to customer. One is the radiator which goes into 100% of tractors for a particular OEM for a particular model and we also started the aircon for tractor as well. So, these two markets are now emerging market for us. Of course it's the ongoing market, but tractor aircon is something which is new for us. This tractor, which is developed by Mahindra & Mahindra, that is the model name now which is already

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publicly available, that OJA other than domestic use will be exported back to Japan because of the Mitsubishi collaboration and also will be exported to USA. So, we see this market will grow now because much more other OEMs also now are looking into a development effort of tractor aircon.

So, right now the size of this market based on the business arrangement what we have with the OEM is between Rs. 15 to 20 crores, but going forward this will

increase.

Annamalai Jayaraj: What is the competitive intensity in that, sir?

Parmod K Duggal: So, in radiator there is, but for aircon right now there are not much players who are into this market.

Annamalai Jayaraj: The second question is on the EV buses. So, do we supply aircons because lot of now EV buses are being manufactured in India, so what is our current exposure, sir?

Parmod K Duggal: So, EV buses still are evolving in terms of design standardization. So, we have developed the products. Right now, EV buses, we are supplying to Ashok Leyland for that hydrogen bus project which they have taken. All the evaluation and prototyping is complete and five buses is for that lay project we already supplied and another seven we will be supplying for the next evolution in the NCR part. Our engagement with customer now to standardize the specification for the forthcoming tender also ongoing. So, maybe in another six to eight months We will have a better penetration of AC kit into EV buses.

Moderator: The next question is from the line of Shailly Jain from Dolat Capital. Please go ahead.

Shailly Jain: Hi sir, can you please provide me the number for passenger vehicle, AC, CV and radiator what was the revenue?

Parmod K Duggal: Passenger vehicle overall business is around Rs. 640 crores out of the total revenue of Rs. 828 crores and radiators are roughly Rs. 120 crores, for passenger car and the CV portion would be around Rs. 30 crores.

Shailly Jain: For Mahindra & Mahindra like what is the business share what we are holding on?

Parmod K Duggal: So, Mahindra & Mahindra, we have a business share of around 24%.

Shailly Jain: And how do you see it going ahead?

Parmod K Duggal: This will be increased because when Mahindra will start the EV models launch, this is going to increase and also since we are now part of aircon suppliers for last mile, connectivity for Mahindra also and MTBD truck also will get aircon, so this is going to increase in the next two to three years time.

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Moderator: The next question is from the line of Khush Nahar from Electrum Portfolio Managers. Please go ahead.

Khush Nahar: Sir, considering the industry and the new plant that you're coming up with, what kind of top line growth that you're seeing in the next three years with sustainable EBITDA margins?

Parmod K Duggal: It's very difficult to predict any revenue number for the market as of now, but as I mentioned that capacity expansion is in line with customer requirement and since Maruti has already announced, they have put a project long back and currently they are on track in terms of SOP of this project. We are setting up capacity based on their ramp up plan and capacities will be utilized to the extent of 70% to 80% very quickly maybe within one to two years' time of the launch of our project also. So, I cannot give you any exact number of revenue growth, but of course We will do slightly better than the overall industry performance. On the margin side, We will be consistent to improve hereon. In the last eight to 10 quarters, we have taken to reach to double-digit margins now and We will try to sustain this effort to improve further.

Moderator: As there are no further questions from the participant, I now hand the conference over to the management for closing comments.

Parmod K Duggal: So, just to conclude, thank you very much to all investors to show confidence in Subros and have patience in the last eight to 10 quarters. Results started improving, our efforts to improve the financial KPIs are ongoing, and We will try to improve from here on. Business, as such, I mentioned that last first half and corresponding half two, there would be some level of uncertainty, but going forward FY'25, '26 is going to be promising as of now based on the current outlook. So, we are watchful of the situation and best of luck, best wishes to all of you.

Moderator: On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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Moderator: Ladies and gentlemen, good da y, and welcome to Subros Limited Q3 and FY '25 Earnings Conference Call, hosted by B&K Securities. This conference ca ll may contain forward-looking statements about the company, which are based on the beliefs, opinions a nd expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all the participants' line will be in the listen-only mode and there will be an opportunity for you to ask questions after th e presentation concludes. Should you need assistance during the conference call. Please signal an operator by pressing star then zero on your touchtone phone. Pleas e note that this confere nce is being recorded.

I now hand the conference over to Mr. Annama lai Jayaraj from B&K Securities. Thank you, and over to you, Mr. Jayaraj.

Annamalai Jayaraj: Thanks, Renzo. Welcome to Subr os Limited 3Q FY '25 Post Re sults Conference Call. From Subros Limited management, we have with us today Mr. Parmod Kumar Duggal, Executive Director & Chief Executive Officer; Mr. Hemant Kumar Agarwal:, Chief Financial Officer and Senior Vice President, Finance; and Mr. Sukhbinder Singh Gill, Assistant Vice President, Finance.

I'll now hand over the call to Mr. Parmod Dugga l: for opening remarks, to be followed by the question-and-answer session. Over to you, sir.

Parmod Duggal: Thank you, Jayaraj. Good morning, ladies and gentlemen. Since we are meeting first time in this year, so first of all, I wish you all a very happy and prosperous New Year 2025, and welcome to all of you for Subros investor call for quarter 3 FY '24-'25.

Just brief about the industry. The auto sector has had a very busy quarter 3. On the global front, we have seen a steady recovery desp ite our changing economic environment. EVs continue to be dominating in conversation, not just as a trend, but as a future of mobility. In India, the story has been one of the resilience and growth. The festive season gave a solid push to the passenger vehicle sales, while the rura l market bounced back, driven by the better agriculture income.

Overall, automotive sector has grown by 6. 5% during quarter 3 and approx 10% in 9-month period. Passenger vehicle segment has grown by 3.56% in 9 months, and PV industry has posted a moderate growth in calendar year '24 and is expected to touch around 4.3 million units. This is based on the strong growth in SUV segment and sustained traction of emission-

friendly powertrains. CV segmen t, including truck and buses, also facing a major disruption during this quarter, and it has grown around 1.8% as compared to previous year. However, the industry overall is showing a mixed tre nd, including domestic and export market.

Subros has stayed committed to drive innovation and growth, which was crucial and challenging, given these industry sh ifts. Subros has registered a growth of 12.11% in quarter 3 and 9.8% in YTD 9 months. In this growth journey, CV segment has again played an

important role with a growth of 26% due to new emerging sector and also introduction of Aircon in last-mile connectivity trucks.

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There is around 35% improvement in quarter 3 profitability and 48.46% profitability improvement in 9-month period. This is a result of our aggressive push on improved internal efficiency and localization. The results for quarter 3 '24-'25 has been shared with the Stock Exchange and posted on our website also.

Let me elaborate the summary of the results. Subros has performed better than the industry in quarter 3 with a growth of over 12%, with a significant improvement in the margins as a result of our aggressive push on localization and internal efficiency improvements. We have achieved a revenue of

INR 821 crores during the quarter. And in 9 months, INR 2,459 crores.

Our share of business in passenger vehicle air conditioning market has been steady, 42%, during the quarter, and in truck and blower segment, it is around 53%, and in bus AC, it is 16% during the quarter.

The company has realized EBITDA of INR 80.64 crores in quarter 3, which is 9.85% of the net sales as against EBITDA of INR 66.15 crores, which was 9.06% of the net sales in the corresponding period of last quarter. There is an improvement of EBITDA by 21.91% as compared to the last year same period. Profit before tax in the quarter is INR 45.80 crores, which is 5.60% of the net sales. PBT margin has also improved by around 35%. PAT during quarter 3, INR 32.84 crores, which is 4.01% of the net sales, and this has also shown a significant improvement.

Now on the business update. Over the past few quarters, we have seen a consistent improvement in our key financial KPIs, including EBITDA, PBT, PAT, supported by the growth in sales. We are committed to maintain this momentum and targeting better growth than industry going forward. Our focus on aggressive cost cutting, both in fixed and variable costs, has been strengthened quarter-on-quarter, and we are making all our efforts to maximize our efficiency during the forthcoming quarters as well.

We are expanding our product range, advancing in to technologies to meet our major customer needs, especially in the electric and hybrid vehicle. Our ongoing developments in alternative fuels, such as CNG, hybrid, electric components is expected to contribute more than 20% of our revenue in the next 1 to 2 years.

Further in line of new notification announced by the Ministry of Road and Transport, Heavy Industries, mandate of AC cabin in N2, N3 categories from October '25. We have blocked all the businesses now, and we are now in a development phase, and we see a substantial improvement in our truck segment growth going forward.

Looking ahead, we are also now working on capacity expansion in our Kharkhoda project, which is a major milestone for our journey on sustainable manufacturing. A new facility has already been planned, and the construction work at the Kharkhoda side is going to start soon. In Last quarter Board meeting, we have already taken approval of approx INR 150 crores for Phase 1 investment in Kharkhoda, and we are as per plan as of now.

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Now just to conclude our financial results, revenue from operations INR 821 crores with a growth of 12%, EBITDA of INR 81 crores with a growth of 22%, PBT of INR 46 crores with a growth of 35%, PAT of INR 33 crores with a growth of around 22%.

Thank you very much. And now we are ready to take questions. Moderator: Thank you very much. The first question comes from the line of Mitul Shah with DAM

Capital. Please go ahead. All right. We have lost the line of Mr. Shah. And we have the next in line that is Mayur Parkeria with Wealth Managers Private Limited.

Mayur Parkeria: I hope I'm audible. If there is some disturbance, please allow me that since I'm traveling, on way, so please allow sorry for the disturbance, if any.

Parmod Duggal: No problem.

Mayur Parkeria: Sir, 2 questions I had, sir. Firstly, a little broader side. When we started the year, we had our broad intent that over the next 3 years, we wanted to get our EBITDA levels to around 12% kind of range. So where are we in that journey and when you highlight that in terms of product mix as well as in terms of localization benefit, which is expected to accrue. Where are we in that journey? And do you believe that over the last 2 quarters, we have slowed down on that journey by some aspect because the relative improvement as much is not coming as much as I

thought. So can you just throw some light on that firstly?

Parmod Duggal: Okay. So you have 2 questions. One is on the EBITDA level growth

journey. And second is

the progress on last 2 quarters. So yes, we did mention about the EBITDA improvement. And if you follow our result for last 4 to 6 quarters, there has been steady growth in EBITDA improvement. And due to the supply chain disruptions in last 8 quarters, there was a huge impact on commodities, foreign exchange and all other sourcing strategies, which has impacted and EBITDA dropped to 8% level ranging around 8% level.

We have reached to almost 9.75% to 10% level. And going forward, it is going to improve because now all the characterization for sourcing, localization and also for the neutral impact on foreign exchange, to some extent, the negotiation with our customers has already been done. So we are very hopeful that this 12% level will be realizable, but it will take a few quarters. So we need to work on that. Second part is last 2 quarters, steady performance. So if you see quarter 1, quarter 2, quarter 3, there is improvement. Between quarter 2 to quarter 3, there is slight segment performance in terms of profitability because of the financial impact of the foreign exchange because if you understand, last quarter, the impact of foreign exchange was very steep, although the impact is not significant on our financials, but still there is some part of that. Going forward, it may stabilize, if there is no further disruption, and you will see a slightly better improvement from going forward.

Moderator: Next question comes from the line of Mitul Shah with DAM Capital.

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Mitul Shah: Congratulations for a reasonably strong performance on the margin side, reaching close to 10%. Sir, my question is on this new EV Vitara launch. So how are we placed in terms of the production schedule? And what is the expected timeline to start the commercial production?

And secondly, in terms of, if at all, you can highlight broader number in terms of kit value per vehicle compared to existing average kit value per vehicle.

Parmod Duggal: I could not understand your second question. Can you just repeat, please.

Mitul Shah: Sir, second question is the existing vehicles kit value for ICE vehicles or like this Vitara compared to that, what would be the change in this EV in terms of the maybe 2x, 3x of the value of our kit, whatever we are supplying.

Hemant Agarwal: So Mitul is trying to understand average realization of EV vehicle vis-a-vis ICE, right.

Mitul Shah: Right, of whatever parts we are supplying that value.

Parmod Duggal: So first question is on e Vitara launch. So in e Vitara, we have HVAC business. We have hose and pipe business and also some part of the ECM assembly in addition to hose and pipe. So the kit content as against to e Vitara normal to this, there would be almost 1.8x delta, which will be coming in. The timing of launch customer has not been still officially announced, but we are expecting that this would be in the first quarter of FY '25-'26.

So far, I think some volume has already been produced that is only for export. So maybe domestic market, they will be launching during that time. So we have to wait for the final confirmation of customers.

On second question, as I mentioned, other than compressor, the content per vehicle minus compressor, ICE engine versus EV engine, would be between 1.8x to 2x because of the scope increase of frozen pipe going up to the battery cooling, also because of the brushless motors and some technology upgradation for EV.

Compressor is a separate subject because we are not supplying compressor for EV as of now.

But once it will come, it would be almost 3x from the existing compressor value. So overall, between ICE to EV would be around 2.5x to 3x of content per vehicle.

Mitul Shah: Yes. Just a follow-up on that. In this, would that be a meaningful import content or it is produced mainly through the localized material commodities and localized.

Parmod Du

ggal: There would be slightly increase in the import content, minus compressor, because all other components are more or less extension of the scope, not on the component side. So it will be mostly localized. But of course, in compressor, right now, it is all imported, but gradually, when we localize, maybe in near future, that would be to start with some higher import content and then subsequent localization. We have not yet concluded that subject.

Mitul Shah: With this higher import content, would there be any material change in the margin profile of this, or would it be similar to what we are doing more or less in that range.

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Parmod Duggal: No, there will not be any impact on the margins because these are high technology items, and we don't want to sacrifice on the margin on that.

Moderator: Next question comes from the line of Arjun Khanna with Kotak Mahindra Asset Management.

Arjun Khanna: Sir, just on the previous question itself. So on the margin profile, so not looking at the near term, maybe 1 or 2 years, but say, FY '28 onwards, when possibly we do look at localization of all parts, when you look at the EV piece, we are currently hearing that possibly margins are lower for ancillary providers. But given that we have expertise here, so on an even case basis, when you look out, do you see margins for this possibly being higher than the current margins that we are enjoying over a steady state.

Parmod Duggal: So first, I appreciate your understanding on this subject because EV definitely will struggle in the next 2 to 3 years in terms of the pricing competitiveness by most of the OEMs. So there would be some pressure on localization. There would be some pressure on the volume, scale. Definitely, we need to counter that. But based on our experience so far, pushing aggressively on localization, improving our operational efficiencies, we don't see it will stress our margin. It would be comparable. It would be relevant. Whatever we are doing now, there would be slightly improvement, but I don't see any deposition from there.

Arjun Khanna: So let me ask it a different way, sir. So I get in terms of margins, you may not be higher, but for us, more relevant is return on capital employed, given that the components are a lot more costly. You mentioned content increase maybe 2.5 to 3x on an even state once we indigenize the compressor. So in terms of return on the capex we put, would that be considerably higher?

Parmod Duggal: I'll say that if I talk about HVAC, there is no major technology change. All the existing capacities or production technologies can be utilized for production of EV compressed kit also.

Only the bought-out parts cost will be different, not on the manufacturing part. So I don't see a major investment other than compressor. Again, every time I'm just discounting compressor because it's a separate manufacturing technology. Other than that, there will not be any extraordinary investments, which will impact the return on capital employed.

Arjun Khanna: Sure. Very helpful, sir. Sir, the next question is on our other businesses, such as railway, etcetera, and EV buses. If you could just talk about these 2 in terms of order wins tendering, any other color you could share on this?

Parmod Duggal: So railway, we have been talking on this for last 2 quarters. We are very aggressively pushing there. Now we had secured a large tender of railway, which is around INR 40 crores of business. Out of that, we have already serviced around INR 7 crores, and the balance will be in quarter 4 and quarter 1 of the next year. This is the first major tender in coach Aircon, which was under development for a few quarters before. That is one. We are now going very aggressive on railway to secure the forthcoming tenders maybe in quarter 2, quarter 3 of the next year.

On the EV bus side, bus business is steady for us

for ICE. EV buses, a lot of iteration is

happening in terms of technology adoption. So we already started our EV bus with Ashok Leyland. We supplied a few kits for their hydrogen bus. That business is going on. Now for Subros Limited

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EV adoption by other OEMs, products are almost concluded for adoption. Application engineering is all done. Now we are waiting for official SOP of these products. So maybe next financial year, we will see much traction on bus EV as well as railway coaches.

Arjun Khanna: Sure. Sir, in terms of names, apart from Ashok Leyland, is there any other name you could disclose for bus OEMs?

Parmod Duggal: Wherever we have started business officially, I did mention the name of the OEM, but those are still under POCs. So it will not be appropriate to mention the name.

Arjun Khanna: Just the last question. In terms of the value you mentioned INR 40 crores for railways order. Just to understand per unit, what is the content, say, per coach? And secondly, for an EV bus, what would be the content per vehicle.

Parmod Duggal: So normally per coach, there are 2 units required to be supplied, which is roughly INR1.5 million to INR1.7 million. This is in this range. So this is very high-value products. So that's how the realization per coach is very high. What was your second part of the question.

Arjun Khanna: Sir, for EV buses, what would be the content per vehicle.

Parmod Duggal: So EV buses are not substantially different other than a few elements, which are added for the battery cooling. So if normal ICE AC kit is around, say, INR 4 lakhs, it would be around 4.5 lakhs. So impact will be max 10% on the base.

Moderator: Next question comes from the line of Aditya Shah with Arrowhead Capital.

Aditya Shah: So I just had one question regarding the refrigeration trucks that is mentioned in your investor presentation. Is there any update on this. Please correct me if I'm wrong because as far as I

understand, these refrigeration trucks, the refrigeration part is installed after the truck is there, correct. And it is not done by the truck manufacturer. It is installed afterwards. So how do we go about this business if we have anything going there.

Parmod Duggal: So this is really a concerned point for us because we had this refrigeration kits validated, rolled out to the market. But this market, as you said, is not OE fitted kits or the cabin. So it is actually done on bodybuilder shop. So that has become an unorganized market. So we are still very hopeful that this market in the near future will grow, where a lot of equipment will come through organized players or even bodybuilders will also have some level of quality requirement or a standard for body code.

So we are hopeful. But from a development perspective, our all product lines are complete, and they are ready to roll over. We are just waiting for the market opportunity to grow.

Moderator: Next question comes from the line of Mayur Parkeria with Wealth Managers India Private Limited.

Mayur Parkeria: Sorry, I got dropped out. And just to repeat on that margin question, just a little more color.

Sorry to harp that on that again. Sir, on the margin, when we just look at the journey upward,

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just 2 things I wanted to understand more was, should we look at it more as a function of operating leverage where because of higher scale, will we get more fixed cost benefit?

Or we should also look at the function of operating leverage along with gross margin improvement. And within gross margin, again, a function of 3 things, whether it is a product mix, whether it is localization benefit or whether it is improvement in the raw material and supply chain.

The supply chain and raw material benefits I believe would have been largely already done with because it's been there for some time now, couple of quarters.

So how do we look at all

the 3 components and if there is anything? So is it a function of gross margin we should look at or even the operating leverage, how do we look at that, sir? Some understanding and color would be helpful.

Parmod Duggal: So your question has your answers. It is a cumulative impact of all because as an organization, when we are scaling up, we are growing, definitely, there would be impact of product mix.

That is one. Two, when we're increasing our scale, the benefit of fixed cost absorption and the variable cost optimization will also be as part of the operational efficiency, which will contribute to the higher margin.

But importantly, our focus is to improve gross margin through localization as well as sourcing optimization because this is where we need to derisk ourselves also. Sourcing optimization will come when localization will be more, our dependency on imports will be minimum, the fluctuation on foreign exchange or on the duties, custom duties will be less, then we'll be more competitive and that will add to a certain margin.

And also that would be a growth opportunity for us because we will be more price competitive.

So it is all cumulative impact of all the parameters, as Subros, we are driving all these as a long-term strategy. So that's where we are confident that we will succeed in achieving the margin targets.

Mayur Parkeria: So sir, big lever will come from localization, and all others will follow with the smaller components as well. So we need to watch main will come from the gross margin. And within that, the localization will be the big lever, right.

Parmod Duggal: Correct.

Hemant Agarwal: So in a nutshell, all the initiatives for cost reduction is at place. All the efforts for manpower optimization with this shift alignment is there and the modernized investment in the machines in the new plant. Those are the initiatives will definitely drag on the higher operating margins.

Mayur Parkeria: Okay. Sir, I missed, you given any understanding of the kind of capex for the next FY '26 also, if I missed that.

Parmod Duggal: No, we have not. So FY '26, we will be consistent in our regular capex that would be in the range of INR 100 crores to INR 125 crores, that would be our regular maintenance capex as well as for the product development, technology development. This would be other than the

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new plant setup capex, which is already separately approved that is INR 150 crores. That would be for the greenfield project. So there will be 2 set of investments.

Mayur Parkeria: Right. And sir, out of that INR 120 crores normal. Sorry, sir, please. Yes, sir, please go ahead.

Parmod Duggal: Please ask this question, please.

Mayur Parkeria: No, no. I was trying to understand that apart from that INR 150 crores, the INR 120-odd crores, which is a normal capex, how much of that will actually go into capacity expansion and how much of that would be go into product development and normal maintenance capex?

Parmod Duggal: So again, I'm clarifying, INR 150 crores is a separate that is for greenfield project, INR 120 crores is additional capex, which will go into the regular capex of maintenance, product development and technology development. So normally 60% goes into new product development capexes, also for localization and 40% goes for maintenance and bottleneck capacity improvement in the existing plant.

Mayur Parkeria: So normal INR 120 crores will not have a large component of capacity expansion kind of capex, that is not there largely.

Parmod Duggal: So only, as I mentioned, 40% because all our existing plants are almost tied up with all the existing capacities. Some improvement will happen through the bottleneck machines, where we can increase 10% to 12% capacities in the existing plant. But that's why for our bigger capacity expansion, we are going for a greenfield project.

H

emant Agarwal: So basically, what Duggal sir is trying to say whenever there is a limitation on some machines, those machines get replaced or new machines are purchased, that is part of our regular capex. So that capacity alignment always takes place on a regular basis.

Secondly, on margin improvement, you must appreciate that what company has committed is that already our operating margin has gone up by 1.2% as compared to the financial year '23-'24, and we have an endeavor whatever we are committed to improve to 12% is at place, for which we are regularly working on the same.

Moderator: Next question comes from the line of Mihir Vora with Equirus.

Mihir Vora: So sir, my question was on the e-compressor side i.e. compressor for the EV Aircon. So currently, you would be importing that. So what would there be a pass-through kind of a product, where we don't do anything and just pass-through? Or how is it plays.

Parmod Duggal: So right now, we are importing this compressor. It is directly procured by Maruti or any other customer, but whenever we will decide to localize this project, it will have some base level localization, which we have not yet concluded. We are just watchful for the volume, which are more relevant for our capacity setup. So we will decide based on that.

Mihir Vora: Okay, sir. And second, sir, you mentioned that the content value increased in terms of EV cost to a normalized vehicle would be around 2.5 to 3x, overall content. What would be that in case of the hybrid vehicles.

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Parmod Duggal: So hybrid vehicle also require electric compressor. So more or less, EV, thermal system and hybrid thermal system, there is not much change. So it would be more or less in the same range.

Mihir Vora: All right, sir. And finally, sir, in fourth quarter, there was a mention that Maruti may start a hybrid production in Kharkhoda plant. So whether does that still currently also stands, whether we are looking at that only right now. Or is the plant safe, how is it.

Parmod Duggal: So that business is already tied up for the new models, which will be launched in Kharkhoda. So that is as per our development plan.

Moderator: Next question comes from the line of Avinash Nahata with Parami Financial Services.

Avinash Nahata: Yes. So in response to the previous participant's question on the kit value of coach. You had mentioned that 2 units are required per coach. And you had mentioned INR 15 lakhs to INR 17 lakhs, INR 1.5 million to INR 1.7 million per coach. So just a clarification, whether it is 1.5 lakhs x 2 or 7.5 lakhs x 2 units per coach.

Parmod Duggal: This is for the coach, INR 1.5 million is for the coach. That means for 2 units.

Avinash Nahata: For 2 units. Okay. And secondly, can you give a range for the commercial vehicle, the entire kit size for our commercial vehicle for, I mean, a typical size commercial vehicle.

Parmod Duggal: For truck application.

Avinash Nahata: Yes.

Parmod Duggal: So normally, truck application is driven by the capacity of the truck, whether it's N1, LCV, MCV, SCV. So it is 4-kilowatt kit, 5-kilowatt kit or 3-kilowatt kit based on the size and cabin size of the truck. So it ranged between around 10,000 to 12,000 for a smaller truck between 12 to 14 middle-range truck and between 14,000 to 16,000 for high-range truck.

Avinash Nahata: So when we are saying 10 to 12 or 14 to 16, this is you're talking about the entire kit value, if we are doing the entire kit.

Parmod Duggal: That's true.

Moderator: Next question comes from the line of Nishant Chauhan with Geojit.

Nishant Chauhan: Sir, my question is regarding your revenue mix currently. So could you just broadly tell us what is your revenue mix at this current juncture?

Parmod Duggal: So our revenue mix, as of now, in total turnover of INR 821 crores, roughly INR 640 crores is coming from passenger vehicle in quarter 3, that is relevant

for quarter 3, around INR 125

crores from ECM, that is radiator business. Trucks are going around INR30 crores, buses are doing around INR 10 crores, and rest is all other segments.

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Nishant Chauhan: Okay. And a follow-up to that would be, since we've been talking a lot on the railways, e-buses and also the truck segment. So how do you see this mix tilting towards the other segment apart from PVs of maybe, say, 2, 3 years down the line, sir.

Parmod Duggal: So we have been talking on this subject that we need to have more derisking moving away from the more dependency on PV segment. So that's why we are growing our business in railway, buses, trucks, tractors, all these segments. So next 3 to 5 years, we want more than 10% to 15% business coming from these segments so that the dependency on passenger vehicle segment should be lesser from the current level because these all segments are very destructively moving year-on-year.

So sometimes, the commercial vehicle segment is growing larger than other segments.

Sometimes passenger vehicle is growing larger than other segments. So we want to have a balanced approach. That's why we want to grow these businesses much aggressively.

Nishant Chauhan: Understood. And sir, just one clarification. Sir, the INR 1.5 billion that you spoke about for the new greenfield project, is this going to be spread across maybe coming years? Or it's just the amount earmarked for FY '26.

Parmod Duggal: That is what new investments you are talking about.

Nishant Chauhan: Yes, the INR 150 crores new investments.

Parmod Duggal: Yes, that would be for the commercialization of production from that plant. So that plant would be operational in somewhere middle of FY '26, '27. So this investment is for that project greenfield period.

Nishant Chauhan: Okay. So INR 150 crores for that in FY '26.

Parmod Duggal: Yes.

Moderator: Next question comes from the line of Mayur Parkeria with Wealth Managers India Private Limited.

Mayur Parkeria: Sir, there is a lot of expectation that the FY '26 automobile growth is also going to be in low single digits given the consumption which are weaker. So in that light, what do you think would be a reasonable way to look at our growth in FY '26 on the top line, given the fact that we have also that there can be a mix in SUVs and other things, which we are gaining a little bit more. So can we grow higher than industry on the OEM side, along with that, the efforts and the initiatives which we have taken for railways and trucks and other things. So how should we look at the top line growth for FY '26, sir.

Parmod Duggal: So it would be very difficult to give a very precise number, but one thing, which I'm maintaining for last 3 years in all the investor calls, and I still maintain that, that whatever will be the industry growth, we will do better than that. So Subros growth in even FY '26 also will be better than the industry growth. So whatever assumption you want to take on EV or commercial or for buses or for railway, please count on better performance from Subros.

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Mayur Parkeria: Sir, on the Tata Motors call, sorry to name that, but just they were indicating that CVs might see some tailwind because the freight rates have started to improve and utilization. So is there a chance that we'll see a little more tailwind along with the regulatory and other aspects of CV aspect are positives, which we are going to see. But in general, are we seeing any better outlook for the CV according to your talking or discussions with OEMs.

Parmod Duggal: So basically, in CV market, particularly, our growth is not dependent on the growth of number of vehicles because the major change, which is happening from October, the second half of the year, would be that truck will have an AC cabin. So that means AC sales will start

from the blower, which right now we are supplying. So there would be a delta between INR8,000 to INR12,000, even with the same truck. So kit value per truck will increase from the second half of the year. So that would be a growth for Subros, but may not be a growth for the industry.

Moderator: Next question comes from the line of Khusha.

Khusha: Congratulations on a good set of numbers. I had a few questions on the EV segment and the hybrid. So we're seeing some demand trends shifting towards SUVs and hybrid vehicles. So

how are we transitioning that for our business.

Parmod Duggal: So hybrid business is already planned and whatever hybrid vehicles are there by the OEMs, our kit development and our product development is already ongoing, because we are supplying already 2 or 3 hybrid program. So there is no different things, which we have to do, it's only the question of scale and the OEMs plan to expand SUV sales, hybrid sales.

On EV side, as I mentioned, that we already now will be starting our business with Maruti.

Mahindra EV, we've already started our business. SOP has already started. And that is mainly for frozen pipe going through cabin cooling as well as for battery cooling. So from product development side, there is no challenge for us. It is only the scale we are looking at now.

Khusha: All right, sir. And coming to the commercial vehicle and construction equipment segment, how are we positioning ourselves in this segment.

Parmod Duggal: So in commercial vehicle trucks, we are already supplying our AC kit as well as blower. Now as I mentioned in my previous question, truck AC will start now. So we are also positioning for that. Off-road truck Aircon, we already started with Mahindra, now OJA, that is being exported to U.S. as well as to Japan. Tractor radiator also, we started in Mahindra. So now for off-roader also for truck application also, the product is also in the market.

Khusha: All right, sir. Got that. And last quarter, we had seen some yen impact. So will we see any more impact in the coming quarters.

Parmod Duggal: Hemant, can you reply, please.

Hemant Agarwal: Yes. Can you repeat, please.

Khusha: Yes. So in the last quarter, we saw a yen impact. Will we be seeing the same for the coming quarters. Or is there a pass-through for that.

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Hemant Agarwal: So this quarter, we had a currency impact in the quarter 3 because of the adverse movement of the currency and the depreciation of the dollar, both currencies. Since we have a prudent hedging policy, we hedge our foreign currency exposure, there will be MTM impact at the quarter end. So this is around 0.2% of the turnover. And if you recast quarter 4, there will be no impact in the quarter 4 rather it would be positive impact in the quarter 4.

It is a one quarter lag from the customer side also. So now we'll get a higher rate from the customer, and cost is more or less in the same range. There is no change. So from the MTM perspective, from the customer perspective, both will be the same. That will offset the impact of the quarter 3.

Khusha: Understood, sir. And one last question on localization. Would you be putting a number to the localization rate or how much of the components are locally sourced?

Parmod Duggal: So right now, the import content is roughly in the range of 16% to 18% of the total revenue. So that's where we are right now, and our target is to bring it to around 10% in next 2 to 3 years' time. We are consistent on our actions.

Moderator: Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Parmod Duggal: So as closing remarks, I will say that thank you very much for having confidence on Subros. We have been interacting with each other with a lot of anxiety, a lot of questi

ons, a lot of assumptions. So far, we are very consistent in terms of whatever we are saying to the stock exchange or to the investors. All our plans are intact. Growth is happening over the last period, 8 quarters. We are consistent in terms of top line growth, also on margin side.

And we want to be sustaining this journey going forward, improving from here onwards.

Those who have visited us during the Bharat Mobility show must have seen the capability of Subros in terms of launching new technologies, the products which are in pipeline. So we see a very bright future for the organization and also for the investors. Thank you.

Moderator: Management we have a question, do you want to take it?

Parmod Duggal: Of course.

Moderator: All right. It's from the line of Vignesh Iyer with Sequent Investment.

Vignesh Iyer: And sir, I just wanted to understand the room AC part of the segment, how much revenue did we do in this quarter? And also the fact that lot of, I mean, the industry leaders as well as the second and third in line, they all are still projecting for a good growth for this year as well as the coming year. And so I just wanted to understand on that part.

Parmod Duggal: So Home AC business, so far we have done around INR 6 crores. And as I did mention before that we are going slow on Home AC business because there is a lot of stress on the margin because of a very high competitive market as well as the impact of commodities is

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extraordinary high, which is not reimbursed by the OEMs there. So we are going slow. We are only addressing those business, which has good reasonable margin for us. That is point one of your question.

Second, you said that OEMs are showing a very high assumption of growth in next year, which is contrary to the previous question, which I hear that most OEMs are saying that next year is not going to be very high growth. It would be in the early single-digit growth. So need to watch because the industry is going to be disruptive. We don't know how the trade war or how the tariff war will be there, so we need to be watchful. Maybe in another 1 month or so after post budget, there will be much more clarity about how the next phase is going to be shaping up.

Moderator: On behalf of B&K Securities, that concludes the conference. Thank you for joining us. You may now disconnect your lines.

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MANAGEMENT : MR. PARMOD K. DUGGAL-EXECUTIVE DIRECTOR
& CHIEF EXECUTIVE OFFICER -SUBROS LIMITED
MR. HEMANT K. AGARWAL-CHIEF FINANCIAL
OFFICER AND SENIOR VICE PRESIDENT -FINANCE -
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MR. SUKHBINDER SINGH GILL - ASSISTANT VICE
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MODERATOR : MR. ANNAMALAI JAYARAJ-BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day. And welcome to the Q4 FY '25 Post -results Earnings Con Call of Subros Limited, hosted by Batlivala & Karani Securities India Private Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited . Thank you. And over to you, sir.

Annamalai Jayaraj : Thank you, Andre. Welcome to Subros Limited 4Q FY '25 and FY '25 Post -results Conference Call. From Subros Limited management, we have with us today Mr. Pramod Kumar Duggal , Chief Executive Officer; Mr. Hemant Agarwal , Chief Financial Officer and Senior Vice President, Finance and Mr. Sukhbinder Singh Gill, Assistant Vice President, Finance.

I'll now hand over the call to Mr. Pramod Kumar Duggal for the opening remarks, to be followed by the question -and-answer session. Over to you, sir.

P K Duggal: Than k you, Jayaraj. Good morning, ladies and gentlemen. Welcome to Subros' Investor Call for Quarter 4 FY '25. The Indian automobile industry showed a resilient and broadly positive performance in FY '25. Passenger vehicle achieved all-time-high sales driven b y the growing performance and preference of utility vehicles. However, the commercial vehicle segment faced headwinds and recorded a slight decline due to the financial constraint and uneven fleet demand.

Overall, automotive sector grew by 5.14% during th e quarter 4 and 9.21% in 12 months period. Passenger vehicle segment has grown by 4.11% in quarter 4 and 3.71% in 12 months period. It is the first time that PV sector has crossed 5 million vehicle production as well as sales in one fiscal year, with a rob ust growth of 14.66% in SUV segment.

Electric vehicle continued their upward trajectory, gaining greater market penetration, especially in two -wheeler and passenger vehicle categories. Electric vehicles, EV, sales in FY '25 reached 1.97 million units, mar king a 17% year -on-year growth.

CV segment industry, including truck and buses, have also registered a growth of 4.42% in quarter 4 and 0.3% growth in 12 months period. However, CV segment has registered 1.5% growth in domestic market and 56% growth in ex port market during quarter 4.

Subros has stayed committed to driving innovation and growth, which are crucial for us driving the future. Subros has registered a sales growth of 9.3% in quarter 4 and 9.7% in 12 months basis. In this growth journey, CV segm ent truck has again played a key role, which is 35% sales growth in quarter 4 and 38% in 12 months basis, due to new emerging sector of air con in last -mile connectivity trucks.

There is 36.49% improvement in quarter 4 profitability and 44.61% profitabili ty improvement

in 12 month basis, as against the performance of corresponding period of last year. The results
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are mainly because of aggressive push in our improved internal efficiencies and localizations, which are consistently reflecting in our results.

The results of quarter 4 FY '25 shared yesterday with the stock exchange and posted on our website also. Let me elaborate the summary of results one -by-one. Subros has performed better than the industry in quarter 4 FY '25. A revenue growth of 9.25%, with a significant improvement in margin, is a result of aggressive push of our operational efficiencies and cost -down effort. The company has achieved a revenue of INR908 crores during quarter 4 and INR3,368 crore during 12 month of this year.

Our share of busi

ness in passenger vehicle air conditioning market is 42% in the quarter. And share of business in truck AC and blower segment is also 43%, which is recasted based on the new definition of N1, N2, N3 categories based on the new regulation. And in the bu s AC segment, it is 16% in this quarter.

Now I'll talk about the operational performance specifically. The company has realized EBITDA of INR 99.22 crores in quarter 4 of FY '25, which is 10.96% of the net sale, as against EBITDA of INR 80.86 crores, whic h is 9.76% of the net sale, in corresponding quarter of the last year. The EBITDA realized in the year is INR 343 crores, which is 10.22% of the revenue. T here is an improvement in EBITDA by 22.72% as corresponding quarter; and 22.61 %, as compared to the a nnu al results.

Profit before tax in quarter 4 is INR61.83 crores, which is 6.83% of the net sale. And annual profit before tax is INR203.45 crores, which is 6.06%. Profitability before tax with corresponding quarter for the last year is improved by 36.49% . And annual growth is 44.60%.

Profit after tax in quarter 4 FY '25 is INR46.19 crore, which is 5.10% of the net sale. And profit after tax for the year is INR150.39 crore, which is 4.48%. PAT margins, with the corresponding quarter of the last year, is i mproved by 50.57%; and 53.98% for the year.

Now I'll talk about the business update. Over the past few quarters, we have been delivering a consistent improvement in the financial performance, including the robust growth in EBITDA, PBT as well as PAT. All is backed up by the steady rise in sales as well as our internal efficiencies and our aggressive push on the localization. Our focus is now to further improve this by managing internal efficiency better and optimizing on the capacity utilization.

We are also expanding our product portfolio and investing into advanced technologies to meet the rapidly evolving the need of automotive sector, especially in electric and hybrid vehicles space. Our alternative fuel initiative, including CNG, hybrid and EV compone nts, are gaining traction. And we are expecting that this will grow further. Right now almost 20% of the turnover is contributed through these kind of products.

In alignment with the ministry of road transport and heavy industries regulation mandate for AC cabin in all new trucks from October '25 in N2, N3 category, we are actively working on capturing the large share of this segment. We have almost secured businesses which are now in the ramp -up stage for start of production. The railway segment has also appeared as a robust

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growth driver for Subros. We have almost 35% growth in this segment. Our large tender which we have secured last year, 50% of that is delivered during this year.

Looking ahead, we are excited about the projects on the horizon, particu larly in upcoming plant of Kharkhoda, which marks a key milestone for our journey towards sustainable manufacturing. We already updated you about the investment proposal which we have already approved from the Board in last 2 quarters. The land acquisition is already completed and we have started construction activity on the site. This would be a key strategic project for us in terms of expanding our capacities and also in terms of automation.

Before I conclude, let me summarize the overa ll financial resul ts once again revenue from operation INR 908 crores with an growth of 9.25%; annual revenue of INR3,368 crores, growth of 9.67%; EBITDA of INR 99.22 crores in quarter, with a growth of 22.72%, INR343 crores for the year, with a growth of 28%; PBT of INR 61.83 crores in quarter, with a growth of 36.49%, and INR 203.45 crores with annual growth of 45%; PAT of INR 46.20 crores in quarter, with a growth of 50.57%, and INR150.39 crores with a growth of 54%.

Based on the above results, the Board has recommende d dividend of 130% to the shareholders,

subject to the shareholder approval.

Thank you very much. Now we are ready to take questions.

Moderator: The first question comes from the line of Arjun Khanna from Kotak Mahindra Asset Management.

Arjun Khanna : Congratulations, sir. A very good set of numbers. Sir, the first question is on the AC cabin mandate. So by now, we would have won orders which we would have started putting into production, so could you just help us understand? What would our market share be at this point in time? And how do you look at profitability from this segment?

P K Duggal: Thank you, Arjun. So this segment, we have been pursuing for last almost 1.5 years to pursue for order booking in this segment. We have already booked almost orders worth INR150 crores. And we will be crossing share of business in this particular segment more than 50% in coming year.

So from the margin perspective, they are more comparable as compared to the passenger vehicle overall business domain, so there is no differential as such, but of course, overall revenue will substantially increase even though industry is muted. But since AC penetration would be now, N2, N3 category, would be 100%, so that would be a growth driver for us.

Arjun Khanna : Right. So, this product ramping up will not dilute margins per se. And we had earlier stated our goal, over a period of time 3, 4 years, to reach 12%. This should help us in that journey.

P K Duggal: Of course. That will help us because that will also contribute to operational efficiencies as well.

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Arjun Khanna : Sure. Sir, the second question is regarding our margins. I think we have now crossed 10% very well. Is there any forex impact or onetime element? Because in employee costs seemingly are lower. So are there any one-offs for this quarter, the fourth quarter .

Hemant Agarwal: So there is no hedging impact. So there is no impact due to the reinstatement of the forex liabilities or foreign currency exposure...

Arjun Khanna : Sure. And on the other line items of employee and other expenses

Hemant Agarwal: So employee and other expenses what is your question? Is it higher? Or it is lower.

Arjun Khanna : No. It's seemingly lower as a percentage of sales, so is that operating leverage playing out for the company? Is that the right way of reading it? Or there is no onetime impact.

Hemant Agarwal: So it is not a onetime impact. With the increase in the revenue, in terms of the percentage, employee cost seems to be lower. And also due to the operational efficiencies and relaying, the manpower cost also has come down.

Arjun Khanna : Sure. Sir, my last question. After this , I'll come back to the queue so please go ahead, sir.

Hemant Agarwal: Go ahead...

P K Duggal: Go ahead, Arjun.

Arjun Khanna : Sir, in our Kharkhoda project. So we had mentioned that we are probably going to be spending 150 crores for this year. Are we on track with the project at this point in time?

P K Duggal: Yes, we are on track on this project. So construction activities are in progress now. So we have a plan to start of production next year first quarter, so at this moment, everything is in place.

Arjun Khanna : So this year, our capex would be roughly INR270 crores: INR150 crores plus the INR100 crores , INR120 crores which we spend per year. Is that the right way of looking at it?

Hemant Agarwal: Yes.

P K Duggal: Yes, that's right.

Moderator: The next question comes from the line of Abhishek Jain from Alf accurate Advisors.

Abhishek Jain : Congrats for the strong set of numbers. Sir, as the EV penetration is gaining momentum right now so how much you are ready to leverage the benefit of it, if you can throw some more light over there .

P K Duggal: Thank you, Abhishek. So EV penetration for us, it is commonly for strong hybrid as well as EV, with respect to our product application

is concerned. So we are focusing on green mobility

or green fuel per se. That is an important parameter for us. Almost 20% of the total revenue is now contributed from these kind of green mobility segment per se. And we are now gearing up

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for more product range to be introduced in this segment so that, in next 2 to 3 years, when this EV penetration is much more aggressive, at that time, we will have long-term benefit.

Abhishek Jain : So as the content per vehicle will increase significantly in the EVs and Maruti is also going to launch also launched with the VITARA. So I just wanted to understand how much you are ready for supplying the products for them and how much increase in the content per vehicle is

expected over there.

P K Duggal: So we are ready for the Maruti's EV project also. I think the small SOP elements have already been seen now in this quarter. And it will ramp up now further. So content per vehicle, for sure, will increase now because, in EV vehicle, content per vehicle is higher than the ICE - based PV vehicle. So I'll not be able to quantify exactly, but yes, around 1% to 2% of overall vehicle contribution will increase.

Abhishek Jain : 1% or 2%, or 1x or 2x

P K Duggal: No, no. That is without the electric compressor. That's why I'm referring to without electric compressor. Because if it is electric compressor, then it would be more than 2x. So right now I'm excluding the electric compressor.

Abhishek Jain : Okay, sir. And sir, in home AC business, basically you have slowed down your business, but it can provide a good scale to you, so do you have any plan for the medium term in the home AC business?

P K Duggal: Yes. We are focusing on that, but right now we have muted because right now the whole action is to improve the margins because, if we mix that segment, of course, there will be impact on overall margin. It will be slightly lower, but if we have to -- as an organization, if we have to drive top line, then that segment growth would be a key contributor, but right now we are trying to stabilize our margins first.

Abhishek Jain : Okay. And in CV business, basically you had done, I think, 35% growth. So last year, it was around INR130 crores. This year, it is expected to be around INR175 crores, in FY '25. So in FY '26, as the order book is INR150 crores, so can we surpass the INR300 crores kind of the revenue from the CV and the buses segment?

P K Duggal: So Abhishek, the SOP is happening in the midyear, so in FY '26, we will have only half year impact only, but FY '27, when we see the full year and if industry grows because this year we expect this industry would be muted. And the growth driver for us will be only the AC penetration becoming 100%, but if growth also and AC penetration 100%, we see, I think, substantial growth in this segment. So I'm not confirming INR300 crores as a number, but of course, from the current level, it may be around 50% to 60% growth coming in.

Abhishek Jain : Okay, sir. And my last question, on the passenger vehicle AC segment. What is the revenue in this year in passenger vehicle AC segment? And how do you see growth? Where the industry participants are saying that 3%, 4% growth on the overall volumes in the domestic side, although that's going to be better. So I just wanted to understand how you would be able to

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outperform. What are the new business wins which can give you a substantial outperformance versus industry?

P K Duggal: So the PV segment. AC product, we have done last year roughly 2,700 crores. And ECM is almost 480 crores or so. So our growth in this segment is 8%, as against industry performance of around 4%, so we have done a double of the industry. There are 2 reasons to that. One is that, of course, the content per vehicle is increasing now because a lot of auto ACs are getting

introduced, as against the manual ACs.

So there the content per vehicle is increasing. That is one. Second is our EV penetration. And a third important point is the share of business in a few OEMs, where we are substantially progressing. So that is also a contributor, but as you said, that in FY '26 the industry growth is not expected as the earlier trend are. So we are expecting 1% to 3% growth, subject to the market condition and geopolitical condition, but still we will be doing better than the industry performance. That's how we have been striving for last 4, 5 years.

Moderator: The next question comes from the line of Aashin Modi from Canara Robeco.

Aashin Modi: Congrats on good set of numbers. Sir, my first question was: So you said you are supplying for the new EVs of Maruti. Could you tell us, which are the components which you are supplying?

And going forward, which are the products which you are developing? So there are 3, 4 key elements which are there as a part of the AC. Currently what we are supplying and what we plan to develop going forward.

P K Duggal: So in electric vehicle, we will be supplying HVAC, hose and pipe and shroud fan module.

Aashin Modi: Okay. And any plans on the compressor side of things.

P K Duggal: That is still in pipeline. As I mentioned before also, compressor requires a minimum break-even point of 0.5 million of capacity. Still that volume in India EV passenger vehicle is not available, and we need to be watchful of that because large investment is required. Once this industry will be projected to almost 1 million of EV vehicle, in that case, 50% share of business with 0.5 million, we will definitely kick off this project for localization in India.

Aashin Modi: Got it. And sir, my second question is regarding the margin trajectory. So we have reached decent 9.5% margin for the full year. Now going forward, how do you see I mean so we are

doing this capex which in almost 150 crores of capex next year. And also, in the last cycle, we saw that, when there was some issue in the global supply chain, there was some cost -- some elements which are not price pass-through. Their costs increased. So any impact which we expect going forward of these 2 things which will be there?

P K Duggal: So 2 question you have asked. One is on the margin. I think I need to correct you. Margin is 10.22% in the financial year. So we are now continually improving on that, and our efforts are now to reach to the next milestone. As again to your second question, of global supply chain impact.

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Yes, it was very high in FY '24, slightly muted down or slightly on a declining trend in FY '25.

Right now whatever we could negotiate with customers as onetime settlement for all these impacts has already been done now. And since the trends are now softening, it will not be a major impact as of now. In case irrespective of the fact that right now whatever costs have already been factored is part of our normal cost now. So we are watchful on that situation.

Moderator: The next question comes from the line of Mihir Vora from Equirus Capital.

Mihir Vora: So basically, sir, if I see the working capital cycle, it seems to be a bit stretched over last 2 years. And if you compare it over last 4, 5 years, the working capital cycle has been a bit stretched. Even in this year, we see debtors have slightly increased higher, so any reason to this? Is it because of the new segments we are entering into or some changes with the company agreement? Can you throw some light on that, the working capital cycle?

Hemant Agarwal: Working capital cycle is higher because of the realignment of the credit terms with a customer. So earlier, we were taking payment with a shorter period. Now it has been restated for a normal credit period. That has resulted in an increase in the receivable of more than INR100 crores. That

's how the working capital cycle is higher. If you see the other elements of the working capital, that is more or less same.

Mihir Vora: Right. And this will continue going ahead as well, at the similar levels.

Hemant Agarwal: From this financial year, if you benchmark '24, '25 for future years, it will continue in the same direction.

Mihir Vora: All right, okay. And my another question is on, sir, basically, during the Kharkhoda approval, you had mentioned in that, that you would be taking around 75% of the debt for investment into the Kharkhoda project. So does the stance currently also remain same, we would be taking around INR100 crores, INR120 crore -odd debt going ahead? Or we will prefer using our internal cash. Or investments have also increased in the year. So how do we look at the capex allocation?

Hemant Agarwal: So Kharkhoda investment is INR150 crores, which company intends to avail 75% through the term loan borrowings, which is INR112 crores. As of now, we have not taken any loan, but during the financial year, we company, we intend to go up to INR112 crores term loan. Or it may be lower also, based on our internal cash accruals.

Mihir Vora: All right, but up to 75...

Hemant Agarwal: INR 112 crores as a term loan for this project. And all the rest of the capex, we'll make out of the internal accruals.

Mihir Vora: All right. And just a follow-up to previous participant's question on the -- like sir mentioned, that the auto AC penetration is slightly increasing now. Sir, just some light on that. What would be a broader penetration number now? And what would be the -- how much would be the content per vehicle increase here in terms of from manual AC to an auto AC?

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P K Duggal: So normally, manual AC I mean specifically the impact is only in the HVAC side. So HVAC pricing differential between auto to manual is around 5% to 7%. So if auto AC penetration is increasing, that much incremental revenue per vehicle will come to us. So that's how we are expecting now. Much more auto air con will be in the market. And especially, when you're exporting more vehicle export is almost 90% with auto air con only.

Mihir Vora: Okay. And in domestic, sir, any idea in terms of any number here?

P K Duggal: I don't know the percentage, but I think earlier it was around 25% to 30%. It has already crossed 40% now.

Mihir Vora: Okay, okay. So auto AC, okay. And sir, my last question would be on what would be the import content as a percentage of RM cost in this year, in FY '25.

P K Duggal: So import content would be, I think, 16% to 18% of the total revenue as of now. We are

consistent in that. And as I mentioned before also, that -- our effort now for more localization because of many supply chain disruptions are happening across the globe now. So right now we are at this level, but going forward, I think we will push much more aggressive on localization.

Moderator: The next question comes from the line of Punit Jhaveri, an individual investor.

Punit Jhaveri: Yes. I just wanted to understand in terms of comparison with EV specifically. You mentioned 20% share of alternate fuels. So is there -- you mentioned about like certain parts, which has a difference essentially between realizations of an ICE versus an EV. Could you just elaborate a little bit on that?

And how should we see this percentage of 20% going forward. Because the CNG share has been increasing for all players. So that will be, I think, the fastest growth, but could you just elaborate a little bit on your products specifically for ICE versus the alternate fuels?

P K Duggal: Okay. Thank you, Punit. So I'll a little bit elaborate this subject for better understanding. So in green fuel, there are 3 elements. One is CNG. Second is strong hybrid or mild hybrid. And third is on EV side. So our product between ICE and CNG is not dif

ferentiating because finally

CNG is driving the engine. And finally, from engine, all the thermal products will get driven from. So main difference is coming from strong hybrid and EV.

So key differentiator in strong hybrid and EV is engine cooling module, which will have a battery-cooling element also HVAC, which will be more for battery cooling as well as for the cabin side also. And third major element is compressor, which is in ICE is the engine drive. And in EV, it is battery drive. So these are the key differentiator.

So when we say we are penetrating more on EV or strong hybrid side. So major contributor for us, what's product we already have, is ECM and HVAC. And accordingly, hose and pipe also is differentiating because the scope is almost double, 4 pipe for cabin AC and 4 pipe for battery cooling also. So these are the 3 key differentiator. And of course, compressor is also a

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big one, but compressor, we are not supplying for these 2 category of vehicle. So these are key differentiator, what I said before, on the value differential.

Punit Jhaveri: Got that. And compressor, I think you did mention that you need the market to expand a little bit with other points. One other question I had was in terms of both for commercial vehicles and railways. So for commercial vehicles, now that the new regulation has come for ACs, I think you are expecting orders.

You already start to incur as well. Based on these orders currently, as of FY '25, what would be the company's market share? And who do we compete with, your -- because it's still a very new segment for ACs within trucks. So who would be the actual competition here for us?

P K Duggal: So I already replied partially this question before, that we are intending to have more than 50% market share in truck air con market as such. And as you also mentioned about, that this segment is going to grow as the AC penetration is increasing. We secured most of the business now and we are in the phase of preparing for start of production. The official date for this rollout is October '25, but OEMs may start production slightly before that.

With respect to the competition, there are many other players also. There are MAHLE is there. international is there. Sanden is there. So there are competition available in this market, but we are insulating ourselves with respect to the technology. And the product and the availability closer to the customer facility, that's the key advantage what we have.

Punit Jhaveri: Understood. And one last question, specifically on railways, and please pardon me for not knowing, is what is the current products that we give for railways specifically. Is it air conditioning product itself? And is that specifically for modes like Vande Bharat or something like that. Because we also see a lot of EMS players who work in that space as well. So if you can just elaborate a little bit on your opportunity for railways. Because still a and how much is it currently in percentage of revenue? If there's anything that you can quantify.

P K Duggal: So railways. When we started this segment, it was mainly for driver cabin air con. And that was the drive at the time. Government wanted all the driver cabins to be air con as the first preference. And after that, we developed product for coach air con. We started this segment of coach air con last year. Now we are progressing for product application by Vande Bharat and for metro coaches as well, so that is in pipeline now.

So last year, we have done a railway business of around INR17 crores, which is not significant in terms of overall contribution to the revenue, but with respect to the orders in pipeline, we have almost around INR40 crores of tender business what we got. Out of that, INR17 crores is delivered. And balance INR 23 crores will be delivered in maybe first 3 quarters or so.

Punit

t Jhaveri: And any aspiration that you have for this business? Is this also because when you go into coach ACs, that of course gets a little bit more competitive with other players from the cool impact . So will that business be in is more of a medium -term opportunity . Anything that you can tell us about that?

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P K Duggal: So we are going very aggressive on this railways segment expansion, not only limited to AC but beyond also, but since it is a tender -based business, you will not have consistency of business month -on-month. It would be one tender to be delivered in a period of 2 quarters and then subsequently waiting for next quarter, but major part is on the product development side. So that's where our aspiration now are basically to expand the product range beyond c oach AC, for high application for high value addition.

Moderator: The next question comes from the line of Mihir Vora from Equirus Capital.

Mihir Vora: Sir, my question was basically can you share th e segment revenue mix for the FY '25.

P K Duggal: Segment -level revenue, you are expecting...

Mihir Vora: Yes, yes.

P K Duggal: Okay. So as I mentioned, around INR 2,700 crores from PV AC product, INR480 crores from ECM. Truck, we have done around INR 125 crores. Railway, I mentioned, INR17 crores. And the balan ce is roughly INR 50 crores from other segment, including truck, home air con and some other elements.

Moderator: The next question comes from the line of Raaj from Arjav Partners.

Raaj: Sir, how much growth are we expecting in FY '26, looking at the compu lsory government guideline from October 2025?

P K Duggal: Overall growth at Subros or in the segment...

Raaj: Overall at the company level.

P K Duggal: So I did mention I think I replied this question before also, that industry growth, we are not expecting this year will go substantially. And since these AC penetration will increase, irrespective of the growth in CV segment, will be a key driver for us for Subros growth -- so if market is growing between 1% to 3% overall, I think we will be doing much better than the industry growth.

Raaj: Can we expect a 10% to 12% growth?

P K Duggal: I'll not be able to quantify specifically, but rest assured we will be doing much better than the industry.

Raaj: Much better than industry, all right, yes, all right.

Moderator: The next question comes from the line of Mayur Parkeria from Wealth Manager.

Mayur Parkeria: Congratulations on the very stable effect and expected and unexpected lines. Congratulations on a good set of numbers. Sir, I just had one question. Ove r the last 6 to 7 quarters, we have been saying that our long -term margin guidance will be in the region of 12% plus. Now that we have crossed the threshold of 10% on at least a quarterly basis, and also on an annual basis

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now it's close to that, would you be in a better position to say that now the 12% margin range is within the visible guidance?

And do you think we can achieve that in FY '27 instead of a very qualitative comment of saying just this long, because we have already crossed certain milestone s that come a long way from where we were in the last few years back ?

P K Duggal: So Mayur, we have been very consistent in terms of our efforts for improving the margin. We were around 8%, 8.5% or 8.75% till last year. We have crossed annual of 10.22%; and in the quarter 10.76%, precisely. So our efforts are ongoing. And that 12% guidance which we have given before, still we are on that. The timing is only issue. Unless there is a big disruption geopolitical or in supply chains, we are still very sure that we'll be able to realize that target.

Mayur Parkeria: Yes. So in the so FY '27 will be a good time line to achieve that. It's not...

P K Duggal: Hopefully, everything goes well.

Moderator:

The next question comes from the line of Anish Rankawat from UTI M utual Funds.

Anish Rankawat My question is on the truck and bus AC regulation. And apologies if I've missed this. Could you please remind us, what is the addressable market? And what would be the content per vehicle for Subros?

P K Duggal: So I'm just repeating this answer once again. So there is no regulation in bus. It is regulation in only trucks. N2, N3 category will have mandatory AC requirement from October onwards. So overall market, if I say, would be around 400 crore to 450 crores. That's the m arket size we

have as of now. So that's what we are striving for, that we are targeting more than 50% share of business in this segment to be a market leader going forward.

Anish Rankawat : Got it. And as you said, some of the OEMs might start applying it before the deadline, so what kind of ramp -up would you be expecting to reach this 450 crores kind of a market?

P K Duggal: So INR450 crores is the overall market. Out of that, whatever business we have tied up -- but definitely we will be securing that, but an important point is that sales from October is the notification requirement. Based on the dealers' pipeline, based on the OEMs' stock level, they may start something before.

So we have got very small schedule for the month of June, but maybe July, August, September, there would be some pipeline built up by the OEMs. We are waiting for the schedules to come from the OEMs. And based on that, the ramp -up will be very steep because, after October, all AC has to be only sold. So I think ramp -up will not have a big issue in that.

Moderator: The next question comes from the line of Annamalai Jayaraj from Batlivala & Karani Securities India.

Annamalai Jayaraj : Sir, I have 2 questions. One is on the tractor side. I think we got some business with OJA tractors for supplying the radiators, sir. So what is the traction there? And is there any scope for expanding to other customers, sir?

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P K Duggal: So Jayaraj, in OJA, initially we were supplying the radiator, but subsequently we started the air con also; now this OJA export to Japan as well as to U.S., also using the air con tractor. Last year, we have sold air con product for tractor, around INR4 crores. Going forward, if this market expands, it will grow substantially.

Now we are in discussion for other OEMs also because still domestic market is not very popular with AC cabin of tractor. So that's what once the interest is generated and based on the competition product rollout, other OEMs will also pursue for that, so we are since product is already available so it is only the market development we have to do now.

Annamalai Jayaraj : But radiators, we can work on, sir, or other tractor...

P K Duggal: Yes, yes. Radiator, also we are in discussion for other 2 OEMs to include.

Annamalai Jayaraj : Okay, yes. Then the second question is on AC buses, sir. Is there any opportunity for us on the thermal solution for AC buses, sir?

P K Duggal: So in AC buses, we are already supplying the air con. So thermal solutions are already there now with that, so AC penetration in buses is increasing. Earlier, it was between 9% to 12%. It has already crossed 15% to 18% buses are now air con. With EV coming in, it would be almost 100% AC because battery cooling is also required.

So our content per bus will increase substantially as more and more EV buses are coming on the road since large tenders have already been agreed by the large OEMs. So we are preparing for first products introduction in that EV buses and also for battery cooling. So of course, this is a very promising sector for us to grow substantially.

Annamalai Jayaraj : Currently EV buses are importing these solution, sir...

P K Duggal: EV buses right now are importing, yes, from other geographies. There are 1 or 2 players who

have

started local production. We also started local production, but ramp -up is not very sharp because still tenders are yet to be delivered.

Annamalai Jayaraj : Okay, okay. That's all from my side, sir. If you have any closing comments, sir. There are no more questions, sir.

P K Duggal: I see. Thank you so much . And thank you for keeping trust and belief in Subros. We -- definitely, as I mentioned before, the business opportunities at Subros are encouraging for us. The next 3 to 4 years are quite good business opportunities. With business with geographical expansion and capacity expansion, we'll be able to leverage better. We'll be able to satisfy customer demand not only for domestic and also for export of their vehicle to different geographies. So thank you very much for your time today.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Pvt. Ltd., that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Q1FY '202 5

MANAGEMENT : MR. P
&CEO
M R. H
OFFICER
M R. S
PRESIDENT

MODERATOR : MR. A
SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Subros Limited Q1 FY '26 Earnings Conference Call hosted by Batlivala & Karani Securities Private Limited.

participant lines will be in the listen

questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.

that this conference is being record

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities.

Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks, Subham. Welcome to Subros Limited 1Q FY '26 Post Results Conference Call. From Subros Limited manage

Executive Officer

Officer and Senior Vice President, Finance; and Mr. Sukhbinder Singh Gill, AVP, Finance. I'll now hand over the c

by question

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"Subros Limited
5-26 Earnings Conference Call
August 08, 2025

PARMOD K. DUGGAL-EXECUTIVE D
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HEMANT K. AGARWAL-CHIEF FINANCIAL
FFICER AND SENIOR VICE PRESIDENT -F
SUKHBINDER SINGH GILL – ASSISTANT
RESIDENT - FINANCE

ANNAMALAI JAYARAJ-BATLIVALA
ECURITIES INDIA PRIVATE LIMITED

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that this conference is being record ed.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities.

Thank you, and over to you, sir.

Thanks, Subham. Welcome to Subros Limited 1Q FY '26 Post Results Conference Call. From Subros Limited manage ment, we have with us today Mr. Parmod Kumar Duggal, Chief Executive Officer and Executive Director ; Mr. Hemant Kumar Agarwal, Chief Financial Officer and Senior Vice President, Finance; and Mr. Sukhbinder Singh Gill, AVP, Finance. I'll now hand over the c all to Mr. Parmod Kumar Duggal for the opening remarks to be followed by question -and-answer session. Over to you, sir.

Call"

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ATLIVALA & KARANI

Ladies and gentlemen, good day, and welcome to Subros Limited Q1 FY '26 Earnings Conference Call hosted by Batlivala & Karani Securities Private Limited. As a reminder, all an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference

call, please signal an operator by pressing star then zero on your touchtone phone. Please note I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities. Thanks, Subham. Welcome to Subros Limited 1Q FY '26 Post Results Conference Call. From ment, we have with us today Mr. Parmod Kumar Duggal, Chief ; Mr. Hemant Kumar Agarwal, Chief Financial Officer and Senior Vice President, Finance; and Mr. Sukhbinder Singh Gill, AVP, Finance. I'll all to Mr. Parmod Kumar Duggal for the opening remarks to be followed

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Parmod Kumar Duggal: Thank you, Mr. Jayaraj. Good morning, ladies and gentlemen. Welcome to Subros' Investor Call for Quarter 1 FY '26. The Indian auto industry is experiencing a mixed performance in April to June '25 with some segments seeing the growth and other faced the slowdown. Overall, passenger vehicle domestic sales were slightly down with 1.4% negative year-on-year, while two-wheeler domestic sales has saw a dip of 6%. This is partly in line with the seasonal pattern as manufacturing typically offer discounts in the final month of the fiscal year to push inventory, followed by the natural slowdown in the new quarter.

However, there are positive trends in certain areas such as export for passenger vehicle grew by 13% and two-wheeler exports grew by 23%. Overall export reached to the record high in quarter 1, which is a testimony for our global competitiveness. The transformation towards electrification and high-value segments such as EVs and hybrids continue to accelerate the growth prospects. Subros has stayed committed for driving innovation and growth, which was crucial for challenging these industries shift.

Subros has registered a growth of 8.4% in quarter 1 FY '26. In this growth journey, CV segment trucks, which has again played an important role with a growth of 34% in quarter 1 due to the new emerging notification implementation for aircon in the last mile connectivity as well as N2, N3 category.

CV segment bus has also played an important role in the growth, which has registered 21% sales growth in quarter 1 FY '26 as compared to the corresponding quarter of last year. There is 15.43% improvement in quarter 1 profitability as against corresponding quarter. This is because of our aggressive push on improving internal efficiencies and localization, which are constantly resulting into our results.

The results for quarter 1 FY '26 have been shared with the Stock Exchange yesterday and posted on our website also. Let me elaborate the summary of the results one by one. Subros has performed better than the industry in quarter 1 with revenue growth of 8.45%. The company has achieved a revenue of INR 878 crores during the quarter 1 FY '26. The share of business in passenger vehicle air conditioning market is 42% in this quarter and share of business truck AC has improved to 44% and bus AC segment is now improved to 16%.

Related to operational performance, the company has realized EBITDA of INR 87.70 crores in quarter 1, which is 10.02% of the net sales as against the EBITDA of 80.42%, which was 9.96% of the net sales in corresponding quarter of last year.

There is an improvement of EBITDA by 9.05% as compared to the corresponding quarter.

Profit before tax in quarter 1 is INR54.44 crores, which is 6.22% of the net sales. PBT margin with the corresponding quarter has improved by 15.43%. PAT in quarter 1 is INR40.66 crores, which is 4.65% of the net sales. PAT margin with the corresponding quarter of the last year has improved by 16.48%.

Now on the business update. Over the past few quarters, we have demonstrated a strong and consistent performance trajectory driven by the robust financial indicators, including the growth in EBITDA, PBT and PAT due to our sustained top line expansion. This momentum

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reflects the disciplined execution and sharp market alignment, and we are confident that we will carry this momentum further.

In the EV space, we have started aligning to the customer SOPs. Last quarter, we have done SOP for Maruti Suzuki EV model also. And before that quarter, we have done for Mahindra & Mahindra. So both the projects now at a ramp-up stage, and we are expecting the results coming quarter.

From the green mobility for CNG, hybrid and EV component, our contribution to total sale is right now around 20%, and we are expecting this to grow further.

During the quarter, we have

started production for Y17, that is the new project coming in from Kharkhoda Maruti Suzuki supplied from our Manesar plant. So that SOP has also started.

It is at a ramp-up phase. In anticipation of the Government of India's mandate for air conditioning cabin in all trucks starting from June, all our preparation is complete, and we have started the production from 8th June. So the impact will come for full quarter in quarter 2 this year. On the railway side, we are becoming stronger. We are now participating in large tenders. So once these tender results will be released, we will update to all of you.

Our project at Kharkhoda is progressing well. We have taken all regulatory approvals now to start the full swing construction activities. This project will start with 0.5 million of capacity, which will be scalable to 1 million as per the customer requirement. This project will be operational between April to June quarter '26. And this will be a substantial investment for us in green mobility as well as in green factory.

Before I conclude, let me summarize the overall results. Revenue from operations, INR878 crores with a growth of 8.45%, EBITDA of INR87.7 crores with a growth of 9%, PBT of INR54.44 crores with a growth of 15.43% and PAT of INR40.66 crores in the quarter with a growth of 16.48%. Thank you very much. Now we can take the questions.

Moderator: The first question comes from the line of Vijay from Nuvama.

Vijay: Sir, I wanted to check with you, can you share what will be our revenue share segment-wise, so basically for passenger vehicle, commercial vehicle, railways, etcetera. If you can just give us a broad highlight how should we look into it? And what is your expectation probably in 2 years, 3 years down the line? How should it shape up?

Parmod Kumar Duggal: Okay. So two questions you have first on the revenue by segment. So passenger vehicle segment has contributed around INR700 crores out of INR875 crores. Engine cooling module has contributed around INR106 crores. Bus segment in quarter is INR12 crores and truck is around INR45 crores. Railway is INR9 crores and the rest is contributed by other segments. Now on the second part on expectations. So right now, a lot of disruption, geopolitical, are happening in supply chain disruptions as well. So we are watchful for the industry, how it moves, including the rare earth availability and the model level plans of all the OEMs. So this quarter would be very crucial now to observe the market trend. And based on that, we will

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align our production plans also. But overall, I think throughout the year, we'll have a very moderate progress on automotive sector.

Vijay: Okay. Okay. And have you also seen any impact because of the production cut on e-Vitara from Maruti Suzuki because of rare earth magnet?

Parmod Kumar Duggal: We don't have any direct reflection of any production cut, but there are volume fluctuations. We don't know what are the exact reason for that because this rare earth is not directly impacting to our products. So if OEM is changing schedules, that may be because of the availability of component or maybe because of the market fluctuations. So we are just following their schedule.

Vijay: Okay. And sir, generally, these types of fluctuations, do they result into increased operational inefficiencies like in terms of starting and stopping the production or delay the scheduling of the delay in site scheduling or anything like that? Or is it just a normal course of business?

Parmod Kumar Duggal: I'll say it is normal course. Yes, due to frequent model change, there would be some impact on the operational efficiencies, but it is not very significant. So it is part of our normal business transition.

Moderator: The next question comes from the line of Arjun Khanna from Kotak Mutual Fund.

Arjun Khanna: The first question is now that N2

, N3 AC cabins have been made regulatory compulsory, what would our market share be? Because earlier, there would just be SOPs, now we would have a complete sense. So what would you believe our market share to be?

Parmod Kumar Duggal: So in N2 truck segment, N2, N3 and also in some cases, N1, which is having a tonnage of 3.5 also require aircon. So our market share would be in the range of 44% & 45%.

Arjun Khanna: Sure. And in terms of key customers, if you can mention who are the OEMs you work with? Or do we work with all OEMs and our share of business is slightly lower?

Parmod Kumar Duggal: So we have taken businesses from Ashok Leyland, Tata Motor, SML Isuzu, Mahindra Trucks and Buses and also Daimler.

Arjun Khanna: So effectively, we work with most players in that sense. So is it generally 100% of a model? Or is it that there are certain models assigned to us and certain to competitors?

Parmod Kumar Duggal: So in thermal business, normally, one model is dedicated to one body or one engine model is dedicated to one thermal supplier. So it is by model.

Arjun Khanna: Okay, sure. That helps. And essentially, do you believe this to be the stabilized market share? Or is there a scope for winning further orders because we seem to be supplying all the OEMs.

So given their diversity targets in terms of number of suppliers, do you believe this to be closer to peak market share for us?

Parmod Kumar Duggal: Yes, there is opportunity available because this transition was from where as is cabins, we need to introduce something as part of aircon. So as the model change will happen, as the

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cabin quality will improve from the OEM, then there is a possibility that we can introduce better technology products, more features. So that opportunity always available.

Arjun Khanna: Sure. So that would be once the platforms change, etcetera, we could look at gaining share?

Parmod Kumar Duggal: Correct.

Arjun Khanna: Okay. Sir, on the second question in terms of margins, I just want to understand, so we have seen an inflation in the cost of rough gas prices. I understand that charging will be a very small number of it in the overall price of the overall AC blower condenser, etcetera, compressor, etcetera. But is that a factor also in margins coming off?

Parmod Kumar Duggal: What is the reference of inflation you said?

Arjun Khanna: So refrigerant gases. So I understand 134a prices have moved up of late in the past 1 year, if I look at inflation in key raw materials. So is that a factor? Or what would you believe to be the key factor for EBITDA margins sequentially falling off, sir?

Parmod Kumar Duggal: So normally, our commodities and critical alloys are compensated by customer in a quarter lag time. So whatever inflationary rates are there, they are compensated in subsequent quarter. But if it continues to increase, that the impact will be there on the bottom.

But overall, if you see, as compared to the previous quarter, our EBITDA margin has improved, not previous but corresponding quarter. But previous quarter, because of the revenue number, that operational cost apportionment that will have some impact. But from the previous quarter, the revenue is different because quarter 4 in this industry is always a peak quarter.

Arjun Khanna: Sure, sure. So that operating leverage, I get that, sir. And going forward, we were on a trajectory where we believed that double-digit margins would be sustainable. And eventually, we would like to go to 12%. Does that target yet remain given this volatile environment?

Parmod Kumar Duggal: Our hopes has to be always positive. So we are still maintaining that, and we have to strive for that because these disruptions sometimes will become a new normal. So we have to deal with that.

Arjun Khanna: Right. Right. And are we being able to price on these disruptions?

Parmod Kumar Duggal: So this is all part of the negot

iation with the OEMs. Some cases, they are willing to, but some cases, they are trying to wait for the stabilization because right now, disruptions are too many.

Arjun Khanna: Sure. Fair enough. And lastly, just if you could touch upon capex for this year. How do you see this year pan out in terms of capex that we are anticipating?

Parmod Kumar Duggal: So our regular capex for new product development and maintenance would be in the range of INR120 crores, INR130 crores. That is as is, and we are consistent every year to spend these kind of money to replace maintenance capex or so. This is other than the new greenfield

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project, which we are coming up with Kharkhoda for that INR150 crores is allocated done for greenfield projects.

Arjun Khanna: Sure. And a decision has not yet been made on electric compressors?

Parmod Kumar Duggal: Not yet.

Moderator: The next question comes from the line of Mayur Parkeria from Wealth Managers Private Limited.

Mayur Parkeria: Yes. So sir, a decent set of numbers, but on the margin side, slightly lower than what we were hoping for in terms of based on the commentary and we were looking for double digits and finally, 12% so slightly lower and the kind of growth. So you partially mentioned that March quarter was normally high was normally better than other start of the quarters. But from that perspective, just some more color.

Is it also a function of kind of product mix and we believe we'll be back to the incremental improvement in EBITDA margins again what we were hoping for? Or do you believe it is on track based on the seasonality? And we'll be able to recover as we go ahead during the year?

Parmod Kumar Duggal: So that is what this industry is always first quarter, third quarter is lower than second and fourth. So this is how the trend is in past maybe 10, 15 years. So margin improvement, of course, one major element is the material cost and any fluctuation in our material cost because

of any commodity and economic indicator.

But the other part is on the operational efficiency. As the revenue will grow, operational efficiencies will result better into the overall contribution. So we are hopeful as our quarter will be comparable to quarter 4, we'll be able to achieve that level of EBITDA margin.

Mayur Parkeria: Okay. Sir, I'm trying to just understand a little more time line specific, sir, we have been maintaining 12% as our endeavor for some time. Do we think from a modeling perspective fairly that by FY '27, we can look at that kind of number? Or is it going to be earlier or later? Sir, just qualitatively, your understanding because it's been a while since we have that aspiration and given the disruption, how do we see that number -- time line? Is it fair to look at that time line?

Parmod Kumar Duggal: So from 8% to around last quarter, we did around 10.9% or so. That's how our last 3-year journey was. And our aim for 12% within next 2 years is still intact, provided any disruption is not negative for us. But so far, our plans are aligned to that target.

Mayur Parkeria: That's great to hear, sir. Sir, final question from my side on railways, what kind of order sizes and some qualitative, if you can you mentioned that we have we are participating and we'll see some positive news from there or development from there. What kind of order sizes do we normally work with there and the execution cycle there? What -- some understanding from that?

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Parmod Kumar Duggal: So normally, railway is a tender business. So there is no regular month-on-month business is available. Once tender is received, there is always a time line between 6 months to 9 months to execute that. So that large tender, which we received last year, which was to the tune of around INR28 crores to INR30 crores, that is within next 2 months, we'll be completing the execution of th

at.

So next 2 or 3 tenders, which are again similar or larger than the last tender are in pipeline. So we are just waiting for the tender release time and the completion time, maybe between quarter 2 to quarter 3, they will be concluded.

Mayur Parkeria: And post that, within 2 to 3 months, we have to deliver?

Parmod Kumar Duggal: So normally, time is if a tender is large, then 6 to 9 months is the delivery time normally allocated. If tender is small, then it is within 1 quarter.

Moderator: The next question comes from the line of Mihir Vora from Equirus.

Mihir Vora: So sir, my question was basically on the passenger vehicle side, wherein, yes, we are strong with Maruti. But in terms of other companies like, say, Mahindra and Tata Motors, how are we gaining more traction there? Like we are already there into the for Mahindra. But is there some more RFQs in process where you see Mahindra's part of business share increasing for us?

Parmod Kumar Duggal: Yes, of course. The engagement with Mahindra is now going multifold. We are in the process of handling a few RFQs with them. Maybe quarter 2, we'll be able to conclude that. And next conference call or maybe before that, we'll be able to release the new snippet on that.

In addition to that, our engagement with other passenger vehicle manufacturer also is ongoing.

So maybe next 2 quarters, we'll be able to conclude. Passenger vehicle segment definitely is very important, especially when the transition is happening in hybrid as well as on the EV space. So that's why we need to tap on new businesses so that there is a consistency and we can grow along with the market opportunity.

Mihir Vora: Sir, in terms of ICE vehicles with Mahindra, were we there we had a presence there or we were negligible into the Mahindra ICE products? Like what would be our share of business there?

Parmod Kumar Duggal: So in Mahindra ICE, we had a share of business of around 22%, 23%. And still we are maintaining that. Now our next drive is to increase that share of business in ICE beyond 20%.

Mihir Vora: All right, sir. Sir, and in the last few calls, we had mentioned that Maruti will be doing the hybrid production in Kharkhoda. So and we were on a view that supplies were going to start from Q1. So are we on track on that? Or has there been a delay on that front?

Parmod Kumar Duggal: Maruti Kharkhoda has already started production during this month. That is end of June or July, July is, I think, official SOP. We started supplying for two models, which are getting produced there from our currently Manesar plant, where we have some surplus capacity available. But going forward, when the peak volume at Kharkhoda will happen for 2 or 3

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models further, our new plant, Kharkhoda will be ready by next quarter 1 of FY '27. So we'll

start ship production to that location.

Mihir Vora: All right. Okay, sir. So entire INR150 crores for the Kharkhoda capex will be deployed in this year or it would be in phases?

Parmod Kumar Duggal: So it would be partially in this year, partially go to the first quarter of next year.

Moderator: The next question comes from the line of Kush Shah.

Kush Shah: I just had a couple of questions. So I wanted to ask you about the content in vehicle with regards to our EV hybrid. So if we consider our ICE vehicles as a base of 100, what would be our increase in content for hybrid and EVs?

Parmod Kumar Duggal: So I think we had discussed this subject in a couple of calls before also. We need to see ICE versus EV without compressor because that would be more comparable. If the base for other than compressor of ICE 100. So in EV, it would be between 120 to 130 based on the different models. Compressor is completely a different product because the application is not through the engine, it is through the battery. So that would be between 3x or 4x of the compressor of ICE.

Kush Shah: Understood. All r

ight. And what would be your current localization?

Parmod Kumar Duggal: In EV space, other than compressor, I think we are comparable to the ICE, maybe the localization percentage would be between 60% to 65%.

Kush Shah: Okay. All right. And any target to increase our localization?

Parmod Kumar Duggal: That all depends upon how the volume of EV will grow, how rapidly it could be because right now, the base is very small. Investments will not be viable to go for localization at this scale.

Kush Shah: Understood. Understood. All right. And coming to our exposure to the yen currency, what would be any impact if there would be a depreciation in the yen?

Parmod Kumar Duggal: Hemant?

Hemant Kumar Agarwal: So since the currency is back-to-back reimbursed by the customer with a quarter lag, so we do not see any impact of the currency fluctuation. However, we have a very prudent hedging policy, which we book through the forward covers.

Kush Shah: Understood. All right. And sir, one last question regarding the home ACs. What would be our expectation for the home ACs going forward?

Parmod Kumar Duggal: So home AC, as I mentioned before also, we were muted on very aggressive push to the market because of the volatility of commodities and the pricing was not supported by the customer. We went slow on that. And this I think this time, the season was spoiled because of excessive monsoon or flood situation in some part of the country. We are now preparing for

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the next season. And still, we have another two quarters to conclude our business engagement with the customers. So next meeting, I think we'll be able to clarify better.

Moderator: The next question comes from the line of Puneet Javeri from Javeri & Co

Puneet Javeri: Congrats on a decent set of numbers. Just one -- couple of questions. You mentioned bus revenue is INR12 crores in quarter 1. Is that correct?

Parmod Kumar Duggal: Can you repeat your question on the last part?

Puneet Javeri: Just wanted to understand the bus revenue you mentioned for this quarter is INR12 crores. Is that correct?

Parmod Kumar Duggal: Yes, bus is INR12 crores.

Puneet Javeri: And sir, you mentioned in the previous quarter that roughly about INR 2,700 crores was from passenger vehicle and truck revenue you had given as INR125 crores. So is the bus part included in that? And if not, could you give the last year's number for the bus revenue?

Parmod Kumar Duggal: Last year, bus was around INR44 crores.

Puneet Javeri: And sir, do you expect that this is going to increase substantially this year? Or is it that we go in a normal course of business? And where do you see the truck revenue as well this year, if not a number, any kind of range that you can provide given that for trucks with the new regulations for in-cabin ACs, do you see a substantial increase in the truck revenue business as well? I think last quarter, you mentioned that the truck revenue was roughly about for last year, about INR125 crores.

Parmod Kumar Duggal: Correct. So 2 aspects. One is on the bus side, since there is no regulation driving the thermal product in buses, but it is mainly because of the AC penetration in bus. So last year, we did around INR 44 crores. This year, we will be very hopefully crossing around INR50 crores plus. On the truck side, last year, we did around INR125 crores. And with the regulation starting from 8th June or the middle of June, we are hopeful that we will be crossing I'm just giving a guesswork of INR150 crores to INR165 crores or so.

Puneet Javeri: And sir, is it any kind of and pardon me for this, is there any kind of difference that you have in realizations and margins compared to passenger vehicles? I'm sure that there will be some.

If not a number, if you can provide any kind of quantification or any kind of output on that

aspect?

Parmod Kumar Duggal: So margins will be comparable. We have not compro

mised while growing in this segment on

the margin side, it would be comparable through PV segment to the truck segment. So there is no differentiation for us.

Puneet Javeri: And in terms of buses, you did mention that largely since there's no regulation, it's more AC led. But for are you already a key customer for all the other EV makers specifically because we have seen that also increasing and for the bus makers within the new the PM's e-Sewa schemes amongst others, it's become a little easier for them to participate in their bus tenders

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as well. So are you already a customer for the likes of the start-ups like JVM as well as switch mobility amongst others?

Parmod Kumar Duggal: So we are in the process of because each EV product requires a formal approval from the OEM, aligning to the ECU and other alignment to the other components. So we are participating in the tenders coming in next 2 years' time, which is majorly for EV, 9-meter and 12-meter. And our engagement with our existing customers to penetrate into EV also is ongoing.

Puneet Javeri: And sir, just one final question. You mentioned about Mahindra & Mahindra, you're already present in the EVs. So congratulations for that. And you mentioned 22% to 23% share in their ICE portfolio. Is there anything that you can give for Tata Motors as well? Or is it that you're developing that business in this particular year and going forward as well?

Parmod Kumar Duggal: Tata Motors, we are engaging with them for their forthcoming model transition. So still, it is at an initial stage at RFQ and a technical specification being included in the RFQs.

Puneet Javeri: And will that be largely similar for Hyundai as well because they also have their own supply chain coming from outside. So is that similar for the likes of Hyundai and Kia models in India as well?

Parmod Kumar Duggal: Will not be able to comment as of now because it is highly competitive scenario. Right now, we are in participation of RFQ, how the business decision will happen, we'll leave it to the customer.

Moderator: The next question comes from the line of Sanket from Ashika Stock Broking Limited.

Sanket: Sir, my first question is on AC mandate. As government has already started this AC mandate from June itself. So what is our contribution on N2 and N3 truck in Q1 out of this INR45 crores revenue, which we are having from commercial vehicle segment?

Parmod Kumar Duggal: So we don't differentiate revenue by the notification because this notification started on just middle of June only. So it has impact of only 15 days as of now. So next quarter, we'll see a large impact of this. But as I mentioned before that of this incremental opportunities, we have already secured a business share of around 44%, 45%. So I think next quarter, you will have a better clarity on this.

Sanket: Okay, sir. Sir, and how confident are we in achieving market share above 50% in N2 and N3 truck segment as and I want to understand like how are we differentiating with respect to our competitors in this particular segment?

Parmod Kumar Duggal: So when this notification came, the time available was very tight for the OEM to transition into AC cabin because we got hardly 8 to 9 months only. So based on the workload distribution, the OEM has decided different suppliers. So it is not by the competitiveness, it is mainly by the resources and the time line available.

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So as I mentioned before, right now, our focus is whatever models are allocated to us, we need to service them. When the transition of any model change or the cabin change happen at the OEM end, that time, we will have more opportunity to increase our share of business.

Sanket: Sure, sir. Sir, my third question is on our capacity utilization. So as of quarter 4, our utilization was somewhere around 80%, 85%. So how are we planning

to fulfill our near-term demand

backed by this tailwind as well?

Parmod Kumar Duggal: So capacity utilization, of course, is around 85%, and it has now reached to 90% also. That's why I did mention before that new project, which is at Kharkhoda, we are setting up 0.5 million of new capacity and also debottlenecking the capacity at our existing plant also.

So we are able we would be able to increase the capacity in line with the customer demand by

next year. And subsequent to that, whenever there would be further delta required, the projects means the plant size are enough to take care of the additional capacity expansion in the next 3 to 5 years.

Sanket: Sure, sir. That's great. Sir, my last question is on our long-term goal. So I want to understand like what is the long-term goal with respect to outperforming the industry? So do we look to add any further products in our existing portfolio? Or we are looking for any further JVs or acquisition in order to sustain this kind of growth?

Parmod Kumar Duggal: So market is good enough for us to realize the opportunities. And I believe market this year will be moderate, but the next 3 to 4 years, much more opportunities are available. Existing product expansion, adding to the new features, aligning to the new platform of the OEMs definitely would be add-on opportunity for us.

We are also working on increasing the content per vehicle by adding a few more products.

We'll let you know as and when we finalize our arrangement for the new products to be introduced. Right now, there is no plan for further JV or acquisition, but we will update you as and when there is any progress on it.

Moderator: As there are no further questions, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.

Parmod Kumar Duggal: Thank you. I think we are in the mid of a very disruptive era, and we need to be watchful of how this geopolitical and economic scenarios happen across the globe. Definitely, any disruption in any part of the world will have impact on India, but it will not be very severe because India domestic consumption is very high.

So that is a point of insulation for us, but we need to be watchful on that. But on Subros side, our efforts on improving our operational efficiencies, margin growth are intact, and we are confident that we'll be able to sell it through. Thank you so much. Thank you to all.

Moderator: On behalf of Batlivala & Karani Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you

Call: Nov 2025

Q2 FY '2025-2 6 Post Result

MANAGEMENT : MR. PARMOD
DIRECTOR
MR. H
OFFICER AND
SUBROS
MR. S
FINANCE
MODERATOR : MR.A
PRIVATE

Moderator: Ladies and
Earnings Conference Call hosted by B
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opportunity for you to ask questions after the presentation concludes.Should you need
assistance during the conference call, please signal an operator by pressing
touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Annamalai Jayaraj. Thank you and over to you, sir.
Annamalai Jayaraj: Thanks, Nisha. Welcome to
From Sub
Chief Executive Officer, Mr. Hemant Kumar Agarwal
Vice President Finance, and Mr.

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6 Post Result Earnings Conference Call"
November 10, 2025

PARMOD KUMAR DUGGAL –EXECUTIVE
DIRECTOR & CEO, SUBROS LIMITED
HEMANT KUMAR AGARWAL – CHIEF
FFICER AND SENIOR VICE PRESIDENT F
ROS LIMITED
SUKHBINDER SINGH GILL – VICE P
INANCE, SUBROS LIMITED
ANNAMALAI JAYARAJ – B&K SECURITIES
RIVATE LIMITED

Ladies and gentlemen, good day and welcome to Subros Limited Q2 FY26 Post Result
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tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Annamalai Jayaraj. Thank you and over to you, sir.
Thanks, Nisha. Welcome to Subros Limited Q2 FY25- 26 Post Result Conference Call.
Subros Limited Management, we have with us today Mr. PARMOD
Chief Executive Officer, Mr. Hemant Kumar Agarwal – Chief Financial Officer and Senior
President Finance, and Mr. Sukhvinder Singh Gill – V ice President Finance.
Conference Call"

EXECUTIVE

CHIEF FINANCIAL
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I now hand the conference over to Mr. Annamalai Jayaraj. Thank you and over to you, sir.
26 Post Result Conference Call.
PARMOD Kumar Duggal –
Chief Financial Officer and Senior
Vice President Finance.

I now hand over the call to Mr.
followed by the

PARMOD Kumar Duggal: Thank you, Mr. Jayaraj. Good evening, ladies and gentlemen
Subros Investor Call for Q2 FY26.

The Indian automotive industry exhibited a mixed yet promising trend in Q
passenger vehicle segment observed a sale of 1.04 million units, reflecting a marginal 1.5%
year-on-year

September 2025 marked a 4.4% increase in PV sales, driven by early festive demand and
improved customer sentiment, and also a GST rate reduction.

Export performance was particula

by 23% year

than 11% growth as compared to last year's October. From a microeconomic lens, the
government's 2025

backdrop for the industry. The cut in GST rates on small cars, motorcycles from 2

coupled with the exemption on lithium battery components has strengthened these demands at
the domestic l

robust growth.

Subros has consistent performance in Q

the quarter and in half

negatively in H1. There is 12% improvement in profitability due to consistent push for cost
optimization. In addition, the company has realized a long

government as part of the investment promotion scheme

Gujarat during the setup of Karsanpura project. This amount is

criteria. In the quarter, we have accounted for 13.39 crores in other income against these

incentive accrues. There is an impact of commo

the last quarter. Due to this, there is a period lag of compensation from our customers. This has
impacted our MSR during the quarter.

During the Q

got implemented. It implemented on June 8, but the impact in Q

impact. Now the volumes are at ramp

expand our business in CV segment. The result of Q

stock exchange,

Let me elaborate on the summary of the results one by one

■

Page 2 of 11 I now hand over the call to Mr. PARMOD Kumar Duggal for the opening remarks to be
followed by the question-and-answer session. Over to you, sir.

Thank you, Mr. Jayaraj. Good evening, ladies and gentlemen, and welcome all of you for
Investor Call for Q2 FY26.

The Indian automotive industry exhibited a mixed yet promising trend in Q
passenger vehicle segment observed a sale of 1.04 million units, reflecting a marginal 1.5%

year decline, primarily due to inventory correction and high base effect. However,

September 2025 marked a 4.4% increase in PV sales, driven by early festive demand and
improved customer sentiment, and also a GST rate reduction.

Export performance was particularly strong, achieving an all-time high of 2,42,000 units, up
by 23% year-on-year. Even October sales are more encouraging than September, showing more

than 11% growth as compared to last year's October. From a microeconomic lens, the

government's 2025-2026 Union Budget and GST rationalization ha

backdrop for the industry. The cut in GST rates on small cars, motorcycles from 2

coupled with the exemption on lithium battery components has strengthened these demands at
the domestic level. As a result, passive-driven retail momentum is positioning Q

robust growth.

Subros has consistent performance in Quarter 2. We have achieved a growth of over 6% during
the quarter and in half-year, more than 7%, despite PV and CV segment

negatively in H1. There is 12% improvement in profitability due to consistent push for cost

optimization. In addition, the company has realized a long-awaited incentive from the Gujarat

government as part of the investment promotion scheme launched by the Government of

Gujarat during the setup of Karsanpura project. This amount is

criteria. In the quarter, we have accounted for 13.39 crores in other income against these

incentive accrues. There is an impact of commodity price increase during the quarter as against

the last quarter. Due to this, there is a period lag of compensation from our customers. This has

impacted our MSR during the quarter.

During the Q uarter 2, truck AC notification of mandatory AC in N2 and N3 got implemented. It implemented on June 8, but the impact in Q impact. Now the volumes are at ramp -up stage. This is a bi

g growth opportunity for

expand our business in CV segment. The result of Q uarter 2025- 2026 exchange, and it is posted on the website also.

Let me elaborate on the summary of the results one by one :

Subros has performed better than the industry in Q uarter

6.22% with a significant improvement in margin in the result of aggressive push towards operational efficiencies and cost-on-efforts. Subros Limited

November 10, 2025

gal for the opening remarks to be

, and welcome all of you for

The Indian automotive industry exhibited a mixed yet promising trend in Q uarter 2. The passenger vehicle segment observed a sale of 1.04 million units, reflecting a marginal 1.5% decline, primarily due to inventory correction and high base effect. However, September 2025 marked a 4.4% increase in PV sales, driven by early festive demand and time high of 2,42,000 units, up

year. Even October sales are more encouraging than September, showing more than 11% growth as compared to last year's October. From a microeconomic lens, the has provided a favorable

backdrop for the industry. The cut in GST rates on small cars, motorcycles from 28 to 18 coupled with the exemption on lithium battery components has strengthened these demands at driven retail momentum is positioning Q uarter 3 for a

2. We have achieved a growth of over 6% during

year, more than 7%, despite PV and CV segment is marginally or

negatively in H1. There is 12% improvement in profitability due to consistent push for cost awaited incentive from the Gujarat

launched by the Government of

Gujarat during the setup of Karsanpura project. This amount is accrued as an eligibility criteria. In the quarter, we have accounted for 13.39 crores in other income against these dity price increase during the quarter as against

the last quarter. Due to this, there is a period lag of compensation from our customers. This has

2, truck AC notification of mandatory AC in N2 and N3 category of truck

got implemented. It implemented on June 8, but the impact in Q uarter 2 is a full-quarter up stage. This is a big growth opportunity for Subros to

2026 has been shared with the

uarter 2. Revenue growth is

improvement in margin in the result of aggressive push



Now on the business update side

Our financial and busines

path. In our H1 growth for

business execution, the growth is 70% and 26% respectively. Our business growth in hybrid cars further strengthens Su

product in India. This marks a significant step in our continued growth and participation is rapidly evolving EV and strong hybrid segment. The contribution of hybrid, electri

based vehicle thermal product is 24% of the total revenue. This has grown by 30% in the first half as compared to the previous year.

Our Railway business

accelerated investment in railway

and semi-

are being realigned to support this momentum and ensure we play a meaningful role in India's next-gen mobility landscape.

As we informed to the Stock Exchange, we bagged a new tender of Rs. 27 crore recently concluded,

roadmap is the upcoming green manufacturing plant at

plan, and our facilities will be rolled out as per the customer

Before I conclude, let me summarize the financial results once again

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■
■
Thank you very much. Now we are ready to take questions.

Page 3 of 11 The company has achieved a revenue of 879.83 crores during
Our share of business in passenger vehicle AC market is 41% which is
consistent to our past trend. And in commercial vehicle, truck AC
and in bus AC segment, it is 15% during the quarter.

The company has realized an EBITDA of 87.98 crores in Q
of the net sale, as against the EBITDA of 82.82 crores, which was 10.03% of the net
sale in the corresponding quarter of the last year. There is an improvement in
EBITDA by 6.24% as compared to the corresponding quarter.

Profit before tax in Quarter 2 is 54.49 which is 6.22% of the net s
margin with the corresponding quarter of the last year is imp

roved by 11.96%.

Profit after tax in Q2 is 40.59 crores which is 4.63% of the net sale
improvement of 11.36%.

Now on the business update side :

financial and business performance is consistent in few quarters and at our improvement
path. In our H1 growth for CV Truck due to this notification impact and also on the
execution, the growth is 70% and 26% respectively. Our business growth in hybrid
ther strengthens Subros position as a leading manufacturer of automotive thermal
product in India. This marks a significant step in our continued growth and participation is
rapidly evolving EV and strong hybrid segment. The contribution of hybrid, electri
based vehicle thermal product is 24% of the total revenue. This has grown by 30% in the first
half as compared to the previous year.

Railway business segment continues to emerge as a strong growth vertical. With
accelerated investment in railway infrastructure, electrification, and deployment of high
-high-speed trains, we see ample opportunity to expand our footprint. Our capabilities
are being realigned to support this momentum and ensure we play a meaningful role in India's
n mobility landscape.

As we informed to the Stock Exchange, we bagged a new tender of Rs. 27 crore recently
concluded, and business awarded to us. A major milestone in our growth and sustainability
roadmap is the upcoming green manufacturing plant at Kharkhoda . We are ahead as per the
and our facilities will be rolled out as per the customer -aligned milestone.

Before I conclude, let me summarize the financial results once again :

Revenue from operation Rs. 879.83 crore with a growth of 6.22%.

EBITDA of Rs. 87.98 crore with a growth of 6.24%.

PBT of Rs. 54.49 crore with a growth of 11.96%.

And PAT at Rs. 40.59 crore with a growth of 11.36%.

Thank you very much. Now we are ready to take questions. Subros Limited
November 10, 2025

The company has achieved a revenue of 879.83 crores during Quarter 2025-2026.

Our share of business in passenger vehicle AC market is 41% which is almost
consistent to our past trend. And in commercial vehicle, truck AC /blowers is 44%

EBITDA of 87.98 crores in Quarter 2, which is 10.04%

EBITDA of 82.82 crores, which was 10.03% of the net

sale in the corresponding quarter of the last year. There is an improvement in

EBITDA by 6.24% as compared to the corresponding quarter.

2 is 54.49 which is 6.22% of the net sale. EBITDA

margin with the corresponding quarter of the last year is improved by 11.96%.

Profit after tax in Q2 is 40.59 crores which is 4.63% of the net sale and there is an

s performance is consistent in few quarters and at our improvement

due to this notification impact and also on the Railway

execution, the growth is 70% and 26% respectively. Our business growth in hybrid

position as a leading manufacturer of automotive thermal

product in India. This marks a significant step in our continued growth and participation is

rapidly evolving EV and strong hybrid segment. The contribution of hybrid, electric, CNG-

based vehicle thermal product is 24% of the total revenue. This has grown by 30% in the first

segment continues to emerge as a strong growth vertical. With

infrastructure, electrification, and deployment of high -speed

speed trains, we see ample opportunity to expand our footprint. Our capabilities

are being realigned to support this momentum and ensure we play a meaningful role in India's

As we informed to the Stock Exchange, we bagged a new tender of Rs. 27 crore recently

and business awarded to us. A major milestone in our growth and sustainability

. We are ahead as per the aligned milestone.

879.83 crore with a growth of 6.22%.

Moderator: Thank you very much. We will now begin the is from the line of

Mayur Parkeria: I had two questions, one on the growth and the other on the margin. the PV industry growth in the grown by almost 6%. But given the fact that our CV business has grown sharply and also rail

way would have contributed to some extent, isn't growth have been much better overall for us given that our share in hybrids and other things are also improving and Maruti as a customer is also relatively doing now stable. So, given all this, isn't the growth much consider in Q3?Has there bee

PARMOD Kumar Duggal: So, there are two questions. One is that as you said that PV segment growth overall is sluggish or flattish, b

by 4.46%. There are programs from customer side on electric vehicle or in strong hybrid where we have got the business, but the ramp up is not as expected. Still, the large OEM is stage of ramping up to start with it

start.So, there is some delay in that ramp up. So, hopefully in end of Q there will be a full impact coming in. Second aspect on th

is majorly because of content per vehicle, because if you remember in the truck segment N2, N3 category, the blower was introduced, now the AC is introduced.So, the numbers may remain same, but the content per vehicle may ha combination by each OEM. Railway segment has grown during the in H1 as compared to H1 of last year because we executed a large order. We are hopeful now, this GST

there in first 10 days of November also, that sentiments.

Mayur Parkeria: T he question was that only that if we exclude the from blower to cabin in the cabin segment, if we exclude the railway growth, then isn't our growth much sluggish, that was what I was trying to understand.

PARMOD Kumar Duggal: That's what I answered, that minus that only PV segment production basis, the industry has grown lesser than that and as these two reasons which I cited is definitely a reason why we

Mayur Parkeria: S econd on the margin, if we exclude the impact of this Gujarat incentive, which is 13 then our EBITDA percentage remains lower than last year in percentage terms. Any reason why would it be?

remained largely flattish. So, what relatively stable, but our EBITDA margins are lower if we exclude the impact of this incentives.

Page 4 of 11 Thank you very much. We will now begin the question-and- answer session. The first question is from the line of Mayur Parkeriafrom Wealth Managers (India) Private Limited.

I had two questions, one on the growth and the other on the margin. W the PV industry growth in the 2nd Quarter was almost flattish to negligible, whereas we have grown by almost 6%. But given the fact that our CV business has grown sharply and also railway would have contributed to some extent, isn't the impact much lesser or shouldn't the growth have been much better overall for us given that our share in hybrids and other things are also improving and Maruti as a customer is also relatively doing now stable. So, given all this, isn't the growth much lesser or is there something which is one consider in Q3?Has there bee n any delay or any postponement

So, there are two questions. One is that as you said that PV segment growth overall is sluggish or flattish, b ut our growth is overall 6% and within PV segment we have grown in H1 almost by 4.46%. There are programs from customer side on electric vehicle or in strong hybrid where we have got the business, but the ramp up is not as expected. Still, the large OEM is stage of ramping up to start with it , it started with export, but domestic market soon it will start.So, there is some delay in that ramp up. So, hopefully in end of Q

there will be a full impact coming in. Second aspect on th e CV segment, CV segment growth is majorly because of content per vehicle, because if you remember in the truck segment N2, N3 category, the blower was introduced, now the AC is introduced.So, the numbers may remain same, but the content per vehicle may ha ve gone to 2x or 3x or 4x based on different combination by each OEM. Railway segment has grown during the

in H1 as compared to H1 of last year because we executed a large order. We are hopeful now, this GST impact in October has resulted positively to the industry

and so

there in first 10 days of November also, that Quarter 3 would be better with these positive sentiments.

he question was that only that if we exclude the CV growth, which because of this change from blower to cabin in the cabin segment, if we exclude the railway growth, then isn't our growth much sluggish, that was what I was trying to understand.

That's what I answered, that minus that only PV segment our growth is 4.46% whereas on production basis, the industry has grown lesser than that and as these two reasons which I cited is definitely a reason why we are not at even better than this number.

second on the margin, if we exclude the impact of this Gujarat incentive, which is 13

then our EBITDA percentage remains lower than last year in percentage terms. Any reason why would it be? And to add, if you look at the material cost as a percentage of sales, that has remained largely flattish. So, what I am trying to understand is while our gross margins are relatively stable, but our EBITDA margins are lower if we exclude the impact of this incentives. Subros Limited

November 10, 2025

answer session. The first question

Private Limited.

While we understand that

quarter was almost flattish to negligible, whereas we have

grown by almost 6%. But given the fact that our CV business has grown sharply and also the impact much lesser or shouldn't the

growth have been much better overall for us given that our share in hybrids and other things are also improving and Maruti as a customer is also relatively doing now stable. So, given all something which is one -off which we need to

So, there are two questions. One is that as you said that PV segment growth overall is sluggish but our growth is overall 6% and within PV segment we have grown in H1 almost

by 4.46%. There are programs from customer side on electric vehicle or in strong hybrid where we have got the business, but the ramp up is not as expected. Still, the large OEM is in the started with export, but domestic market soon it will

start. So, there is some delay in that ramp up. So, hopefully in end of Quarter 3 or Quarter 4, the CV segment, CV segment growth

is majorly because of content per vehicle, because if you remember in the truck segment N2, N3 category, the blower was introduced, now the AC is introduced. So, the numbers may have gone to 2x or 3x or 4x based on different

combination by each OEM. Railway segment has grown during the quarter, and it has grown in H1 as compared to H1 of last year because we executed a large order. We are hopeful now, impact in October has resulted positively to the industry and so far, the trends are quarter 3 would be better with these positive

CV growth, which because of this change

from blower to cabin in the cabin segment, if we exclude the railway growth, then isn't our growth is 4.46% whereas on

production basis, the industry has grown lesser than that and as these two reasons which I cited

second on the margin, if we exclude the impact of this Gujarat incentive, which is 13 crores, then our EBITDA percentage remains lower than last year in percentage terms. Any reason as a percentage of sales, that has

trying to understand is while our gross margins are

relatively stable, but our EBITDA margins are lower if we exclude the impact of this

PARMOD Kumar Duggal: This was the precise answer I wanted to give that if you see around 10.04 as against the last quarter of 10.02. But if you compare the material sales ratio, which was 71.8 has increased to 73.08. So, 1.28% is the impact of commodity a exchange because that has impacted negatively in

a period lag, some OEMs are compensating on six monthly basis, some OEMs are compensating these commodity impacts on quarterly basis. So, there would lag. So, impact of

softening in

impact of around 1% would be because of these two elements

Mayur Parkaria: Are we on track for FY27 12% margins?

PARMOD Kumar Duggal: Still hopes are there

e, unless there is a disruption in the market, but

Moderator: The next question comes from the line of Mihir Vora from

Mihir Vora: My question is basically on the EBITDA margin

margins are around that 8% odd level, which last year was around 9%. And we have seen a sharp jump into the employee cost as such and other expenses. So, employee cost has now gone up to around 91 crore kind of a run rate versus the last year?

PARMOD Kumar Duggal: Two elements. As I mentioned in my previous answer, EBITDA margin has impact of one material cost

impact of 0.37% on the material cost. Whereas, in terms of staff cost from 9.98%, it has increased to 10.3%. This is nothing but only the annual salary correction inflation which we have given to the employees that has contributed to the increase of staff cost. So, these two reasons are there for EBITDA segment.

Mihir Vora: And the Kharkhoda

PARMOD Kumar Duggal: Yes, Kharkhoda facility is at the construction stage.

to the program which OEM is supposed to launch in the month of June or July of next year. So, it is as per track.

Mihir Vora: Finally, I missed on the incentives part. So, basically, we have around 13 kind of other income from the incentives. And this will continue in the going quarters as well or how can we see that?

PARMOD Kumar Duggal: Hemant, can you answer

Hemant Kumar Agarwal: The incentive, if you see from the definitely get accounted for. Rest is the exceptional income for this quarter.

Page 5 of 11 is the precise answer I wanted to give that if you see EBITDA of Q around 10.04 as against the last quarter of 10.02. But if you compare the material sales ratio, which was 71.8 has increased to 73.08. So, 1.28% is the impact of commodity and exchange because that has impacted negatively in Quarter 2. So, since there is a quarter lag or a period lag, some OEMs are compensating on six monthly basis, some OEMs are compensating these commodity impacts on quarterly basis. So, there would be a quarter lag. So, impact of Quarter 2 will come in Quarter 3, provided these commodity impacts are softening in Quarter 3. So, this is a major reason. So, if we exclude this incentive amount, the impact of around 1% would be because of these two elements.

Are we on track for FY27 12% margins?

Still hopes are there, unless there is a disruption in the market, but still,

The next question comes from the line of Mihir Vora from Equirus Capital

My question is basically on the EBITDA margin excluding your other income. So, basically the margins are around that 8% odd level, which last year was around 9%. And we have seen a sharp jump into the employee cost as such and other expenses. So, any color on it that why the employee cost has now gone up to around 91 crore kind of a run rate versus the last year?

Two elements. As I mentioned in my previous answer, EBITDA margin has impact of one material cost. If you compare six-month basis as compared to six - impact of 0.37% on the material cost. Whereas, in terms of staff cost from 9.98%, it has increased to 10.3%. This is nothing but only the annual salary correction inflation which we have given to the employees that has contributed to the increase of staff cost. So, these two reasons are there for EBITDA segment.

Kharkhoda facility is on track to be commissioned on time or are there any delays?

Yes, Kharkhoda facility is at the construction stage. Equipment are at order stage. It is aligned to the program which OEM is supposed to launch in the month of June or July of next year. So, it is as per track.

Finally, I missed on the incentives part. So, basically, we have around 13 kind of other income from the incentives. And this will continue in the going quarters as well or how can we see that?

Hemant, can you answer that please?

The incentive, if you see from the P&L perspective, definitely around 3 crores per year will definitely get accounted for. Rest is the exceptional income for this quarter. Subros Limited November 10, 2

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EBITDA of Quarter 2, this is

around 10.04 as against the last quarter of 10.02. But if you compare the material sales ratio, which was 71.8 has increased to 73.08. So, 1.28% is the impact of commodity and foreign exchange in Quarter 2. So, since there is a quarter lag or a period lag, some OEMs are compensating on six monthly basis, some OEMs are compensating these commodity impacts on quarterly basis. So, there would be a quarter lag. So, impact of Quarter 2 will come in Quarter 3, provided these commodity impacts are softening in Quarter 3. So, this is a major reason. So, if we exclude this incentive amount, the impact of around 1% would be because of these two elements. Still, we are hopeful.

Equirus Capital .

of your other income. So, basically the margins are around that 8% odd level, which last year was around 9%. And we have seen a any color on it that why the employee cost has now gone up to around 91 crore kind of a run rate versus an 83-crore odd in two elements. As I mentioned in my previous answer, EBITDA margin has impact of one -month basis, there is an impact of 0.37% on the material cost. Whereas, in terms of staff cost from 9.98%, it has increased to 10.3%. This is nothing but only the annual salary correction inflation any impact which we have given to the employees that has contributed to the increase of staff cost. So, facility is on track to be commissioned on time or are there any delays? are at order stage. It is aligned to the program which OEM is supposed to launch in the month of June or July of next year. So, inally, I missed on the incentives part. So, basically, we have around 13 crores or 14 crores kind of other income from the incentives. And this will continue in the going quarters as well or perspective, definitely around 3 crores per year will definitely get accounted for. Rest is the exceptional income for this quarter.

Moderator: The next question comes from the I

Puneet Javeri: Could you give us the revenue share in terms of category for this quarter, PV, ECM, trucks, buses, railways?

PARMOD Kumar Duggal: Overall revenue from passenger vehicle segment is 787 crore against total business has contributed 62 crore in the quarter. Railway has contributed 12 from bus, aftermarket or other segment. So, within the PV segment, sale of ECM is approximately 140 crores.

Puneet Javeri: Out of the 787, 14

PARMOD Kumar Duggal: Correct.

Puneet Javeri: One follow

segment. Did you see an impact because of GST rollout in this quarter? So, from 15 August to September 22, you had the delay in actual purchases of vehicles. But the commentary from most OEMs has been that production wasn't hampered for a lot of car makers. So, did you have any kind of lag in terms of loss

production? Any impact in this quarter with respect to clients?

PARMOD Kumar Duggal: No, not at all. Because they are true that each OEM started building up stock because of this anticipated rationalization of GST impact starting from 22nd of September. So, everybody was anticipating. So, stocking was happening. So, from a production impact of that.

Puneet Javeri: Please correct me if

given what you've done in

should be any upside risk to your earlier target of roughly about 150 crores in terms of revenue? Because

crores, right? So, do you expect that the earlier target will be crossed quite

what you've done in H1 already?

PARMOD Kumar Duggal: That's right. In FY25, we have done 125 crores from truck business. H1, we have done 105 already. So, we are expecting we will be crossing 200 crores in this financial year.

Puneet Javeri: The margins for buses will be quite comparable to the passenger vehicle side, right?

PARMOD Kumar Duggal: Margin statement will be almost comparable whether it's a truck or a passenger vehicle. So, both are more or less similar.

Moderator: The next question

Page 6 of 11 The next question comes from the line of Puneet Javeri from Javeri & Co.

could you give us the revenue share in terms of category for this quarter, PV, ECM, trucks, buses, railways?

Overall revenue from passenger vehicle

segment is 787 crore against total

business has contributed 62 crore in the quarter. Railway has contributed 12

from bus, aftermarket or other segment. So, within the PV segment, sale of ECM is

approximately 140 crores.

Out of the 787, 140 crores is ECM, right?

One follow-up, in terms of the earlier participant also asked you about growth in the auto

segment. Did you see an impact because of GST rollout in this quarter? So, from 15 August to

September 22, you had the delay in actual purchases of vehicles. But the commentary from

most OEMs has been that production wasn't hampered for a lot of car makers. So, did you have

any kind of lag in terms of loss especially in terms of business because of the delayed

production? Any impact in this quarter with respect to clients?

No, not at all. Because they are true that each OEM started building up stock because of this anticipated rationalization of GST impact starting from 22nd of September. So, everybody was anticipating. So, stocking was happening. So, from a production side, there was no major impact of that.

please correct me if I am wrong. Your last year's stocks business was roughly about 125 crores given what you've done in Quarter 1 as well as in Quarter 2 as well. Do you expect that there'd be any upside risk to your earlier target of roughly about 150 crores in terms of revenue? Because you are already at, I think, and please correct me if crores, right? So, do you expect that the earlier target will be crossed quite what you've done in H1 already?

that's right. In FY25, we have done 125 crores from truck business. H1, we have done 105 already. So, we are expecting we will be crossing 200 crores in this financial year.

the margins for buses will be quite comparable to the passenger vehicle side, right?

Margin statement will be almost comparable whether it's a truck or a passenger vehicle. So, both are more or less similar.

The next question is from the line of Annamalai Jayaraj from B& K Securities. Subros Limited November 10, 2025

Co.

could you give us the revenue share in terms of category for this quarter, PV, ECM, trucks, overall revenue from passenger vehicle segment is 787 crore against total of 877. The truck business has contributed 62 crore in the quarter. Railway has contributed 12 crores, and rest is from bus, aftermarket or other segment. So, within the PV segment, sale of ECM is in terms of the earlier participant also asked you about growth in the auto segment. Did you see an impact because of GST rollout in this quarter? So, from 15 August to September 22, you had the delay in actual purchases of vehicles. But the commentary from most OEMs has been that production wasn't hampered for a lot of car makers. So, did you have in terms of business because of the delayed

No, not at all. Because they are true that each OEM started building up stock because of this anticipated rationalization of GST impact starting from 22nd of September. So, everybody was production side, there was no major

wrong. Your last year's stocks business was roughly about 125 crores

quarter 2 as well. Do you expect that there

d be any upside risk to your earlier target of roughly about 150 crores in terms of

already at, I think, and please correct me if I am wrong, almost 100

crores, right? So, do you expect that the earlier target will be crossed quite handsomely given

that's right. In FY25, we have done 125 crores from truck business. H1, we have done 105

already. So, we are expecting we will be crossing 200 crores in this financial year.

the margins for buses will be quite comparable to the passenger vehicle side, right?

Margin statement will be almost comparable whether it's a truck or a passenger vehicle. So,

K Securities.

Annamalai Jayaraj: I have one or two questions.

volumes going ahead because of GST. Generally, whatever indication we are getting customers, are we seeing some sense of improvement in the run rates?

PARMOD Kumar

Duggal: For the volume for passenger vehicle segment because of GST, that's what you

Annamalai Jayaraj: Yes, that's what, sir.

PARMOD Kumar Duggal: Yes, that's true because the projections have slightly gone upside. But annual volume against our plan will not have much significant variation because in the month of June, July or August, because of this anticipated GST, the sales were projection. So, maybe in the H2, there would be a recovery of whatever shortfall we had in the month of these June, July, August. So, of course, H2 should be better than H1.

Annamalai Jayaraj: Then second one is, with the GST cut, the expecta

recover from whatever it has gone down. So, with our major customer, do we have more

exposure? Our market share in the entry

share or it will be

entry-level market share will be

PARMOD Kumar Duggal: GST rationalization is giving a positive trend to the small car, especially in the A segment.

And A segment of all the

segment of Hyundai will have a growth. So, we are seeing a positive trend now coming in from Maruti also as part of the projection of six months. So, we will be better off in terms of our market

Annamalai Jayaraj: What you are saying is our market share in the entry

PARMOD Kumar Duggal: Yes, slightly better.

Moderator: The next question comes from the line of Private Limited.

Mayur Parkeria: A financial question.

is we did not get the same support from the payable side. Increase in payables have been much lesser compared to what we saw in the last year

how do we see this scenario in the light of... In the same light, if you can also indicate the total CAPEX for this year and anything we need to read on from funding the

PARMOD Kumar Duggal: There are two questions from your side. One is that operating cash flow is negative, mainly because of inventory increase as compared to the last year. So, if you say inventory has increased by more than 75 crores during this period. And that is a strategic call taken because of the

Page 7 of 11 I have one or two questions. First one is, now all the OEMs are indicating some growth in volumes going ahead because of GST. Generally, whatever indication we are getting from customers, are we seeing some sense of improvement in the run rates?

For the volume for passenger vehicle segment because of GST, that's what you are asking, that's what, sir.

that's true because the projections have slightly gone upside. But annual volume against our plan will not have much significant variation because in the month of June, July or August, because of this anticipated GST, the sales were less than the projection. So, maybe in the H2, there would be a recovery of whatever shortfall we had in the month of these June, July, August. So, of course, H2 should be better than H1.

Then second one is, with the GST cut, the expectations are this entry-level vehicles may recover from whatever it has gone down. So, with our major customer, do we have more exposure? Our market share in the entry-level will be more than the company average market share or it will be similar. For example, if Maruti has some 'x' market share, then its entry-level market share will be high, or it will be similar?

GST rationalization is giving a positive trend to the small car, especially in the A segment. And A segment of all the OEMs, whether it is Renault, Nissan or Maruti or maybe A-segment of Hyundai will have a growth. So, we are seeing a positive trend now coming in from Maruti also as part of the projection of six months. So, we will be better off in terms of our market share for A-segment car with OEM.

What you are saying is our market share in the entry-level will be more than the normal? Yes, slightly better.

The next question comes from the line of Mayur Parkeria from Wealth Managers Private Limited.

financial question. Our cash from operating activities is a negative for this half.

is we did not get the same support from the payable side. Increase in payables have been much lesser compared to what we saw in the last year and that

is why the OCF is also negative. So,

how do we see this scenario in the light of... In the same light, if you can also indicate the total CAPEX for this year and anything we need to read on from funding the

here are two questions from your side. One is that operating cash flow is negative, mainly because of inventory increase as compared to the last year. So, if you say

inventory has increased by more than 75 crores during this period. And that is a strategic call taken because of the geopolitical disruption which is happening. The containers which are Subros Limited November 10, 2025

First one is, now all the OEMs are indicating some growth in volumes going ahead because of GST. Generally, whatever indication we are getting from our customers, are we seeing some sense of improvement in the run rates?

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Yes, slightly better. The next question comes from the line of Mayur Parkeria from Wealth Managers (India)

Our cash from operating activities is a negative for this half. What we see

is we did not get the same support from the payable side. Increase in payables have been much and that is why the OCF is also negative. So, how do we see this scenario in the light of... In the same light, if you can also indicate the total for this year and anything we need to read on from funding the CAPEX. here are two questions from your side. One is that operating cash flow is negative, mainly because of inventory increase as compared to the last year. So, if you see the balance sheet, the inventory has increased by more than 75 crores during this period. And that is a strategic call. The containers which are

stuck up in the ports, especially congestion, reach is slightly more than the normal. Just to run the customer line, we have built up stocks to de-risk ourselves for that. So, that's why our cash flow is stuck into inventory. And this is a strategic call, but it will get liquidated as everything will get set along. This is part one of your question. Second part is on the routine business for replacement and for de we are still on that spending only. There is no change in that. Of course, the Greenfield project of Kharkh change point in our previous statements.

Mayur Parkeria: How much we would have spent by now on that, on the Greenfield?

PARMOD Kumar Duggal: Right now, we have spent against 120 crores, maybe around 80 crores.

Mayur Parkeria: This will have some spillover in the next year again, right?

PARMOD Kumar Duggal: From cash flow perspective, yes, there year. This is based on commitment basis.

Mayur Parkeria: Slightly longer term, just the previous question which was there on the outlook growth based on the GST cut and some uptick in the entry should one try to model and expect for the next as we go ahead? What do you think would be... Now, we are fairly closer to the mark, would have some understanding of the next year. So, what kind of growth should we start building in for

FY27?

PARMOD Kumar Duggal: Very precise guidance would be difficult because we are not yet closer to the mark. We are just closer to the half

overall. But we have to wait for some more time because almost two months there was a negative sale just because people paused their buying because of GST coming in. Now, since GST has come

demand increase, watchful of. So, real picture will come in December or January. What will be the delta getting through the GST

of course, there are a lot of new initiatives which I think will result positively to us. One business may be ramp year, ramp

growth coming in. So, we are expecting next year growth would be slightly better than the current year growth, whatever way we will much exact quantification

Mayur Parkeria: But, sir, double digit would be a least fair, at least that much

Page 8 of 11 stuck up in the ports, especially congestion, especially the lead time taken for the container to reach is slightly more than the normal. Just to run the customer line, we have built up stocks to risk ourselves for that. So, that's why our cash flow is stuck into inventory. And this is a call, but it will get liquidated as everything will get set along. This is part one of your question. Second part is on the CAPEX side. So, as we reported, our normal routine business for replacement and for de-bottlenecking is around 120 crore we are still on that spending only. There is no change in that. Of course, the Greenfield project, where we plan for 150 crores as overall investment, that is intact. So, there is no change point in our previous statements.

How much we would have spent by now on that, on the Greenfield?

Right now, we have spent against 120 crores, maybe around 80 crores.

This will have some spillover in the next year again, right?

From cash flow perspective, yes, there would be some payments which will be coming in next year. This is based on commitment basis.

Slightly longer term, just the previous question which was there on the outlook growth based

GST cut and some uptick in the entry-level segment. What kind of top

should one try to model and expect for the next year, given that there can be some improvement as we go ahead? What do you think would be... Now, we are fairly closer to the mark, would have some understanding of the next year. So, what kind of growth should we start

building in for FY27?

Very precise guidance would be difficult because we are not yet closer to the mark. We are just closer to the half-line. So, one, of course, GST has so far, a very positive impact on the overall. But we have to wait for some more time because almost two months there was a negative sale just because people paused their buying because of GST coming in. Now, since GST has come and festive season has also come, so we need to watch whether this is a genuine increase, or this is a compensation to that drop. So, that is what we need to be watchful of. So, real picture will come in December or January. What will be the delta through the GST rationalization? This is part one of your question.

Of course, there are a lot of new initiatives which I think will result positively to us. One business may be ramp-up of Maruti's electric vehicle, which is going to be ramp year, ramp-up of Victoris which has started last month. That will also see a full year volume growth coming in. So, we are expecting next year growth would be slightly better than the current year growth, whatever way we will close. But it would be better than this year much exact quantification We'll let you know in maybe subsequent calls.

But, sir, double digit would be a least fair, at least that much surely, we think it will be there. Subros Limited November 10, 2025

especially the lead time taken for the container to reach is slightly more than the normal. Just to run the customer line, we have built up stocks to risk ourselves for that. So, that's why our cash flow is stuck into inventory. And this is a call,

but it will get liquidated as everything will get set along. This is part one of your side. So, as we reported, our normal CAPEX for our bottlenecking is around 120 crores per year. So, we are still on that spending only. There is no change in that. Of course, the Greenfield project, where we plan for 150 crores as overall investment, that is intact. So, there is no change now, we have spent against 120 crores, maybe around 80 crores.

be some payments which will be coming in next slightly longer term, just the previous question which was there on the outlook growth based that kind of top-line growth that there can be some improvement

as we go ahead? What do you think would be... Now, we are fairly closer to the mark, so you would have some understanding of the next year. So, what kind of growth should we start Very precise guidance would be difficult because we are not yet closer to the mark. We are just a very positive impact on the

overall. But we have to wait for some more time because almost two months there was a negative sale just because people paused their buying because of GST coming in. Now, since festive season has also come, so we need to watch whether this is a genuine or this is a compensation to that drop. So, that is what we need to be watchful of. So, real picture will come in December or January. What will be the delta we are This is part one of your question. Part two, next year,

of course, there are a lot of new initiatives which I think will result positively to us. One which is going to be ramp-up for full

up of Victoris which has started last month. That will also see a full year volume growth coming in. So, we are expecting next year growth would be slightly better than the will close. But it would be better than this year. How

We'll let you know in maybe subsequent calls. we think it will be there.

PARMOD Kumar Duggal: We have to be very optimistic. And, of course, if you ask me as a management, we have to strive for double digit growth, but we have to see the realistic one.

Moderator: Our next question comes from the line of Annamalai Jayaraj: One more question.

currently the compressors, Maruti will be directly importing from Denso correct

PARMOD Kumar Duggal: Yes, as of now, yes

Annamalai Jayaraj: If you leave the compressor aside, the other content there will be increase compared to our normal light

PARMOD Kumar Duggal: It will be better because HVAC of normal car times of revenue. Same way, hose and pipe, condenser or radiator, if we put all these four elements other than compressor together, it would be almost 2x of a conventional ICE thermal product.

Annamalai Jayaraj: That e-compressor localization, what can be the scale in which we can localize

PARMOD Kumar Duggal: As I mentioned before also, EV market is evolving and we have seen now hybrid and EV together are, I think, the major transformation going forward.

electric compressor, even to discuss with our collaborator for these both variant well as EV, is ongoing. And we are at a very advanced stage of our discussion. Maybe next three months or six

localization, timing or whatever we decide.

Moderator: The next question is from the line of Puneet

Puneet Javeri: One quick question in terms of your customers as well. I think last time you spoke about your progress with Mahindra in terms of your share with the company with almost be of their vehicle sales in ICE. Has that gone up as well in this particular quarter given your runway already with the client?

PARMOD Kumar Duggal: In this quarter, we are almost consistent with Mahindra PV, but Mahindra CV segment, there is a major change point because that

aircon now that is done almost 15% better than the corresponding H1 and Mahindra CV also we have slightly better here.

for their future program which would be operational next year.

Page 9 of 11 We have to be very optimistic. And, of course, if you ask me as a management, we have to

strive for double digit growth, but we have to see the realistic one.

Our next question comes from the line of Annamalai Jayaraj from B & one more question. You just now touched upon this electric vehicle.

currently the compressors, Maruti will be directly importing from Denso. Yes, as of now, correct.

If you leave the compressor aside, the other content there will be increase compared to our light vehicle or it will be similar, leaving the compressor aside?

It will be better because HVAC of normal car versus HVAC of EV car is having around 1.6 times of revenue. Same way, hose and pipe, condenser or radiator, if we put all these four elements other than compressor together, it would be almost 2x of a conventional ICE thermal compressor localization, what can be the scale in which we can look at localization

As I mentioned before also, EV market is evolving and we have seen now hybrid and EV together are, I think, the major transformation going forward. That's how our strategy for electric compressor, even to discuss with our collaborator for these both variant well as EV, is ongoing. And we are at a very advanced stage of our discussion. Maybe next three months or six months' time, we will be able to elaborate with very specific plan for localization, timing or whatever we decide.

The next question is from the line of Puneet Javeri from Javeri & Co.

One quick question in terms of your customers as well. I think last time you spoke about your progress with Mahindra in terms of your share with the company with almost be of their vehicle sales in ICE. Has that gone up as well in this particular quarter given your runway already with the client?

In this quarter, we are almost consistent with Mahindra PV, but Mahindra CV segment, there is a major change point because that Pick-Up vehicle which Mahindra has launched is having an aircon now that is Pick-Up Bolero. That business has grown. Mahindra PV in this H1, we have done almost 15% better than the corresponding H1 and Mahindra CV also we have slightly better here. That is positive here. But we have tied up a few businesses with Mahindra for their future program which would be operational next year. We are hopeful that from our Subros Limited November 10, 2025

We have to be very optimistic. And, of course, if you ask me as a management, we have to &K Securities.

touched upon this electric vehicle. For the electric vehicle, currently the compressors, Maruti will be directly importing from Denso. Is that understanding if you leave the compressor aside, the other content there will be increase compared to our vehicle or it will be similar, leaving the compressor aside?

Car versus HVAC of EV car is having around 1.6 times of revenue. Same way, hose and pipe, condenser or radiator, if we put all these four elements other than compressor together, it would be almost 2x of a conventional ICE thermal compressor localization, what can be the scale in which we can look at EV compressor

As I mentioned before also, EV market is evolving and we have seen now hybrid and EV that's how our strategy for

electric compressor, even to discuss with our collaborator for these both variants, hybrid as well as EV, is ongoing. And we are at a very advanced stage of our discussion. Maybe next, we will be able to elaborate with very specific plan for

One quick question in terms of your customers as well. I think last time you spoke about your

progress with Mahindra in terms of your share with the company with almost being one-fifth of their vehicle sales in ICE. Has that gone up as well in this particular quarter given your In this quarter, we are almost consistent with Mahindra PV, but Mahindra CV segment, there is vehicle which Mahindra has launched is having an hat business has grown. Mahindra PV in this H1, we have done almost 15% better than the corresponding H1 and Mahindra CV also we have done hat is positive here. But we have tied up a few busines

ses with Mahindra
e are hopeful that from our

current level of 20% share of business of total thermal product
progress to around 25% going forward.

Puneet Javeri: Any update with the other passenger vehicle makers as well because I think you were in conversations with a couple of them over the last few months. Any wins that you any progress that you can give us in that aspect?

PARMOD Kumar Duggal: Our engagement with all customers on their future program is a kind of an ongoing subject for us. We do

projects and wherever we find that technology is comparable to their expectation, we get into our RFQ process and get into a negotiation process.

open right now
with the market.

Puneet Javeri: The bus revenue in this quarter was 18 crores. Could you confirm that number?

PARMOD Kumar Duggal: For bus?

Puneet Javeri: Buses in Q

PARMOD Kumar Duggal: Buses in H1 is 18 crores. In

Puneet Javeri: Any progress that you have on the bus side as well? Because I think the last time we had spoken, you were in conversations because we are also seeing playe now increase their bus build capacity completely in terms of their planning that they mentioned.

next year in terms of transformation?

PARMOD Kumar Duggal: Our engagement right now with the two major OEMs on bus side is at a very advanced stage. And one of them is migrating into hydrogen bus, that also thermal system packaged by Subro. So that is at a field trial stage as of now. I am sure that within n be able to conclude the

hydrogen thermals, I think we will see a very, very positive trend coming in.

Puneet Javeri: One final question in terms of your view,

HVAC of EV cars, basically being 1.6

conventional ICE product. Could you mention the product? I think it was on the previous question.

PARMOD Kumar Duggal: In total thermal business, we have five aggregates basically. One is HVAC, second is condenser, third is radiator, fourth is hose and pipe, and fifth is compressor.

being asked was, minus compressor, how is the delta per vehicle which is coming i

Page 10 of 11 current level of 20% share of business of total thermal product buying of Mahindra, we will progress to around 25% going forward.

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e do Tech Shows, we do technology discussion with the OEM for their forthcoming

projects and wherever we find that technology is comparable to their expectation, we get into

our RFQ process and get into a negotiation process. So, there are many, many fronts which are

n right now, but unless we conclude on business, we will not be able to share right now with the market.

he bus revenue in this quarter was 18 crores. Could you confirm that number?

Quarter 2, yes.

uses in H1 is 18 crores. In Quarter it is 6 crores.

Any progress that you have on the bus side as well? Because I think the last time we had

spoken, you were in conversations because we are also seeing playe rs like Ashok

now increase their bus build capacity completely in terms of their planning that they

mentioned. Any update that you see? Could this be a business that we need to look at maybe

next year in terms of transformation?

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November 10, 2025

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being asked was, minus compressor, how is the delta per vehicle which is coming i n from

conventional to EV? That's what my answer is that cumulatively for all four products other than
compressor, it is 2

Moderator: As there are no further questions from the participants, I now hand the conference over to the
management for closing com

PARMOD Kumar Duggal: Thank you very much to all of you to join so late. We were hard pressed for the time today.

Although we tried to answer all your queries, but industry as of now, especially PV, CV

segment is at a very positive base

performance.

performance. But we are still concerned about the microeconomic indicators, whether they will
get stabilized or they will be more aggressive

watchful to that situation.

Moderator: Sir, can you take one last question?

PARMOD Kumar Duggal: Okay.

Moderator: The next question is from the line of

Nilesh: Can you please give us the revenue share of Maruti Suzuki of quarter
other OEMs that you are working with.

PARMOD Kumar Duggal: I have already answered that in the previous question, but

PV, we have done around 594 crores in

business, we have done around 120 and 140 in

as I mentioned, that it is around 31 crore in

PV segment, I did mention

crores. Buses, we have done 6 crore. Last quarter was 1

crore in Q

Nilesh: Can you also give a guidance for this financial year?

PARMOD Kumar Duggal: Financial year, we are seeing a growth which should be better than the overall industry.

industry is now expected based on the new trend, maybe between

will be able to do better than the industry performance.

Moderator: Thank you.

conference.Thank

Page 11 of 11 conventional to EV?That's what my answer is that cumulatively for all four products other than compressor, it is 2 x.

As there are no further questions from the participants, I now hand the conference over to the man

agement for closing com ments.

ank you very much to all of you to join so late. We were hard pressed for the time today.

lthough we tried to answer all your queries, but industry as of now, especially PV, CV segment is at a very positive base d on the last month, October, November basis performance. We are hopeful that Quarter 3 would be better in terms of overall sales performance. But we are still concerned about the microeconomic indicators, whether they will get stabilized or they will be more aggressive push to the overall performance. So watchful to that situation. Thank you very much for your confidence in

Sir, can you take one last question?

The next question is from the line of Nilesh from Anantnath Skycon P

you please give us the revenue share of Maruti Suzuki of quarter

other OEMs that you are working with. Next question is about truck business.

have already answered that in the previous question, but still, I can answer that.

PV, we have done around 594 crores in Quarter 1 and around 580 crores in

business, we have done around 120 and 140 in Quarter1 and Q uarter

as I mentioned, that it is around 31 crore in Quarter 1 and around similar amount in

PV segment, I did mention Quarter 2 , we have done overall 787 against

crores. Buses, we have done 6 crore.Last quarter was 1 2. Truck business, we have done 62 Quarter 2 and 43 in Quarter 1.

an you also give a guidance for this financial year?

Financial year, we are seeing a growth which should be better than the overall industry.

industry is now expected based on the new trend, maybe between 3% to 4%

will be able to do better than the industry performance.

Thank you. On behalf of B& K Securities India Private Limited, that concludes this

conference.Thank you for joining us and you may now disconnect your lines. Subros Limited

November 10, 2025

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push to the overall performance. So , we are

hank you very much for your confidence in Subros. Thank you.

Anantnath Skycon P rivate Limited.

you please give us the revenue share of Maruti Suzuki of quarter -on-quarter and top two business.

I can answer that. With Maruti

and around 580 crores in Quarter 2. ECM

uarter 2 respectively.Mahindra,

and around similar amount in Quarter 2.

, we have done overall 787 against Quarter 1 of 800

business, we have done 62

Financial year, we are seeing a growth which should be better than the overall industry. So,

3% to 4% positive. So, we

K Securities India Private Limited, that concludes this

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Call: Feb 2026

Q3FY 2025-26 Post Results

MANAGEMENT : MR. P
DIRECTOR AND
M R. H
OFFICER AN
SUBROS
M R. S
FINANCE

MODERATOR : MR. A
SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Subros Limited Q3 FY Earnings Conference Call hosted by Batlivala & Karani Securities. Participant lines will be in the listen-only mode and there will be an opportunity for questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone that this conference is being recorded. I now hand over the conference to Mr. Annamalai Jayraj from Batlivala & Karani Securities. Thank you, and over to you, sir.

Annamalai Jayraj: Thanks, Pari. Post Results Conference Call. From Subros Limited management, we have with us today Mr. Parmod Kumar Duggal, Executive Director and Chief Executive Officer. Agarwal, Chief Financial Officer and Senior Vice President Finance and Mr. Sukhvinder Singh Gill, Vice President Finance. I'll now hand over the call to Mr. Duggal for the opening remarks to be followed by question and-answer session. Over to you, sir.

Page 1 of 11

"Subros Limited
6 Post Results Earnings Conference
February 02, 2026

PARMOD KUMAR DUGGAL –EXECUTIVE
DIRECTOR AND CEO, SUBROS LIMITED
HEMANT KUMAR AGARWAL – CHIEF
FINANCIAL OFFICER AND SENIOR VICE PRESIDENT
FINANCE, SUBROS LIMITED
SUKHVINDER SINGH GILL – VICE PRESIDENT
FINANCE, SUBROS LIMITED
ANNAMALAI JAYRAJ – BATLIVALA &
KARANI SECURITIES

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Thanks, Pari. Good morning, all participants. Welcome to Subros Limited Post Results Conference Call. From Subros Limited management, we have with us today Mr. Parmod Kumar Duggal, Executive Director and Chief Executive Officer. Agarwal, Chief Financial Officer and Senior Vice President Finance and Mr. Sukhvinder Singh Gill, Vice President Finance. I'll now hand over the call to Mr. Duggal for the opening remarks to be followed by question and-answer session. Over to you, sir.

Conference Call"

EXECUTIVE

CHIEF FINANCIAL
OFFICER,
FINANCE,
RESIDENT
& KARANI

come to Subros Limited Q3 FY 2025-26 Post Results

Batlivala & Karani Securities . As a reminder, all

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questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note Batlivala & Karani Securities .

Good morning, all participants. Welcome to Subros Limited Q3 FY 2025-26

m Subros Limited management, we have with us today Mr.

Parmod Kumar Duggal, Executive Director and Chief Executive Officer. Mr. Hemant Kumar

and Mr.Sukhvinder Singh

I'll now hand over the call to Mr. Duggal for the opening remarks to be followed by question -

Subros Limited

February 02, 2026

Page 2 of 11

Parmod Duggal: Good morning, everyone. Good morning to all of you. Thank you, Jayraj. Good morning, ladies and gentlemen and welcome to Subros Investor call for quarter 3 FY 2025-26. Indian auto industry is witnessing the extraordinary period in last quarter and still it is ongoing. This is a historic performance by almost all the segment of auto industry. After a period of moderate start in initial two quarters, the industry has shown a very clear sign of recovery, supported by festive growth as well as impact of GST 2.0.

The overall sentiment across passenger vehicle, commercial vehicle and mobility is linked with the strengthening the reinforcement of India's position in automobile and manufacturing hub. Passenger vehicle and commercial vehicle both have witnessed improved traction, while export remains the highest.

Overall industry growth of 18.86%, out of which PV segment has grown by above 19% and CV segment has grown by 20%. However, since we had a slow start in first two quarters, overall growth in 9 months is around 9.25%. And the key driver, what we understand is the impact of GST, rising adoption of SUV and alternative powertrain and steady infrastructure-led demand for commercial vehicle, etcetera.

Subros has a consistent performance in quarter 3. We have achieved a revenue growth of over 15.43% during the quarter. And 9 months, April to December, our growth is 10%, which is higher than the industry. In CV segment, after implementation of mandatory AC N2 and N3 category, our revenue growth has recovered and we have recorded 136% growth in quarter 3, and 9 months we have 92% growth.

Geopolitical tensions may impact the Indian automotive industry primary through the supply chain volatility, cost pressures or market uncertainties. Freight costs, shipping routes and delivery time lines may have some challenges going forward. We are preparing for that as a risk mitigation. The results of quarter 3, 2025-26 have been shared with the stock exchanges and posted on our website. Let me elaborate these results one by one.

Subros has performed in line with the industry performance. Revenue growth is 15.43% with a significant improvement in margin, result in aggregate push towards our operational efficiencies and cost on efforts. The company has achieved a revenue of INR948 crores during the quarter 3 2025

Our share of business in passenger vehicle thermal market is 41% during the quarter and share of business in Truck AC market is 42% during the quarter. There is a 15% improvement in profitability due to our consistent push in cost optimization efforts. The company has realized EBITDA of INR 87.19 crores in quarter 3, which is 9.23% of the net sales. As against EBITDA of INR 80.64 crores during the previous quarter, which has 9.85 percentage in corresponding quarter.

So there is overall improvement in absolute term, EBITDA by 8.13% as compared to the corresponding quarter. Profit before tax in quarter 3 is INR 52.75 crores, which is 5.58% of the net sales. Profit margin as against the corresponding quarter has improved by 15.17%. There

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was a provisioning done for the new wage code liability of gratuity and leave encashment, which is shown as exceptional item.

The total impact of such provision is INR 8.08 crores. Profit after tax in quarter 3 is INR 34.84 crores, which is 3.69% of the net sales. And PAT margin has also improved by 6.08% during the quarter. Now on the business update, we have been reported constantly about the truck notification for N2, N3 categories.

So these all the SOPs have started. The ramp-ups have already been achieved now. Our

business growth in hybrid cars and as well as electric vehicle business segments, including CNG has been growing now. Our total revenue from these particular segment is 24% of the total revenue.

Our railway busi

ness continued to emerge as a strong growth vertical and with the accelerated investment in railway infrastructure and electrification, there is a lot of potential and opportunities coming in for Subros. We have already announced that we bagged a large tender of INR 52 crores for annual maintenance contract for the railway AC installations for to be executed in next 3 years.

Another major milestone which we have announced to the stock exchange last week is about our expansion of product profile. This was one of the due items for a long time. A lot of questions on this particular action was expected. This is with respect to the electric compressor, which we are using in EV and hybrid vehicles.

So we would like to update that Subros, Denso and Toyota Industries that is has agreed for localization of e-compressor of 20cc and 27cc and 34cc in India through Subros. We have also secured a e-compressor business from Maruti Suzuki through Suzuki Motor Corporation for the future models, which are planned in 2027-2028 and 2028-2029.

We have decided to set up this facility in our Karsanpura plant. So we'll be expanding our Karsanpura plant as plant 2 to set up an initial capacity of 400,000. The construction activity of this plant 2 will start shortly. We have three phases of this localization. As the first phase, our investment would be around INR 175 crores and gradually when we do backward integration, the subsequent investments will be planned as the business progress will happen.

In addition to this, we are also enhancing our capacity of fixed displacement compressor, which we are producing right now in Noida. This also will be produced in Karsanpura so that the utilization of that facility would be better. And also, this would be a de-risking activity for our OEMs because right now, we are producing all our compressor of around 1.7 million from one location only.

So we'll set up 0.5 million of capacity of fixed displacement compressor in Gujarat in addition to electric compressor. So this investment will be in phased manner and this would be out of our regular capexes. So before I conclude, let me summarize the results. Overall revenue of INR948 crores with a growth of 15.43%. EBITDA of INR 87.19 crores with a growth of 8.13%, PBT of INR 52.75 crores in quarter with a growth of 15.17% and PAT after Subros Limited

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exceptional item booking is 34.84% with a growth of 6.08%.That's it from my side. Now we are ready to take questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.

Arjun Khanna: Thank you, sir for taking my questions and congratulations on the award of the new business. So there are two parts to this. There is the ICE and there is the EV. So just on the EV compressor bit, sir, in terms of the margin profile, given that this is a scale project, how do you look at the margins coming from this business?

Parmod Duggal: So Arjun, there are two parts to this. First, just localization will start gradually with one model SOP, then second model SOP and then it will go on. The setting up that's why I said in my brief is that we are going very careful while making investment to start with what is bare minimum required to assemble this compressor and then gradually going for backward integration.

Finally, we have to be more competitive in this market. And since this localization is a breakthrough for Indian OEM in terms of increasing their localization content, of course, margins will be comparable to our existing business. We'll not be able to compromise on the margin side. But still, there is a time to review this whole market situation going forward.

Arjun Khanna: Sure. So over a 3-year period, as we scale up and stabilize, you would expect the margins of this to be slightly superior to your existing margin pr

ofile?

Parmod Duggal: Of course, it would be because slightly it would be a premium product and the value is also very high.

Arjun Khanna: Sure. And given that we are getting this product through our technology partner, so is there additional royalty? Or how do we understand this in terms of related party transactions?

Parmod Duggal: So royalty arrangement would be similar to our existing products. So there will not be any differential. So right now, also, we are paying royalty in the range of 3% to 6% variably on different contracts. So this would be also following the same. There will not be any special royalty additionally other than that.

Arjun Khanna: Sure. Sir, my second question is in terms of our volumes. So if we look at the largest customer for us, they saw very robust volume growth, and there was supposed to be very strong growth due to the N2, N3, which you also articulated in your opening remarks. So essentially, have we seen issues in terms of uplift of our product where they may have inventory on their end because the numbers don't seem to completely match up, sir?

Parmod Duggal: So it is model mix issue because suddenly, due to this GST rationalization, there is a mix change. Earlier, it was more on SUV, suddenly small car also started selling sales. So the volume is all about the last week of sale and then subsequently production and then inventory holding at the other time. So from our share of business point of view, there is no major change point with our largest customer also. So it's only impact of model mix.

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Arjun Khanna: Sure. And as that gets normalized, you should see that growth coming through?

Parmod Duggal: Of course, of course.

Arjun Khanna: Sir, just a final question, if you can just help us with the revenues of our various parts of our business?

Parmod Duggal: Sure. So in quarter 3, we have total sale of INR 948 crores. So out of that INR 846 crores is coming from passenger vehicle, INR 74 crores is coming from trucks, INR 12 crores is from buses and rest is from all other segments.

Arjun Khanna: So railways potentially will scale up over a period of time?

Parmod Duggal: Of course. Now since large tenders are in place, so I believe this will.

Arjun Khanna: So we should see revenues from the fourth quarter, sir?

Parmod Duggal: Should be. As the market is progressing positively, we should be able to clock better.

Arjun Khanna: Sure. Thank you and wishing all the best, sir.

Parmod Duggal: Thank you.

Moderator: The next question is from the line of Neel Shah from Purnartha Investment Advisers.

Neel Shah: Hello. Am I audible?

Moderator: Yes, sir, you are audible.

Neel Shah: Yeah. I actually missed your comment from the opening remarks. So can you just repeat the market share in various segments?

Parmod Duggal: So our market share in PV segment is 41%. In truck segment, it is 42% and in buses, it is 11%.

Neel Shah: Okay. And what I wanted to ask was, can you give an update related to the time line of the compressor plant that you are planning.

Parmod Duggal: So compressor plant setups will happen. The construction work will finish by end of this calendar year and then installation activities will be there. So as per the customer milestone, the SOP would be by December '27.

Moderator: The next question is from the line of Mihir Vora from Equirus.

Mihir Vora: Sir, my question is on the capex. Basically, in the previous calls, we had mentioned that we would be looking at an EV industry of 2,50,000 lakhs and then we would move forward for the e-compressor capex.

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So are we seeing that kind of target achievable? What has moved us to do the capex earlier?

Like previously, it was something which was expected to be later on in the stage. So some color on that.

Parmod Duggal: So EV industry and hybrid segment put together has shown quite remarkable growth in last 2

to 3 quarters. And I think it has already crossed 3% to 4% of the total market size as of now.

We are expecting now that this space will be there, more and more hybrid. And since the important part of our decision is that this compressor is not only dedicated to electric cars only. This compressor manufacturing plant will be able to cater to hybrid as well as EV. So whether hybrid will grow or EV grow, it will be neutral to us.

The second part is that we are able to finalize or innovate into our manufacturing facility where common line will be able to cater to the whole segment that is hybrid, EV and EV also between 27cc and 34cc. So up to large segment also will be able to cater to this from this line. So that's why since the lead time of the setup is quite high, we are starting today and SOP would be December 27. So that's how we decided to conclude our discussion with our collaborator for localization approvals. And finally, since the RFQ was also in place, so it was the decision taken in that spirit.

Mihir Vora: All right. Sir, just a follow-up on this. So we have mentioned we have got an order of around

INR1,200-odd crores for 7 years period. But just understanding at the peak, what would be an annual revenue from this facility?

Parmod Duggal: So as a peak, it would be roughly INR240 crores INR250 crores from the 1these 3 models only. But if as the facility we are going to set up is for 400,000. So gradually, even if we apply this in the running models of EV and hybrid also this electric compressor, this revenue can scale up to INR 600 crores to INR 700 crores.

Mihir Vora: Okay, okay. Sir, my second question is on the gross margin front. So there has been some compression on the gross margin since the last 2 quarters now. And basically, I just want to try and understand what kind of raw materials do impact us and what should we track in terms of the movement of RM prices going ahead?

Parmod Duggal: Okay. So there are 2 aspects to that. So as you know that quarter 2, quarter 3 commodity prices were on the upside. So even though we have a compensation arrangement with a few customers at a 6 monthly basis and a few customers on a quarterly basis, the recovery of the inflation cannot be done 100% because, again, in the next quarter, the increase has happened. So that will impact in quarter 4. So unless the commodity and foreign exchange is normalized, at least in 1 quarter and we could recover everything and then show some marginal improvement, this situation will continue.

So the impact on, I'll say, quarter-on-quarter basis is between 0.5% to 0.75%. Since the market is volatile in commodity and foreign exchange, we need to see the margin growth on a contribution side more because that is directly reflected through the revenue growth and so, but material cost definitely will be one of the elements which may be impacting the gross margin in that proportion.

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Mihir Vora: Right. Sir, basically, in the commodity basket, there would be also some gases which you would have to look at? Or is it only the metal part here?

Parmod Duggal: So it is basically for us, there are only 4 commodities which are relevant. That is one is aluminum, which is driven through LME, then copper, which is very volatile as of now. Then PP, that is plastic metal, which is directly related to the oil prices and so. And the last one would be the steel. So these are 4 which are impacting us the impact will continue, but majorly it will get compensated through the revenue or the reimbursement from the customer.

Mihir Vora: Right, sir. And lastly, sir, now that we are into February now, so how are we seeing trends across OEMs now in terms of demand still is it continuing in terms of volumes Or are we seeing some kind of

Parmod Duggal: No. For Jan is already completed. So you may have the OEM figures already available. Feb and March is m

ore or less in the similar range. There is no negative thing, which we have observed so far. So I believe the Jan trend or maybe quarter 3 quarter 4 would be slightly better than quarter 3, but I cannot specify on the percentage.

Moderator: The next question is from the line of Mayur from Wealth Managers.

Mayur: So sir, actually, I also had a question on margin. In the opening remarks, did you mention anything in the numbers which was there, which has also impacted specifically I just missed that part if at all, did you highlight any particular number in terms of employee cost or something with respect to the cost, which is impacting the EBITDA margin?

Hemant Agarwal: The highlight was that provision for gratuity and encashment as per the new labour code, which amounts to INR 8.08 crores for the quarter for the past services. So that was the information in the opening remarks. Our employee cost per se quarter 3 is lower than the previous quarter.

Mayur: Right. So sir, actually, a slightly broader question here. If we leave these 2 quarters where the volatility in material cost and currency has started to impact us. But slightly over the last 3 years, we have been quite successful in increasing our margins. And it has made us quite confident towards the journey of around 12%, which was appearing more visible.

Now in the light of 2, 3 things in terms of the change in the volume mix, which you are witnessing even in small cards or also because of the increasing volatility in the raw materials and forex will it be fair to say that our aspiration of that 12% gets pushed by at least a year period now given what is happening and already 2 quarters of?

Parmod Duggal: Yes, yes. Because the commodity and the currency is backed by reimbursement from the customer, definitely it will have slightly over the quarter impact. Once the commodity and currency get stabilized, the impact will be over. Rather the way commodities prices are now reducing, definitely, the gap which we are incurring since last 2 quarters, which is around 0.6% to 0.7%.

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Definitely will be positively impacted to the company. Second is you talk about the margin expansion. If you see for the quarter 3, we have shown 9.23% EBITDA margin. If you compare with

Mayur: So meaning to say excluding other income. Sir, I was looking at excluding the other income, only the operating margins?

Parmod Duggal: Okay. So what I'm trying to say is you see even on excluding the other income, in the previous quarter, we have already disclosed that we have INR14 crores of income, which was incentive of our Gujarat plant, which was onetime we have posted for the earlier period. If you eliminate that, you will see the expansion margins even from the previous quarter.

Mayur: I understand, sir. From previous quarter, there is some improvement. Surely. I was talking more in the light of our guidance and directionally guidance in terms of where we were moving. We moved very strongly till 10% or closer to 10%, not till Q1 or till March '25 and then the journey has reversed again, and we were appearing to be more confident towards 12%. So while there is a 0.6%

Parmod Duggal: That is precisely what Hemant had mentioned. This volatility in the market in terms of foreign exchange and commodity definitely is an impact for us because what we get is what we spend. So there is no markup available on that. Whereas if you see the revenue growth, you always see the gross margin, which is in the range of around 20%, 22%. But on the reimbursement, you will not have that margin available.

So ultimately, we'll see in absolute terms, we are growing in EBITDA but in percentage terms, we will have some fluctuation. But this is market driven. Of course, our efforts in terms of maximizing our profit and 12%, we have not still lost our hope of 12%. But yes, there would be some time gap, but we'll catch up to that for sure

Mayur: Sir, at a project level, if we exclude the compressor side, which is recent expansion side, that will be something it will take 2 to 3 years, 2 years as the capacity comes up and the more -- as the volume ramps up 2 to 3 years. But if we include that part, at a company level will it mean that now given that, that will be also in the early stages, the again, sorry, it's not that I'm just trying to understand the 12% aspect actually pushes because of 2 aspects.

One is the volatility and the second is even the new project coming up. It will take 2 years for it to come to company level margins. So we should actually look at 3 to 4 years now, will it be a correct understanding? I understand that the new project will take some time. But at a company level, will it mean that it will take some more time for those to come up?

Parmod Duggal: No, there is no relationship directly, indirectly with that investment versus the margin for existing business because once we decide any project feasibility, that is on a stand-alone basis.

So whether that investment will yield a return in 2 years, 3 years, that is purely, purely a separate decision point. But first, our focus is on as this business whatever we are growing in ICE and EV products other than compressor, we need to realize better margins.

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So that's our key focus. So for that, whatever is required, which is controllable is on operational efficiencies as well as on the cost down plan through the localization. This is what we are pushing. So we are not diluting our vision. We are still keeping our long-term target as is. But of course, the efforts will be slightly more now in terms of the geopolitical and volatility available.

Mayur: Sir, just a comment, not a question. Sorry, actually, where the investor a little bit sentiments and our expectations are every year, 0.5 basis point, 50 basis points, 60 basis points as we have been seeing earlier, the improvement was much more. And the expectation was to continue to improve on those lines, 50 basis points, 60 basis points, which was not over expectation.

So we were looking at 10, 10.5 and then 11. And then even if we say 0.75 impact of raw material and forex and everything else and there is a lag, it should have still come closer to 10, excluding other income, again, I'm saying because the trajectory of operational efficiency and localization and improvement in SUVs and everything was playing out.

And then we come down to less than closer to 8.5 again after other income, I'm saying that was something which is a little bit below expectation. And we hope that the management takes the right measures to ensure that either the direction is more in the line of what we are saying or we come up to those levels as expected.

Moderator: The next question is from the line of Mr. Annamalai Jayaraj from B&K Securities.

Annamalai Jayaraj: Sir, I have a few questions. I'll start with one clarification sir. This hybrid vehicle already there will be an Indian. Still they will be using a local compressor or how is it?

Parmod Duggal: So hybrid compressor, hybrid vehicle requires only e-compressor because although there is engine available, but it is interchangeable energy between engine to battery. So you cannot switch compressor and not have 2 compressors. So to ease on that, only one compressor, which is electric compressor. But of course, the CC of that compressor is lower. So that is used in hybrid vehicle.

Annamalai Jayaraj: Understood. And currently, it's being imported and once we localize, I mean, probably by March we'll have try everything. So probably after we localize, it will be a part of that.

Parmod Duggal: Of course, that would be a long-term plan. As I said, that's how the revenue from INR250 crores can be potentially go to INR600 crores, INR700 crores because then all running model also will go for the switch to local compressor, but

that will depend upon the milestone they have for minor change or a full model change.

Annamalai Jayaraj: Okay. And then, if I heard you correctly, you said commercial vehicle has grown around 6% year-on-year, correct no sir?

Parmod Duggal: Yes. So commercial...

Annamalai Jayaraj: Sorry.

Parmod Duggal: Go ahead...

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Annamalai Jayaraj: No, no. So on commercial vehicle last year, this compulsory AC was not there. And so now it is in place. And our understanding is that earlier they were using a blow-up motor and now the air conditioning means that the content for us will be maybe 3x, 4x like that. But why is it only 1.3? So the transition is happening not fully, it something like that or why is there a difference

Parmod Duggal: So both statements correct. Truck AC, when it will happen, the content per vehicle is going to be 4x, more than 4x. So that's how truck 9 months, we could able to do around INR180 crores as against I think the last year was roughly around INR 70 crores or INR 75 crores.

So that results are coming, but the implementation happened from 8th June, but there was no mandate that it cannot be sold non-AC. So sales based on the inventory available has gone up to mid-October or end October. So impact during this year is practically, so far, is only 4 months. So we will see the full year impact, which will be coming in practically next year where the whole year we'll be using this N2, N3.

Annamalai Jayaraj: But even year-on-year, why is the mismatch because compared to last year, it is only 130%.

Parmod Duggal: No. 130% is a good growth because last year...

Annamalai Jayaraj: No, No, I understand but for realization improvement. The answer is good even the commercial vehicle sector has grown a bit.

Parmod Duggal: No, no. The commercial vehicle segment has grown in only last quarter. Otherwise, if you see the cumulative impact of commercial vehicle is not so. So initially 2 quarters, it was slightly moderate.

Annamalai Jayaraj: Okay. And there is no change in our market share further 42% remains...

Parmod Duggal: Yes, it is remaining.

Annamalai Jayaraj: Okay. And other than our major customers on our sports, I have been listening, have you got any new business in the recent times, sir.

Parmod Duggal: For which segment.

Annamalai Jayaraj: On the passenger vehicle?

Parmod Duggal: So passenger vehicle, our existing customers are growing quite rapidly. So we are increasing our business in Mahindra. So we already secured 2 or 3 platforms for future that will start SOP from next year onwards.

Other than that, I think the growth numbers that we have from our existing customers are quite substantial, and we need to cater to that. And but other than passenger vehicle, of course, our expansion, as you said, in truck AC as well as railway, that has to be first capped because these segments have much larger potential.

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So in truck segment, we have added new customers. We got into Daimler, we got into Ashok Leyland. And also railways, now we are into driver cabin then to coast. So our expansion effort is all through. We are not only focusing on passenger vehicle.

Annamalai Jayaraj: Are you participating in our tenders for Vande Bharat?

Parmod Duggal: Yes, yes. We are now participating in tenders for Vande Bharat also.

Annamalai Jayaraj: And Mahindra you talked about. Mahindra, are we in the ranges or we are more with ICE

vehicles for Mahindra software?

Parmod Duggal: So we are in Mahindra EV also, but not on full system, but on a few selective components. So we are there in all 3 platforms of Mahindra.

Annamalai Jayaraj: I think there is nobody in the question queue. So any closing comments you want to make, sir?

Parmod Duggal: So overall summary, as I mentioned, that market is right now bullish, and we are aligning to the market expectations. Of course, next

year, the base would be high, we are right now

estimating our plans for the next year also. Based on that, our capacity expansion, also the new technology expansions are being planned for the next year.

Of course, everybody had made a comment on the margin shrinkage and so, but this is more on external factors, not on internal efficiencies. So whatever we could do in terms of margin improvement, still our efforts are on.

So we are very optimistic that the organization in next 1 to 2 years will be shaping up much better, aligning to the industry, unless there is any geopolitical risk, which may impact adversely, but that would be to the whole industry, not to the Subros alone. So thank you very much for joining and participating for in this Investor call.

Moderator: Thank you. On behalf of B&K Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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"Subros Limited
Q4 FY2025-26 Post Earnings Conference Call"
May 19, 2026

MANAGEMENT : MR. PARMOD KUMAR DUGGAL – EXECUTIVE
DIRECTOR AND CEO – SUBROS LIMITED
M R. HEMANT KUMAR AGARWAL – CHIEF FINANCIAL
OFFICER AND SENIOR VICE PRESIDENT FINANCE –
SUBROS LIMITED
M R. SUKHBINDER SINGH GILL – VICE PRESIDENT
FINANCE – SUBROS LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – 360 ONE CAPITAL
MARKET PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Subros Limited Q4 FY26 Earnings Conference Call hosted by 360 ONE Capital Market Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from 360 ONE Capital Market Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks. Swapnali. Welcome to Subros Limited 4Q FY26 and FY26 Post Results Conference Call. From Subros Limited management, we have with us today, Mr. Parmod Kumar Duggal, Executive Director and CEO; Mr. Hemant Kumar Agarwal, Chief Financial Officer and Senior Vice President Finance; and Mr. Sukhbinder Singh Gill, Vice President Finance.

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I'll now hand over the call to Mr. Parmod Kumar Duggal for the opening remarks, to be followed by a question-and-answer session. Over to you, sir.

Parmod Kumar Duggal: Thank you, Mr. Jayaraj. Good morning, ladies and gentlemen, and a very warm welcome to all of you to the investor conference call of Subros Limited for quarter 4 and financial year FY26.

A little bit about the industry. The Indian automotive industry is currently witnessing one of the strongest growth pace in the recent year. After a period of moderation in the early part of the financial year, the industry demonstrated a sharp recovery beginning quarter 3 and momentum has continued through quarter 4 as well.

The revival has been supported by the robust demand, also the improved customer sentiment, positive impact of GST 2.0, resilient export and sustained infrastructure investment. India continue to strengthen its position as a global automotive and manufacturing hub. Passenger vehicle and commercial vehicle both have reported very healthy traction during the quarter. While export remains strong across multiple categories during quarter 4 of FY26, the overall automotive industry recorded a growth of 23.6% with passenger growing at 13.2% and commercial vehicle, 18.9%. And overall, in the financial year, the industry has grown by 10.4% with a PV growth of 7.9%.

As I said, the key growth drivers for the industry continue to be premiumization of passenger vehicles, rising preference of SUV, increasing penetration in hybrid and electric mobility and government's focus on localization and manufacturing competitiveness.

Against this backdrop, Subros has delivered another quarter of consistent and resilient performance. During quarter 4, the company achieved a revenue growth of 15.55% while the annual revenue stands at 11.52%, outperforming several underlying industry segments. One of the key highlights for the year has been a strong growth in commercial vehicles segment. Following the implementation of mandatory AC norm for N2, N3 categories, our sales in truck AC segment recorded an impressive growth of 168% in quarter 4 and 111% for the full year. This reflects both the strength of our product portfolio and strategic focus on diversified mobility solutions.

While the industry outlook for the next 2 quarters remain cautiously optimistic, we continue to closely monitor geopolitical developments, particularly tension in West Asia. These

developments could potentially impact commodity prices, freight costs, supply chain stability and working capital cycle across the automotive value chain. However, we believe our localization initiatives, diversified manufacturing and operational agility position us well to navigate such uncertainties.

Coming to our financial performance. As I said, company reported a revenue from operation of INR 1,049.76 crores during quarter 4, representing a growth of 15.55% for the corresponding quarter last year.

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Our market position continued to be strong. We have secured a share of business of 41% in passenger vehicles segment. Truck AC and Blower segment, right now it is truck AC, it is 41%. And bus AC segment, our share of business is 16% during the quarter.

Despite elevated commodity prices and inflationary pressure during the quarter, the company achieved improved profitability through aggressive cost optimization, value engineering, productivity enhancement and operational efficiency measures. Certain raw material cost impacts continue due to the timing difference in customer compensation mechanism. Still we are protecting our margins.

EBITDA for the quarter 4 stood at INR100 crores. Profit before tax is INR 66.69 crores, while the profit after tax stood at INR 49.69 crores. Our profitability performance is majorly contributed by localization, cost competitiveness, product mix improvement and a

iso expansion

into higher-growth technology-led segments.

From a strategic perspective, the company has continued to strengthen its presence in emerging mobility technologies. Business from hybrid, electric and CNG vehicle thermal systems has contributed 25% of the total revenue.

The railway business in particular continued to emerge as a significant growth vertical for us.

With the increased investment in rail infrastructure, this segment is going to grow. We also concluded a new tender of INR 52 crores in FY 2026, which will be executed in next subsequent quarter.

Our Kharkhoda greenfield project is progressing well. Construction activities are advancing at a full pace now. The facility started taking shape. Machinery readiness is underway now, and SOP will be scheduled by end of quarter 2. The supplies to customers will also be starting aligned to the customer milestones for the new program launches.

In addition, we have initiated another expansion of our plant in Karsanpura, which is mainly focusing on e-compression manufacturing. This facility will support the EV and hybrid ecosystem through our compression product. Also, we'll be expanding the ICE compressor capacity in this location because Noida is now fully utilized with their existing capacity.

So just to summarize our final -- financial highlights for quarter 4 and for the year. Revenue from operation is INR1,049.76 crores, for the year, INR3,755 crores with a growth of 11.52%. EBITDA for the year is INR 362.93 crores with a growth of 5.77%.

Profit before tax for the quarter, INR66.69 crores with a growth of 7.86% and INR228 crores with a growth of 12.24%. And profit after tax, INR49.69 crores with a growth of 7.56% in the quarter and INR165 crores with a growth of 10.22% for the year.

So going forward, we will remain focused for our technology-led growth, localization, import substitution and margin improvement. With our strong customer relationship and expanding opportunities in hybrid and EV thermal management, our strategic investment in capacity expansion and also on the operational excellence, we remain confident that long-term growth trajectory for the company is sustained.

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Now thank you very much. We are happy to take your questions. Thank you.

Moderator: Thank you very much. We have the first question from the line of Prakash Kapadia from Kapadia Financial Services. Please go ahead.

Prakash Kapadia: Yes. Thanks for the opportunity. A couple of questions from my end. You alluded in the opening remarks commodity prices are elevated and that could cloud the near-term outlook. So if I look at aluminum prices, they are more than \$3,500 per ton. Copper is still elevated, steel, polypropylene. So these are the key commodities for us.

So typically, based on my understanding, the material settlement rate with OEMs happens with a lag. So in the near-term or, say, in FY27, what kind of EBITDA margins would the company be targeting in the near-term? And what is the order book of truck AC systems and railways as

on date? These are my two questions. Thank you.

Parmod Kumar Duggal: Thank you. So you have three questions, so I'll answer one by one. So commodity prices, as you said, is currently on a escalation basis. So all aluminum, copper, steel, polypropylene which we normally consume, so the only change point where our current compensation is based on quarter lag basis. So that is the previous quarter which will be applied to the next quarter.

In view of the current emergent situation, we could negotiate monthly indexation instead of quarterly so that the impact is not substantial. But because of the compensation is matching with the cost, definitely the ratios will get impacted. Because if INR100 is spent and INR100 is received, of course, the markup will not be available.

So EBITDA margin will be under stress. But of course, we are trying to optimize that through some

other efficiency improvements. The third question, you asked about the order book for truck and railway. So order realization for truck, because the notification was activated on 8th of June and June month was in the ramp-up only, so this year, it definitely it would be the full year impact.

So last year, we did truck aircon worth INR263 crores. This year, we are expecting some growth in the market, roughly in the range of INR325 crores to INR350 crores or so. And on railway, we have order book of around INR52 crores in hand, which will be executed in subsequent quarters.

Prakash Kapadia: Okay. Now if I look at slightly longer-term margin, obviously, you have an aspiration of growing the EBITDA margin. But last few quarters, it has been in the 9% to 10% kind of operating range. And we've seen at times because of mix as well as commodity inflation going, EBITDA margin is going to 6%, 7% also.

So how does one look at EBITDA margins in the near-term, FY27 for the year as a whole? Is it possible to maintain margins with some of the cost control initiatives which you said, depending on the mix or order book? Or it is fair to expect there will be some moderation in EBITDA margins from here on?

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Parmod Kumar Duggal: So I'll say that FY27 will be more a pressed year for us because we don't see the geopolitical situation is likely to improve very instantly. It will take time. And it will take time -- even post resolving the issue, stabilization will take time. So commodity prices will be the key challenge throughout the year. However, as an organization, we are still very confident to maintain the current level of EBITDA, whatever we have, with some moderation improvement or rationalization.

But going forward, once the situation will be normalized, we have plans to improve this EBITDA margin through the model mix, through the product mix, new technology products with some premiumization, also through the localization. Our aspiration to get into two digit, whatever target we have set for the long-term, still are intact.

Prakash Kapadia: Fine. That's helpful. I'll join back the queue for more questions. Thank you.

Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mutual Funds. Please go ahead.

Arjun Khanna: Sir, thank you for taking my question. The first question is just a while we talked of raw material and commodities. Could you talk on the labor aspect? So we are hearing that post the settlement, there has been a substantial jump in labor costs. So a, has that impacted us? And b, are we in a position to pass that on in our agreements?

Parmod Kumar Duggal: So yes, there would be impact of labor wage settlement, for sure, not only limited to the geographies where the minimum wages have been revised, but in other geographies also as a benchmark.

As far as the compensation is there, since the impact is huge, we are in discussion with the customer for compensation. There is the indexation concept available on the wage settlement also. So a substantial part of this increase will get compensated from customers. This is why we are very confident.

Arjun Khanna: Sure. And second bit on the forex. Since we continue to import products from Japan and the currency has moved adversely for us, so assuming our payouts have increased, historically, that's been a pass-through. So that continues to be the case?

Parmod Kumar Duggal: Yes, of course. Foreign exchange compensation, commodity price indexation is part of our pass-through arrangements with customers.

Arjun Khanna: Sure. The last bit in terms of our absolute EBITDA. So if I look at this quarter, while our top line has grown, absolute EBITDA and as you have mentioned, it's not fair to look at percentages because of the base impact. But absolute EBITDA growth has not been as strong. So is this because of the lead lag nature of pass-throughs? Is that the right way

of understanding?

Parmod Kumar Duggal: Yes, it is because of two reasons. One is that in the last year, up to even quarter 4, the lag was there because 1 quarter lag is there. Second, the increase within the quarter was also very steep. Post 28th of February, in the month of March itself, the prices have shot up, and that is absorbed in the cost. So there is a substantial impact. But this is extraordinary, we cannot control on that.

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Arjun Khanna: The last question is that for the Kharkhoda facility, there seems to be a movement for our OEM in terms of bringing out production. So in terms of the ramp-up of this facility, what kind of ramp-up do we anticipate for this year and next year?

Parmod Kumar Duggal: So our facility will start in the second half of the year, so that means early second half. So the models which we have planned from this facility would be the Brezza and also the Victoris and all subsequent models, which are lined up in Maruti to be rolled out from Kharkhoda.

So our expectation is that the one line of HVAC and one line of hose and pipe and other products which we have set up, within maybe 2 years, we'll be able to realize 100% of the capacity which is set up there.

Arjun Khanna: Sure. Thank you very much and wishing all the best, sir.

Parmod Kumar Duggal: Thank you.

Moderator: Thank you. We have the next question from the line of Mayur Parkeria from Wealth Managers India Private Limited. Please go ahead.

Mayur Parkeria: Good morning, sir. Thank you for taking my questions. In a challenging environment, a stable set of numbers. Sir, just had a couple of questions on again, just harping on this margin aspect. From Q1, Q2 of FY26, we had seen the impact of material costs and the currency movements you had highlighted from where our EBITDA margins actually started coming down, with a downward bias, stable with a downward bias.

So is it fair to say that the cost impact, the cost increases, even in this quarter, we saw material cost as a percentage continue to rise, which you already highlighted, too. But will it be fair to say that until December, all the increases and the forex impact has been absorbed in rupee terms? It is just that the March quarter impact remains to be adjusted as we go ahead.

Parmod Kumar Duggal: I'll say it's a fair assumption because, as I said before, the indexation before was on a quarterly basis. So that means up to December, all impact in foreign exchange commodities have been factored in, in quarter 4. But quarter 4 impact will be compensated in subsequent quarter, that is quarter 1 of this year. So your assumption is right.

Mayur Parkeria: Okay, okay. So sir, that means since now we have moved to the rupee, fairly so that the rupee value will get compensated rather than the markups in the percentage, I just got one clarification to understand it. When you said that we will endeavor to keep the EBITDA stable, is it in margin terms, close to 9% Or is it rupee terms for the FY27?

Parmod Kumar Duggal: We will moderately improve from the absolute values because we don't know how the impact is going to shape up in the next 3 quarters. Right now, it's completely uncertain of geopolitical development. So through the compensation formula, whatever is agreed, and it will further strengthen to support the supplier base or the ecosystem. So right now, we can talk only on absolute term, not on a percentage.

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Mayur Parkeria: Right, right, right. Sir, you mentioned that from the Truck AC segment, we are expecting around INR350 crores for the next year. So I believe this will be largely in H1 it will be done, right, the base Because it started from 2 quarters. So the second half, we will see the growth moderating substantially. Will it also be a fair assumption?

Parmod Kumar Duggal: So truck market last year has grown by around 10% or so. So of

course, the impact of AC is only

to the extent of not fully 3 quarters, maybe 2.5 quarters or so. This year, we'll have full quarter impact if overall industry right now which is a trend on a positive growth trajectory. So benefit of full year will come starting from quarter 1 as well.

Mayur Parkeria: Right. So H1 will be a much stronger growth, right, as we see? Because the base also is lower, and then we will have a normal organic growth for the industry?

Parmod Kumar Duggal: Yes. H1 versus H1 of truck, definitely, it will be much larger.

Mayur Parkeria: Okay, okay. And sir, from a milestone perspective on the capacity and on the utilization, just some clarification. The electric compressor facility will be operational since when? In FY27?

Parmod Kumar Duggal: No, it would be by middle of '27, '28 because it is aligned to the customer vehicle SOP targets. So our facility will be ready with all equipment by January '27 or maybe March '27, in that quarter. So after that, the validation process and the customer trials for the vehicle will start and

it would be operational in most likely third quarter of FY27, FY28.

Mayur Parkeria: Okay, third quarter. The current 25% share of the hybrids as well as the electric which we have currently in the overall revenues, post this, once we start this facility and as more ramp-ups happen in SOPs, we believe that in next 2 years, this number can substantially undergo a meaningful change, right?

Parmod Kumar Duggal: Of course, because compressor is a high-value commodity. So definitely, it will have substantial impact on overall revenue from the alternative fuels as compared to ICE as of now.

Mayur Parkeria: Okay, okay. Sir, what will be the total potential of this at a peak capacity?

Parmod Kumar Duggal: Of electric compressor?

Mayur Parkeria: Yes, sir.

Parmod Kumar Duggal: It is around. As of now, the visibility is around INR 250 crores per year.

Mayur Parkeria: Revenues?

Parmod Kumar Duggal: Yes.

Mayur Parkeria: Thank you sir. I will come back in the queue, for subsequent questions. Thank you.

Moderator: Thank you. We will take the next question from the line of Mihir Vora from Equirus Securities Private Limited. Please go ahead.

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Mihir Vora: Thank you for taking my question. So sir, just my question was on the current scenario where multiple issues in terms of freight, container availability, freight cost and such kind of issues. So are we facing any kind of issues in terms of supplies on our imports Or are our OEMs facing some kind of supply chain challenges? Some colour on that front?

Parmod Kumar Duggal: So yes, as part of the disruption, container prices are going up. The availability and the cycle of import from Japan to India, between China to India and Europe to India has increased. The lead time has increased. And that's why if you see, our stocks have increased. It means the inventory has increased because we built up some inventory to offset these kind of disruptions so that there is no impact finally to the OEM in terms of our supplies to them.

But yes, we are keeping a close watch on them. Even though the lead time is more, but we have improved our ordering cycle to get aligned to our customer requirements.

Mihir Vora: Okay. So it will be more of a lead time problem rather than availability of components?

Parmod Kumar Duggal: Correct. That's true.

Mihir Vora: Okay. And in terms of OEM side also, like in terms of their dispatches and stuff, those things are on track right now. So nothing to note of there?

Parmod Kumar Duggal: I cannot comment on behalf of them. But of course, whatever forecast we have received for next 3 or 4 months, there is no much change compared to the past.

Mihir Vora: Okay. Sir, and second point on the capex which we had announced for the e-compressor and I think other capexes as well. So what kind of inflation are you seeing on the capex co

st right

now?

Parmod Kumar Duggal: So we already announced that e-compressor, we will be spending around INR175 crores odd. And for Kharkhoda, we proposed an investment of INR150 crores. So these will be our investments for greenfield project or project expansion other than our routine replacement capex.

Mihir Vora: Yes, sir. But these were the costs which we had announced, last quarter. But here, basically, are we seeing any inflation because of the current scenario?

Parmod Kumar Duggal: No, not exactly because orderings were done much before so commitments have already been included in this. So we don't see a much bigger variation.

Mihir Vora: All right. Okay. And sir, lastly, on the e-compressor part, once we commission the plant, it will be a sort of higher import content there and then that will be localized? Or there is some localization plan on that front, on the components of vehicles?

Parmod Kumar Duggal: So it is planned in three phases. Our phase 1 will be more of spare part component imports with the assembly here because it's a very highly technical product. But phase 1 and phase 2, and our final aim is to do localization to the extent of 70% of the total component being used.

Mihir Vora: Okay. Thanks that's all from my side.

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Moderator: Thank you. We will take the next question from the line of Naman from Shanghvi Family Office. Please go ahead.

Naman: Hi. Actually, majorly all the questions have been answered. I just wanted to understand one thing, that recently the government announced a ban on the consumer AC. So is there a policy uncertainty for us also in the near future Or we think we are well equipped even if there is any

adverse regulatory change? So just wanted some clarity on that.

Parmod Kumar Duggal: You're referring to consumer AC for home usage?

Naman: No, no, no. So can some regulation of that sort come even for the ACs that we put in the car. So from the compressor angle?

Parmod Kumar Duggal: No, no, no, there is nothing. There's no such regulation expected as of now.

Naman: Okay. And we are well equipped with indigenous production itself, right?

Parmod Kumar Duggal: Yes, of course.

Naman: Okay. Thanks.

Moderator: Thank you. We will take the next question from the line of Mukul from Autocar. Please go ahead.

Mukul: Thank you. Sir, I just wanted to understand, among when we look at the future, there's a lot happening in terms of geopolitical as well as energy crisis in India and elsewhere. I wanted to understand where exactly would you be investing and where would you be exactly focusing in terms of powertrain, especially from energy point of view for the next 3 fiscals?

Parmod Kumar Duggal: So very complex question. Geopolitical situation is uncontrollable at our end, but what we can do to align our focus and investment into technologies which are required for the future cars. So there are two elements to that. One, of course, the ICE engine will remain. It is not going to be wiped off completely.

We are investing to upgrade our products to make more efficient thermal solutions provided to ICE cars with lower fuel consumption and lighter weight products so that it can optimize on the mileage part of that. The second aspect is on the electrification, where the electric car or hybrid penetration is going to increase rapidly.

So our product alignment is to provide thermal solutions for these cars, which will increase the scope of thermal supply per car because the system is much elaborated, including the battery cooling as well. So our focus is right now on the technology which is suitable for powertrain, whatever can be dominating the future market in the next 5 to 10 years.

Mukul: Thank you. Sir, just a small add-on to this. Are these technologies that you're working on would be agnostic to what are being called now as plug-in hybrids and/or range extender electric vehicles as well? Do you see

e some potential there for these technologies?

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Parmod Kumar Duggal: So these technologies, whatever we are going to launch, or right now in the pipeline will be agnostic to any powertrain switch.

Mukul: Thank you sir.

Moderator: Thank you. We will the next follow-up question from the line of Prakash Kapadia from Kapadia Financial Services. Please go ahead.

Prakash Kapadia: Thanks for the follow-up. Just one clarification I had. On the operating cash flow, you alluded there is some build up due to the supply disruption due to the West Asia war. But operating cash flow has declined substantially from INR175 crores to INR105 crores this year. And even if I look at over a period of time, say, last 5, 6 years, our sales have almost doubled but operating cash flow has not kept up pace.

So post COVID, we were like roughly INR 2,000 crores. Today, we are INR 3,756 crores. Then operating cash flow is INR 239 crores. Today, it is INR 105 crores. So how will this ratio improve from here on?

Because the OCF to EBITDA is actually declining from around 130% to around 55%. Or is it a blend of margin and cash flow we are targeting? How do we look at this ratio in the near term?

Parmod Kumar Duggal: Hemant, will you take this question, please?

Hemant Agarwal: So whatever figure you are referring, where from you have these figures?

Prakash Kapadia: These are all reported figures.

Hemant Agarwal: INR175 crores, you have read from where?

Prakash Kapadia: Last year's operating cash flow.

Hemant Agarwal: So last year, operating cash flow is INR231 crores or INR174 crores, now INR105, right?

Prakash Kapadia: Yes, yes, absolutely.

Hemant Agarwal: So the major contributor to this is that earlier we were having a discount facility with our customers, where we were taking early payments from them. So if you see, the trade receivable has gone up by INR124 crores. So now we have moved to the normal cycle of the credit terms, one.

Number two, with the increase in the volume in the quarter 4 and increased raw material prices, inventory and receivables both have gone up further. So that's how it has changed drastically.

The ratio is changed, which in the ordinary course of business. So nothing extraordinary. So now it is based on the credit cycle agreed with the customers.

And inventory is definitely a little on higher side now because of the global scenario, the late

delivery of the containers and dispatches from Dubai were stuck. So that cycle, which was earlier of 25 to 28 days, is taking 45 to 60 days. So that's how when the container was stuck on the way,
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all containers received at one point of time. That has resulted our increase in inventory also. So all those have contributed to this.

Prakash Kapadia: So maybe the current cash flow from operations to EBITDA is looking depressed because of some of these things, but it could definitely be better from here on, maybe not 55%, but 70%, 75%. Is that the ratio ideally we should look at once things stabilize?

Hemant Agarwal: Yes. On the contrary, by virtue of these reasons, by drawing this cash discounts I feel our margins has gone up because it was at a cost. So that is added to the bottom line also in the P&L.

Prakash Kapadia: Okay, okay. So maybe this is depressed, but definitely it should improve from here on is what directionally we should look at, right?

Hemant Agarwal: Yes.

Prakash Kapadia: Thank you.

Moderator: Thank you. We will take the next question from the line of Umesh Matkar from. Please go ahead.

Umesh Matkar: Thank you for the opportunity. I would like to know what sort of capacity increase are we expecting from this new Kharkhoda plant that will come up and the revenue that we are expecting for this year and next year. That is the first question.

Parmod Kumar Duggal: Okay. So capacity increase, by virtue of this ex

pansion of greenfield project, we'll be adding roughly 0.5 million of HVAC and hoses and tubes capacity in this location. And as I said that in the next 2 years' time, after the SOP start, we will be able to utilize this plant capacity to the extent of 90% to 95% or so. And of course, the revenue will be aligned to this. It would be roughly INR200 crores to INR250 crores delta revenue which will be coming in once we have the full utilization of this plant.

Umesh Matkar: Right. So currently how much would be the capacity for HVAC and the pipe that you mentioned?

Parmod Kumar Duggal: So current capacity we have for HVAC is roughly 2.6 million all across other plant locations, 9 plant locations. And hoses and tubes is around 2.3 million. Compressor, we have around 2.2 million. And heat exchangers, we have readily in the range of around 2.4 million to 2.5 million.

Umesh Matkar: Okay. And sir, you mentioned that you are looking out for a localization going ahead and also the e-compressor would also come up. So for the next year, how much of the incremental margins are you looking at considering the status quo, means whatever situation that remains the same?

Parmod Kumar Duggal: So electric compressor commercialization will not happen in this financial year. This will go to the third quarter of the next financial year. So it is not relevant to include any revenue from e-compressor, at least for the short term right now. But of course, our effort on localization is aggressively being pursued.

Right now, whatever projects are there next financial year, most of them will get realized, which will impact the import substitution for sure. But margin guidelines, right now, we'll try to

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moderately improve the current margin situation, but right now to spell out any exact number would not be appropriate.

Umesh Matkar: Okay thank you so much sir and wish you all the best.

Parmod Kumar Duggal: Thank you.

Moderator: Thank you. We will take the next question from the line of Kush Shah from 360 ONE Capital. Please go ahead.

Kush Shah: Thank you so much for taking my question. I just had a couple of questions on the INR1,200 crores order which you won from Maruti. So when do we expect the ramp-up to happen? And how much annual revenue contribution we can expect over the next 2 to 3 years.

Parmod Kumar Duggal: So this INR1,200 crores business was for e-compression, and I also spelled out that e-compression will be commissioned in third quarter of FY27, FY28. Roughly, the potential of this business per year is around INR 250 crores or so, and the total program life is roughly 7 years or so. So that's how the ramp-up will happen as and when Maruti's programs are commercialized. So it will be aligned to that.

Kush Shah: Sure, sir. And on the content per vehicle, how much do we expect this to go up from the conventional AC one?

Parmod Kumar Duggal: So content per vehicle with the EV versus ICE normally is 2.5x or, in some cases, it is 3x. But compression, per se, it is between 3.5x to 4x if you only substitute compressor versus compressor

from ICE to this. So that's how the content per vehicle will be multiplying if you take a reference of compressor.

Kush Shah: Understood, sir. And so we can expect a similar margin profile or higher margin profile from this?

Parmod Kumar Duggal: Margin will be, initial phase when we are importing components and doing the assembly to supply would be different. But of course, when the localization, as I mentioned, phase 1, phase 2, the final target is to 70% localization, then these margins will be definitely better than the existing.

Kush Shah: Understood sir. Okay that's it from my end. And wish you all the best.

Parmod Kumar Duggal: Thank you.

Moderator: Thank you. We will take the next follow-up question from the line of Naman from Shanghvi Family Office. Please go ahead.

Naman: So sir, just wanted to u

nderstand your view from a 3-year horizon. There are so many OEMs expanding their capacities targeting export markets, right? So not so much short term but from a 3 year to 4 year point of view, how do you see the step-up? Or how do you see Subros taking centre stage with other major OEMs as well? What is the strategy? Could you highlight that?
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Parmod Kumar Duggal: So you're right that most of the OEMs are adding capacity in the next 5 years horizon, from now until 2031. We're also aligning to add capacities in our multiple plant locations. And as I said before, this Kharkhoda phase 1 is only adding 0.5 million of capacity and phase 2 will have another 0.5 million of capacity.

As OEMs will set up facility in the different parts of the country, wherever we have already plant location available, our expansion in our existing capacities will be aligned to that. And if there are substantial new development happening, the greenfield project will be initiated.

As a strategy, we are the market leader right now, more than 40% share of business, and we intend to keep this leadership position intact for not short term but for long term also. And whatever is required to keep this position, Subros is committed for that.

Naman: Okay. And sir, just in line with that, are we in process of on-boarding other new OEMs as well apart from, like how do we?

Parmod Kumar Duggal: This would be more strategic answer, but I will not spell out exactly. But yes, we are in discussion with many OEMs who are expanding their capacities, and we are aligned to their future programs. Right now it would be inappropriate to spell out because they are at the initial stage only.

Naman: Okay. Thank you sir all the best.

Parmod Kumar Duggal: Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question, and with that, concludes the question-and-answer session. I now hand the conference back to the management for the closing comments.

Parmod Kumar Duggal: So thank you so much for your continued support and confidence in Subros. Two things which I want to summarize here. Of course, the current situation which is beyond anybody's control, geopolitical tensions, of course, it has an impact on the business. The whole value chain is getting impacted because of that.

We need to keep the positivity alive so that whatever actions we had initiated, they should result for the betterment of margins, revenue as well as our customer engagement and so.

As a long-term vision, minus this geopolitical tension, our progression in terms of technology advancement, in terms of segment advancement, in terms of margin improvement and our consistent growth is intact. And that's where our confidence is to remain our market leadership position. Thanks so much. Good luck.

Moderator: Thank you, members of the management. On behalf of 360 ONE Capital Market Private Limited, we conclude this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Parmod Kumar Duggal: Thank you.